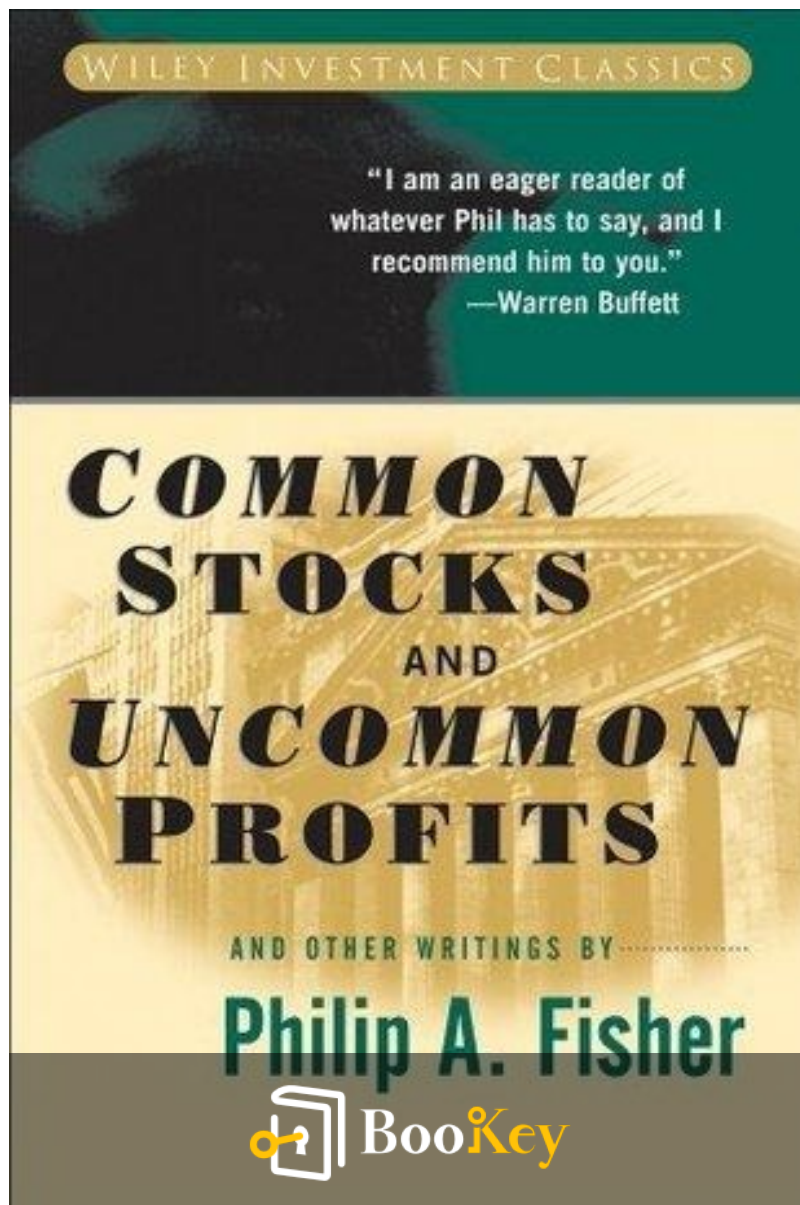


Common Stocks and Uncommon Profits and Other Writings PDF

Philip A. Fisher



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Timeless Investment Strategies from a Legendary Financial Pioneer

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About the book

Common Stocks and Uncommon Profits and Other Writings by Philip A. Fisher is a seminal work that has shaped the landscape of investing since its initial publication in 1958. Regarded as one of the most influential investors of all time, Fisher's philosophies on investment analysis and strategy continue to be revered by financiers and investors alike. This updated paperback edition preserves the timeless principles of the original while introducing insights from Fisher's son, Ken Fisher, an accomplished investment expert in his own right, through a new preface and introduction. As Warren Buffet notes, Fisher's methods empower investors to gain a comprehensive understanding of businesses, facilitating astute investment decisions. This book remains an essential guide for anyone looking to enhance their knowledge and approach to investing.

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About the author

Philip A. Fisher was a prominent American stock investor and influential author, renowned for his seminal work, **Common Stocks and Uncommon Profits**, which has remained a cornerstone of investment literature since its release in 1958. His career began in 1928 when he left the newly established Stanford Graduate School of Business, ultimately returning to teach investment courses, a notable achievement for only a handful. Fisher is celebrated for his "Fifteen Points to Look for in a Common Stock," a qualitative framework that assists investors in identifying well-managed companies with strong growth potential.

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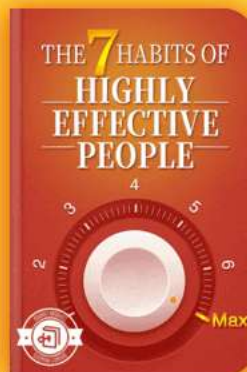
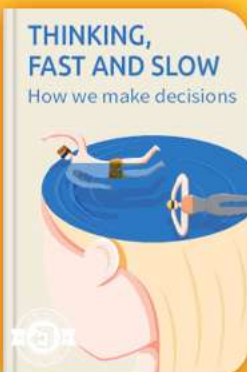


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Chapter 1 Summary : THE FIFTEEN POINTS



Section	Summary
Introduction to Stock Selection	Investing emphasis should be on selecting stocks to buy rather than focusing on sales. Fisher's father's fifteen points guide this process to minimize the need for frequent selling.
The Role of Scuttlebutt	Scuttlebutt, or gathering information from direct sources like competitors and customers, is essential for assessing a company's true strength and avoiding rumors and speculation.
Historical Context and Examples	Applying the fifteen points could have prevented investments in scandals like Enron and WorldCom by emphasizing grassroots information over market speculation.
Craft vs. Art in Investing	Understanding the fifteen points combines the technical craft of investing with the artistic ability to identify quality investments, encouraging common sense in decision-making.
Attributes of Desirable Companies	The fifteen points provide criteria for identifying companies with strong market potential, focusing on R&D, sales efficiency, profitability, employee satisfaction, cost control, and ethical management.
Avoiding Overvalued Stocks	By applying the fifteen points, investors could have recognized and avoided overvalued stocks, particularly during the dot-com bubble, which did not meet these criteria.
Implications for Diverse Investment Strategies	The fifteen points are a versatile tool for navigating various investment strategies, aiding in evaluating growth, value, and diverse company sizes amidst market volatility.

THE FIFTEEN POINTS

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Introduction to Stock Selection

In the early stages of a career in investing, the focus is often on what stocks to buy rather than what to sell. The principles laid out in this book emphasize that choosing the right stocks can reduce the necessity to sell often, with a foundation based on Philip A. Fisher's father's fifteen points.

The Role of Scuttlebutt

The application of these fifteen points relies heavily on the concept of "scuttlebutt," which is the practice of gathering information from direct, grassroots sources rather than relying on popular market sentiments or rumors. Scuttlebutt involves conversations with competitors, customers, and suppliers to assess the true strength or weakness of a company. This approach helps investors avoid common pitfalls associated with speculation and hearsay.

Historical Context and Examples

Fisher highlights that had investors applied these fifteen points and prioritized information from "Main Street" over

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Wall Street, they could have avoided investing in scandal-ridden companies like Enron, Tyco, and WorldCom during the 2000-2002 bear market. The essence of scuttlebutt is rooted in verifying a company's fundamentals through the lenses of those who directly interact with it.

Craft vs. Art in Investing

Understanding the fifteen points is likened to mastering both the craft of investing and the art of identifying investments. Craft involves learning techniques through repetition, while art requires a deeper understanding and application of these techniques. Fisher's guidance is positioned as a way to encourage common sense in investment decisions, which many fail to capitalize on.

Attributes of Desirable Companies

The fifteen points outline criteria for identifying companies with substantial market potential and robust management. These criteria include effective research and development for future products, a strong and efficient sales force, profitability, employee satisfaction, cost control, and an ethical management team.

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Avoiding Overvalued Stocks

Fisher explains that had investors utilized the fifteen points, they could have easily identified and avoided falling for overly valued stocks or market trends lacking solid foundations. Many tech stocks that faded during the dot-com bubble would not have met the criteria outlined by the fifteen points and could therefore have been avoided.

Implications for Diverse Investment Strategies

The fifteen points serve not just as a filter for investment opportunities, but also as a navigation tool through the volatility of financial markets. They provide insights whether an investor's focus is on growth stocks, value stocks, or companies of varying sizes.

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Example

Key Point: Scuttlebutt is Essential in Stock Selection

Example: Imagine you're considering investing in a tech startup. Instead of relying solely on the latest headlines or stock market trends, you decide to use the scuttlebutt approach. You take the time to interview current employees about the company culture and development projects, as well as speak to suppliers about their satisfaction and relationship with the procurement team. You even chat with some customers to get their feedback on the product's performance. By gathering these direct insights, you can form a much clearer picture of the company's true standing and growth potential, ultimately leading to a more informed investment decision. This approach not only protects you from hype-based investments but also aligns perfectly with Fisher's fifteen points, which advocate for thorough due diligence.

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Critical Thinking

Key Point: The concept of scuttlebutt as a cornerstone of Fisher's investment strategy.

Critical Interpretation: Fisher emphasizes the importance of gathering firsthand information and insights from diverse ground-level sources to make informed investment decisions. However, one might question the reliability of such anecdotal evidence and recognize that it can lead to biases or incomplete assessments. Critics like Nassim Nicholas Taleb in 'The Black Swan' highlight the unpredictability of markets and the limitations of even well-informed perspectives, suggesting that overreliance on grassroots data may not consistently yield successful investment outcomes.

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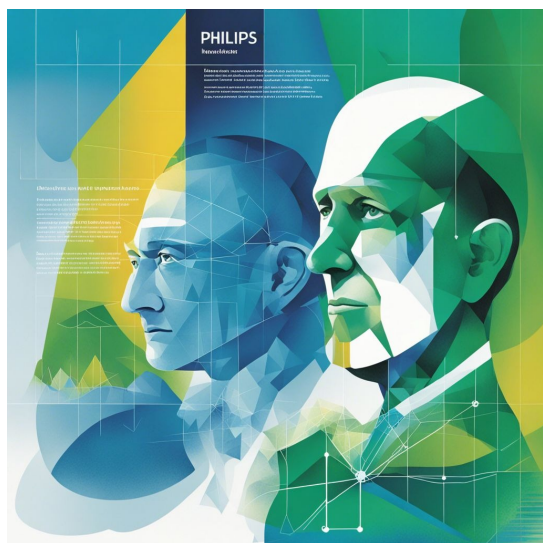


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Chapter 2 Summary : GOALS VERSUS SCUTTLEBUTT



Section	Summary
Goals versus Scuttlebutt	Fisher contrasts his investment goals with his father's, noting a focus on growth vs. value stocks. He emphasizes the universal relevance of scuttlebutt and the fifteen points across all investment styles.
The Art of Investing	Fisher highlights the importance of creativity in investment analysis, contrasting his father's intuitive question style with his own systematic approach.
Insight from James Michaels	A memorable question from James Michaels on competitive advantage encapsulates Fisher's father's philosophy of constant innovation.
Application of the Fifteen Points	Fisher shares his application of the fifteen investment principles across various companies, advising investors to adapt them to their own styles.
Many More Jewels Available	Fisher acknowledges additional insights in his book, emphasizing the importance of learning from market uncertainties and leveraging wisdom from his father's teachings.
Never Forgetting the Essentials	Fisher stresses that fundamental principles of investing remain constant despite market changes, highlighting his father's enduring influence.
Personal Reflections	Fisher shares personal anecdotes about his bond with his father and encourages readers to reflect on and internalize his father's teachings.

GOALS VERSUS SCUTTLEBUTT

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Philip Fisher discusses the differing investment goals between him and his father, highlighting their unique approaches to stocks. While his father focused primarily on growth stocks, Philip initially gravitated towards value stocks. He emphasizes that the principles of scuttlebutt and the fifteen points can be applied universally across various investment styles—growth, value, large cap, or small cap. Each point remains relevant, underscoring the importance of a strong sales organization and profit margins in both contexts.

THE ART OF INVESTING

Fisher notes the significance of creativity in investment questioning, contrasting his father's intuitive approach with his own more linear mindset. He recounts how his father prepared for company visits with detailed questions but often delivered the most insightful queries spontaneously, demonstrating the art behind investment analysis.

INSIGHT FROM JAMES MICHAELS

Fisher recalls a profound question asked by James Michaels regarding competitive advantage: “What are you doing that

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your competitors aren't doing yet?" This question encapsulates his father's investment philosophy and serves as a reminder for companies to constantly innovate and improve.

APPLICATION OF THE FIFTEEN POINTS

Fisher shares his experience applying the fifteen points across a diverse range of companies, including those differing from his father's original focus. He advises individual investors to employ these principles in their own unique style without overextending themselves.

MANY MORE JEWELS AVAILABLE

Beyond the fifteen points, Fisher acknowledges additional insights found in "Common Stocks and Uncommon Profits," which he considers essential for investment education. He reflects on his own experiences during market uncertainties, drawing wisdom from his father's principles to seize buying opportunities during downturns.

NEVER FORGETTING THE ESSENTIALS

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Fisher advises that despite changes in the market, fundamental principles remain constant. He recognizes his father's lasting influence on investment philosophy, with figures like Warren Buffett citing him as foundational to their approaches. Fisher emphasizes the value of repeated readings of his father's works to fully grasp and implement the teachings.

PERSONAL REFLECTIONS

Fisher shares anecdotes about his relationship with his father, illustrating the personal and professional bond they shared in the investment world. He concludes with a reminder to internalize his father's teachings through reading and reflection, encouraging readers to derive their own insights from those writings.

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Example

Key Point: The importance of adapting investment strategies based on personal goals and insights.

Example: Imagine yourself as an investor, standing before a myriad of investment options. You observe a growing tech company catching the market's eye. Instead of following the crowd, you reflect deeply on your own investment philosophy, remembering the lessons from Philip Fisher. You realize that while many chase growth, you resonate more with the principles his father valued—understanding the fundamentals and evaluating the strength behind the sales organization. By incorporating Fisher's fifteen points, tailored to your unique approach, you confidently assess the company's profit margins and competitive advantages, guiding your decision that aligns with your goals. This adaptive mindset enhances your investment strategy, ensuring you remain true to your beliefs while evaluating various opportunities.

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Critical Thinking

Key Point: Differences in investment approaches highlight the subjective nature of stock market strategies.

Critical Interpretation: While Fisher emphasizes the universal applicability of the fifteen points across various investment styles, it is crucial for readers to recognize that different strategies have varying degrees of success depending on market conditions and investor experience. There is no one-size-fits-all approach in investing, and what works for Fisher or his father may not be suitable for everyone. For instance, academic studies, such as Fama and French's research on market efficiency, suggest that consistently outperforming the market is exceptionally challenging, implying that alternative strategies might yield better results for certain investors under specific conditions.

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Chapter 3 Summary : MUCH MORE AVAILABLE

Summary of Chapter 3: Much More Available

In this chapter, Kenneth L. Fisher reflects on the enduring wisdom found in his father Philip A. Fisher's book "Common Stocks and Uncommon Profits." While he acknowledges the importance of scuttlebutt and the fifteen investment points, he emphasizes that there is a wealth of knowledge throughout the book.

Market Insights and Strategies

Fisher discusses how, during the 1990s and the bear market from 2000-2002, he used the principles from his father's teachings—particularly the "Five Don'ts for Investors"—to navigate market uncertainties. He notes that his father maintained a long-term perspective on capitalism and investments, highlighting the importance of staying focused on fundamentally strong companies, regardless of market fears.

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Investment Philosophy

He explains that his father would not be swayed by political or media-driven anxieties and instead would focus on evaluating the fundamentals of his investments. Fisher reflects on how his father trusted the principles of investing rather than attempting to time the market or diversify excessively.

Legacy of 'Common Stocks and Uncommon Profits'

Fisher highlights the book's significance in shaping the investment attitudes of many, including notable investors like Warren Buffett. He notes that the fundamental lessons remain relevant over time and that continuous engagement with the material leads to deeper understanding and beneficial insights.

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Chapter 4 Summary : BEGINNINGS

BEGINNINGS

Family Background

Philip A. Fisher's paternal ancestors, Jewish immigrants from Prague and Germany, settled in San Francisco in the 1850s. His great-grandfather, Philip Isaac Fisher, served as an accountant for Levi Strauss and played a significant role in Strauss's business. His grandfather, Arthur Lawrence Fisher, pursued a career in medicine and later specialized in orthopedics, becoming a pioneer in the field. Arthur's personal life involved a marriage that faced many challenges, including the 1906 earthquake.

Influence of Aunt Cary

Cary, Arthur's sister who married into wealth, significantly impacted the Fisher family. She secretly financed her brother's and nephew's education, shaping their opportunities and experiences. Her financial support allowed Philip (the

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father) to pursue his studies without the weight of financial stress, creating a supportive structure in their lives.

Educational Journey

Philip was tutored privately and attended Lowell High School, where he graduated early. His experiences with social insecurity and critical family dynamics affected his early years. Eventually, with support from Aunt Cary, he transferred from UC-Berkeley to Stanford University, where he thrived in a more comfortable environment. Family dinners at Aunt Cary's house played a crucial role in developing Philip's social skills.

Stanford and Influence of Mentors

At Stanford, Philip found a nurturing academic environment. He graduated and pursued further studies at the Stanford Graduate School of Business, again funded by Aunt Cary, whose financial support remained unknown to him. During his time at Stanford, he formed a meaningful mentorship with professor Boris Emmett, which greatly influenced his understanding of business and investing. This mentorship, along with his broader educational experiences, laid the

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groundwork for his eventual career and investment philosophy.

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Example

Key Point: The impact of mentorship on personal and professional development is profound.

Example: Imagine you are a student at Stanford, feeling lost among the brilliant minds. Then, you meet a mentor—a professor who sees potential in you. Their guidance shapes your thinking and opens doors to opportunities. Just like Philip Fisher learned from Boris Emmett, your mentor challenges and inspires you, forging a path that transforms your career aspirations into reality.

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Chapter 5 Summary : MIDDLE LIFE

MIDDLE LIFE

Father's Military Service and Family Life

During World War II, the author's father enlisted for military service, avoiding combat and serving mainly in accounting and finance. He adjusted to his officer role and met the author's mother, Dorothy, in Little Rock, Arkansas. They married shortly after meeting and had three children, though a daughter tragically died during childbirth. After the war, they settled in San Mateo, California, where they rebuilt their home due to their love for the property.

Professional Highlights and Influence

The late 1950s and 1960s marked a high point in the father's life, especially after publishing "Common Stocks and Uncommon Profits" in 1958, which established him as a significant figure in the San Francisco investment community. He operated under a California law that allowed

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him to maintain a small client base without requiring public registration, enabling him to keep a low profile despite his fame.

Teaching at Stanford

The father briefly taught at Stanford's Graduate School of Business when his mentor Herbert Dougall was on sabbatical. He enjoyed this role and had a lasting impact on students, including Jack McDonald. His teaching emphasized linking sustainable growth with competitive advantage.

Declining Public Engagement

As the 1960s progressed, the father became more withdrawn from public life, choosing to focus on private evaluations of businesspeople. He experienced challenges when his sons joined his business, as his attention to detail and difficulty delegating limited their contributions.

Shift in Investment Strategy

Entering the 1970s, the father began reducing his portfolio by selling weaker stocks, preferring a concentrated selection of

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high-quality investments. However, his investment decisions worsened over time, particularly in his later years, reflecting the impairments related to aging and cognitive decline.

Struggles with Aging and Dementia

The father resisted the idea of retirement, associating it with decline. Following signs of aging, including thinning hair and fatigue, he pushed himself to work. He believed that staying active would preserve his mental faculties.

Eventually, his dementia progressed, affecting his ability to manage his business effectively. Despite this, he remained optimistic about continuing his work until he was forced to stop.

Final Years and Legacy

In the last phase of his life, the father grappled with his identity as it became increasingly tied to his career. Even during his cognitive decline, he expressed a desire to write and engage with the investment community again. However, he struggled with deteriorating mental capabilities, and after his career ended, he faced depression linked to this loss of self-worth.

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Example

Key Point: The importance of recognizing when to adapt your investment strategy based on life circumstances.

Example: Imagine you're facing challenges at work or home, similar to the father's shift in focus as he aged. Just as you might choose to streamline your daily routine to preserve energy and maintain effectiveness, consider how he began to sell weaker stocks to concentrate on high-quality investments. This reflects the necessity of adapting strategies as one's circumstances change, ensuring that your focus is on what truly brings value, whether in investments or in other aspects of life.

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Chapter 6 Summary : WHAT KIND OF MAN?

SUMMARY OF "CHAPTER 6: WHAT KIND OF MAN?"

Father's Character and Influence

Philip A. Fisher reflects on his father's strict, solitary personality, noting his sparse warmth and unintentional intimidations. Despite his harsh exterior, Fisher acknowledges that his father held him in high regard but struggled with direct praise. This chapter illustrates the father's unconventional communication style, where he often expressed pride in Fisher's successes to others rather than to him directly.

Investment Methodology

Fisher describes how his father developed a methodical approach to stock investment, interacting with various

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investment professionals but only adopting ideas he deemed exceptional. Notably, Fisher is proud that his father followed his investment ideas three times, achieving significant success.

Daily Routine

The father maintained a rigid daily routine, characterized by solitary commutes and work habits. He would travel from home to work, often alone, enjoying a solitary environment at the office. His frugal nature extended to both work and personal life, which Fisher found occasionally burdensome.

Solitary Interests

Despite being knowledgeable about politics and having an impressive memory for political figures, Fisher's father remained aloof and socially distant. He had a penchant for

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Chapter 7 Summary : THE THREE W's

THE THREE W's

Father's Life and Interests

The author reflects on his father's enjoyment of three main activities: walking, worrying, and work. The father's nervous energy often translated into constant worrying, which may have led to fewer investment mistakes but also limited his willingness to take risks, impacting his financial success. While the father found solace in walking, the author found his father's insistence on worrying perplexing.

Walking as a Release

Walking served as a means for the father to expel excess energy and express his thoughts. The author describes shared walks that allowed the father to feel free and happy, even as he often chose more challenging trails. The bond during these walks highlighted their differing approaches to worry and risk.

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Memorable Experiences

A significant memory occurred during a summer vacation when a sudden storm forced the author and his father to run for safety, resulting in a rare moment of laughter amid chaos. The father's resilience and vigor were evident in his ability to keep up despite his age.

Health Challenges and Dementia

As time wore on, the father's health deteriorated, particularly after a fall that led to a hip injury. This event marked the onset of dementia, which gradually affected his memory and cognitive abilities. The family struggled with his care, often torn between their ability to support him and the emotional toll it took on them.

The Impact of Influence

The author's father was a man of great influence, likened to a mirror reflecting the potential in others. Through subtle guidance, he helped many see possibilities they didn't know existed. The author's observations underline how others

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credit their successes to his father's inspiration, often attributing ideas to him that he never voiced.

Legacy Through Writing

The father's writings have endured, continuing to inspire many long after his passing. The author encourages readers to either discover or revisit his father's work, which remains impactful and timeless, keeping his memory alive despite the challenges of age and illness.

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Chapter 8 Summary :

SIGNIFICANCE—THE MIRROR IMAGE

SIGNIFICANCE—THE MIRROR IMAGE

Influence of My Father

My father had a significant impact on many individuals, inspiring thoughts and ideas they may not have considered without his influence. He had a unique ability to encourage people to think critically, often acting as a mirror to their own thoughts.

Personal Anecdotes

Numerous individuals have shared how a brief encounter with my father provided them with inspiration for their businesses, actively participating in their creative process without asserting direct influence. Many credited him with guiding their thoughts and ideas, even if he did not explicitly

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say what they believed he did.

The Role of His Writings

His writings, including "Common Stocks and Uncommon Profits" and "Conservative Investors Sleep Well," have similarly inspired countless investors, prompting them to take actions driven by their interpretations of his work. The ideas they generated were inherently theirs, even if they felt motivated by reading his pages.

The Value of Reflection

Re-reading my father's writings can yield new insights, as his ability to reflect people's thoughts makes his work timeless. While my father may no longer impact individuals directly, his writings continue to resonate, offering guidance and inspiration.

Enduring Legacy

Forty-five years after the initial publication of "Common Stocks and Uncommon Profits," my father's legacy endures through his writings, which will remain a resource for current and future generations of readers.

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Chapter 9 Summary : Preface

Preface Summary

Introduction to the Book's Purpose

Philip A. Fisher provides a personal background for his new investment book, explaining his journey from academic study to a career in the business world, highlighting his experiences during the late 1920s financial interests and the subsequent Great Depression. He identifies a gap in the investment counseling market, which led him to establish Fisher & Co. in 1931 as an antidote to conventional stockbroking.

Early Career and Observations

Fisher reflects on his early career at the Crocker-Anglo National Bank, where he witnessed both financial exuberance and turmoil. His decade-long experiences informed his investment principles, especially during World War II, when he analyzed past investment decisions.

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Investment Philosophy

Upon returning to civilian life, Fisher focused his investment advising on a select few clients, emphasizing capital appreciation and adhering to consistent investment principles. He notes the importance of patience and caution against following market trends blindly, providing insights into maintaining long-term investment strategies.

Motivation for Writing

Fisher aims to share his investment philosophy with a broader audience, particularly small investors seeking guidance. He expresses a desire to create a resource that compiles fundamental investment concepts and addresses the challenges faced by inexperienced investors.

Informal Presentation Style

Fisher intends to write in a personal, informal style, aiming to engage readers directly. He hopes his candid approach will effectively communicate his investment ideas and encourage readers to appreciate their merit despite any writing shortcomings.

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Chapter 10 Summary : 1 Clues from the Past

Clues from the Past

You may have decided to invest in common stocks for various reasons, including seeking higher income, protecting against inflation, or pursuing potential investment success as seen historically with figures like Henry Ford. Ultimately, the main motive to invest in stocks is the desire to make money.

Historical Investment Strategies

Historically, fortunes were made in the stock market through two primary methods: speculating on the business cycle and investing in outstanding companies for the long term. The former was more prominent in unstable markets, but the latter approach proved to be more profitable with less risk.

Past and Present Opportunities

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Many companies that were once available for investment have yielded substantial returns over the years. Evaluating today's market, opportunities for significant gains exist and may be even better than in early decades due to changes in corporate management and practices.

Changes in Corporate Management

Modern corporations operate under a more competitive and progressive management style focused on efficiency and innovation, which contrasts with past management structures often dominated by personal interests. Management now prioritizes the interests of stakeholders, including outside stockholders.

Research and Development

The rise of research and development (R&D) in corporations has transformed investment prospects. Since the late 1950s, several industries have increased their R&D expenditure significantly, indicating a move towards innovation that can lead to substantial profits.

Economic and Governmental Influences

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The shift in government policy regarding economic downturns has changed the investment landscape. The willingness to run deficits during economic slumps aims to shorten recessions, providing a cushion for strong companies. This change reduces the existential risk for investors in well-capitalized growth companies.

Bonds vs. Stocks

As inflation becomes a persistent concern, bonds have been shown to be less desirable as long-term investments. The purchasing power of bond investments has often eroded, making stocks a more attractive option for long-term investment, particularly in an inflationary environment.

Conclusions and Investment Clues

Analyzing past investment strategies reveals that finding companies with consistent growth in sales and profits is crucial for success. Investors should focus on management capable of achieving growth and efficiently organizing R&D. This historical perspective suggests that there are likely more investment opportunities today than in previous decades.

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Example

Key Point: Invest in companies with consistent growth and innovative management to maximize returns.

Example: Imagine you're evaluating two companies for your portfolio. One has a steady history of growing sales and profit margins, while the other fluctuates wildly without a clear direction. By choosing to invest in the steady company, you align with Fisher's advice about identifying firms that prioritize sustainable growth and innovation in their management practices. This strategic choice positions you to benefit from their long-term profitability and stability, while reducing risk typically associated with less predictable investments.

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Chapter 11 Summary : 2 What “Scuttlebutt” Can Do

What “Scuttlebutt” Can Do

Overview of Investment Research Methods

Finding outstanding investments requires a practical approach to identifying specific companies poised for significant growth. A detailed examination by a skilled manager of a company's operations can be beneficial, but such expertise is often unavailable to the average investor due to its impracticality and confidentiality concerns within companies.

The Scuttlebutt Method

An alternative approach, referred to as the “scuttlebutt” method, allows investors to gather valuable information through informal channels. Investors should understand the method thoroughly to choose competent advisors and assess

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their work effectively.

Utilizing the Business Grapevine

The business grapevine can provide insightful perspectives on a company's strengths and weaknesses through the opinions of various stakeholders, including competitors, vendors, and customers. Engaging with five companies in a sector, for instance, can reveal a clear picture of the industry dynamic.

Diverse Sources of Information

Aside from competitors, valuable information can be sourced from academic researchers, trade association executives, and even former employees. However, it is crucial to maintain confidentiality to obtain honest opinions and be cautious when interpreting former employees' views due to potential biases.

Cross-Verification of Information

An effective investor should seek to gather insights from multiple sources. While discrepancies among the data are

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normal, consistent, strong signals should guide the investor toward companies that warrant further investigation. This leads to contacting company officers to clarify existing uncertainties and deepen the understanding of the investment opportunity.

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Example

Key Point: The importance of the 'scuttlebutt' method for effective investment research.

Example: Imagine you're considering investing in a tech startup aiming to disrupt the market with innovative solutions. Instead of solely relying on financial statements, you spend time conversing with former employees who offer insights into the company culture and work ethics. Meanwhile, you connect with customers who share their experiences regarding the product's performance. Engaging with suppliers could reveal how efficiently the company manages its inventory. By compiling these diverse viewpoints, you construct a more comprehensive picture of the startup's prospects. This scuttlebutt process ensures that your investment decisions are informed by real-world insights rather than mere numbers, enhancing your chances of identifying worthwhile investment opportunities.

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Critical Thinking

Key Point: Caution in using the scuttlebutt method for investment research.

Critical Interpretation: While Philip A. Fisher's 'scuttlebutt' method for collecting informal intelligence about companies offers a practical alternative to traditional research, investors must scrutinize the reliability and potential bias of sources. The informal nature of the method can lead to misinformation, as stakeholders may have vested interests influencing their views. Positioning such anecdotal evidence as definitive can be misleading, as discussed by criticisms regarding qualitative research in finance found in studies by Fama and French (2010), which argue that empirical data should take precedence over subjective insights.

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Chapter 12 Summary : 3 What to Buy

Point	Description
1	Market Potential of Products or Services: Look for significant market potential to support long-term sales growth.
2	Management's Commitment to Product Development: Management should continuously develop products to foster sales growth.
3	Effectiveness of Research and Development: R&D efforts must be effective and well-coordinated for success.
4	Above-Average Sales Organization: A strong sales team is crucial for maximizing product sales.
5	Worthwhile Profit Margin: Companies need strong profit margins for meaningful profit from sales growth.
6	Efforts to Maintain or Improve Profit Margins: Monitor how profit margins are managed amidst rising costs.
7	Labor and Personnel Relations: Good labor relations enhance productivity and reduce turnover costs.
8	Executive Relations: A healthy executive environment fosters teamwork and retains top talent.
9	Depth of Management: Companies should have multiple skilled managers for continuity and growth.
10	Cost Analysis and Accounting Controls: Effective cost analysis is necessary for operational efficiency and pricing strategies.
11	Industry-Specific Factors: Consider unique industry aspects for competitive advantages and company positioning.
12	Outlook on Profits: Companies should balance immediate gains with long-term profit sustainability.
13	Equity Financing Needs: Evaluate future equity financing requirements to foresee potential dilution risks.
14	Transparency in Communication: Open communication from management about successes and challenges is vital.
15	Integrity of Management: Trustworthy management that prioritizes shareholder interests is crucial for long-term success.

What to Buy: The Fifteen Points to Look for in a Common Stock

Understanding what to seek in a company for significant investment returns is crucial for investors. Philip A. Fisher outlines fifteen critical attributes that a company should possess for a greater likelihood of achieving outstanding

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results for its shareholders.

POINT 1: Market Potential of Products or Services

The company should have products or services with considerable market potential that can support an increase in sales over an extended period. Successful growth companies often show inconsistencies in their sales, driven by various market conditions and management abilities.

POINT 2: Management's Commitment to Product Development

Management must be dedicated to the ongoing development of products or processes to ensure total sales growth, particularly as current product lines reach saturation.

POINT 3: Effectiveness of Research and

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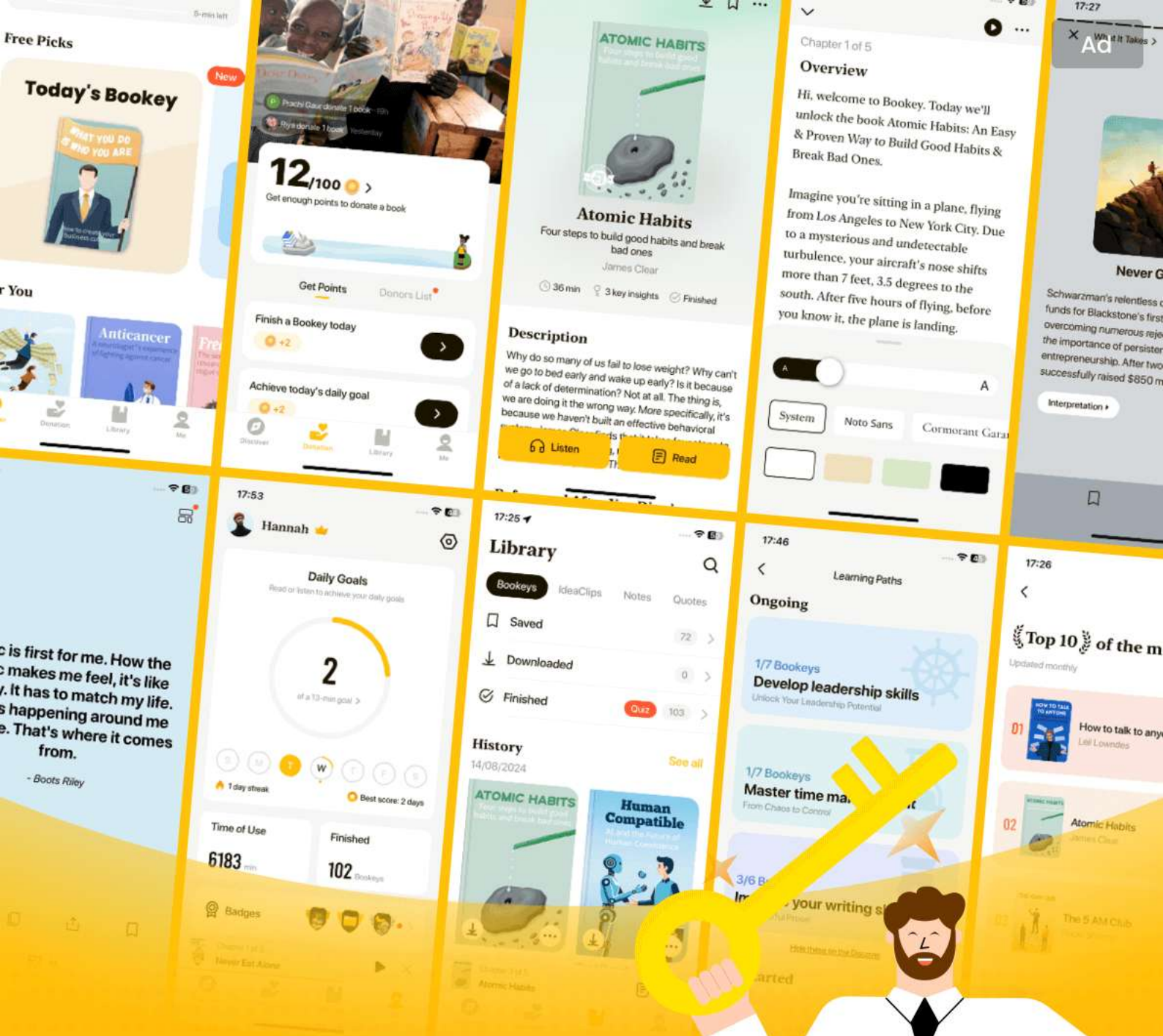
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Chapter 13 Summary : 4 What to Buy

Section	Content Summary
Investment Approach for Average Investors	The average investor often lacks time and expertise, leading to reliance on misconceptions about successful investment qualities.
Misconceptions About Investment Expertise	Successful investing goes beyond statistical analysis, with a focus on understanding high-quality growth companies being more profitable than solely data-driven approaches.
Investor Time and Geographic Considerations	Investors should consider their availability to network for insights and recognize geographical limitations, while also seeking professional advice, even in rural areas.
Choosing Professional Advisors	It is crucial to select advisors with proven performance and compatibility with one's investment philosophy, as the investment field is less regulated.
Types of Stocks and Investment Characteristics	Investors should differentiate between large stable companies (consistent dividends, capital appreciation) and high-risk younger companies with high growth potential.
Investment Strategy and Risk Assessment	A balanced approach is recommended, allocating most funds to established stocks while reserving some for riskier investments to mitigate risk.
Special Considerations for Small Investors	Small investors should use surplus funds for high-risk investments while prioritizing financial stability and understanding personal investment goals and risk tolerance.
Long-term Outcomes of Growth vs. Yield Stocks	Growth stocks generally outperform yield-focused investments over time, yielding greater capital appreciation and higher dividends for long-term investors.

4 What to Buy Applying This to Your Own Needs

Investment Approach for Average Investors

The average investor often lacks the time and expertise required for successful investment management, leading to reliance on misconceptions about the qualities needed for success. A common but misguided image is that of a reclusive, number-focused analyst, which can be detrimental

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to effective stock investment.

Misconceptions About Investment Expertise

Successful investing extends beyond mere statistical analysis. Many skilled investors who focus solely on data may yield limited profits compared to those who understand and appraise the characteristics of high-quality growth companies. Growth stocks typically provide substantial returns over time, unlike undervalued stocks that can take years to adjust to their true value.

Investor Time and Geographic Considerations

Investors must consider their time and ability to network with professionals for insights. Geography can also limit access to industries and investment opportunities; nonetheless, even rural investors can find actionable guidance through financial experts.

Choosing Professional Advisors

Investors are advised to delegate investment decisions to qualified experts unless they have the requisite skills. It is

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essential to select an advisor based on a clear track record of performance, honesty, and compatibility with one's own investment philosophy. This choice is critical as the investment field remains less regulated than others like medicine and law.

Types of Stocks and Investment Characteristics

Investors should differentiate between two categories of growth stocks: large, stable companies (like Dow, Du Pont, IBM) known for consistent dividend growth and potential capital appreciation, and smaller, younger companies with high growth potential but greater risk of loss.

Investment Strategy and Risk Assessment

A cautious approach suggests allocating the majority of investments to more established growth stocks while reserving a small portion for riskier young companies. This balance enables potential high returns while mitigating overall risk.

Special Considerations for Small Investors

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Small investors should only use surplus funds for high-risk investments, prioritizing stability and existing financial obligations. The need for current income versus potential future growth varies based on individual circumstances and preferences. A clear understanding of investment goals and risk tolerance is fundamental.

Long-term Outcomes of Growth vs. Yield Stocks

Historical studies indicate that growth stocks consistently outperform yield-focused investments over time, demonstrating superior capital appreciation and increased dividends, making them a more lucrative choice for long-term investors looking to maximize wealth.

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Chapter 14 Summary : 5 When to Buy

Section	Summary
Importance of Timing in Stock Purchasing	Timing of purchases is as crucial as selecting growth stocks, as buying at the right moment can amplify profits.
Flaws in Conventional Economic Forecasting	Relying on economic data for market predictions is unreliable; historical data shows conflicting forecasts indicating uncertainty.
The Nature of Growth Stocks	Growth stocks may have initial losses and volatility; timing investments at critical phases can yield opportunities despite potential delays.
Buying Opportunities and Investor Decisions	Investors should seize moments of price declines due to company challenges, but also exercise patience through staggered investments.
Adapting to Market Conditions	Experienced investors can buy freely, while newcomers should stagger purchases to avoid losses during market peaks.
Final Thoughts on Investment Strategy	Investors should focus on thorough company analysis rather than economic cycles, understanding unique company traits to make informed decisions.

When to Buy

Importance of Timing in Stock Purchasing

While finding outstanding stocks with growth potential is critical, the timing of purchases also matters. Buying at the right time can significantly enhance profits, even when the selected stocks are destined for long-term success.

Flaws in Conventional Economic Forecasting

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Investors often rely on economic data to predict market trends, believing it informs their purchasing decisions. However, forecasting business trends is highly unreliable and has not advanced sufficiently to justify such reliance. Historical data showcases frequent conflicting forecasts from experts, indicating the inherent uncertainty in predictions.

The Nature of Growth Stocks

Growth stocks often undergo development that can lead to initial losses and significant volatility. Timing purchases around key phases—such as the start of full-scale production—can provide considerable investment opportunities. Investors must recognize that while early signals may indicate confidence, substantial delays and issues are common during the transition to commercial production.

Buying Opportunities and Investor Decisions

Investors should watch for pivotal moments when company challenges lead to temporary price declines. Swift response to such buying opportunities can yield substantial returns as the company stabilizes and profits grow. That said,

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successful investing may also involve patience—investors should stagger investments to mitigate risks in the event of market downturns.

Adapting to Market Conditions

Investors with a history of successful investments can afford to buy without significant market concern. However, those new to investments should stagger purchasing to avoid committing funds at market peaks. This strategy helps in case of downturns and strengthens proficiency in investment selection.

Final Thoughts on Investment Strategy

Investors should not be deterred by economic cycles or speculative forecasts. Instead, they ought to act based on thorough analysis of specific company situations, recognizing that various forces influence stock prices. Understanding the unique attributes of companies prepares investors to make informed decisions, maximizing potential profits while minimizing risks.

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Example

Key Point: The Timing of Purchases is Crucial for Investment Success

Example: Picture yourself closely monitoring a promising tech company that recently launched a revolutionary product. You're excited as its stock price initially soars, reflecting investor enthusiasm. However, after a temporary setback due to unexpected production delays, the stock price drops, presenting a potential buying opportunity. By using the knowledge of the company's growth prospects and acting swiftly to purchase shares at this lower price, you position yourself to maximize your profits as the company recovers and thrives. This scenario illustrates that recognizing the right moment to buy—especially during dips—can significantly enhance your investment returns, even for stocks destined for long-term growth.

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Chapter 15 Summary : 6 When to Sell

Section	Summary
Introduction	Focus on financial motives for selling stocks to maximize investment returns.
Reasons for Selling Stocks	Recognizing a Mistake: Acknowledge buying errors for timely selling to minimize losses and reinvest capital wisely. Deterioration of Company Fundamentals: Sell if company performance declines below initial purchase standards, often due to poor management or growth opportunities. Switching to a Better Investment Opportunity: Sell if a more promising investment arises, weighing potential returns against tax implications.
Misguided Reasons for Selling Stocks	Common misconceptions include fears of market declines and premature selling of appreciated stocks, which can lead to missed profits and losses.
Conclusion	Timing to sell is rare if initial selection was sound; decisions should be based on analysis of future potential, not emotions or trends.

When to Sell And When Not To

Introduction

Investors may sell common stocks for various personal reasons, but this discussion focuses exclusively on financial motives aimed at maximizing investment returns.

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Reasons for Selling Stocks

1.

Recognizing a Mistake

- The first reason to sell is if a mistake has been made during the initial purchase. Acknowledging this requires self-honesty and emotional control.
- Timely recognition of a buying error can minimize losses and free up capital for better investments.
- Investors often struggle with the emotional aspect of taking losses, which can lead to further financial detriment if they hold onto poorly performing stocks.

2.

Deterioration of Company Fundamentals

- Investors should sell when a company's long-term

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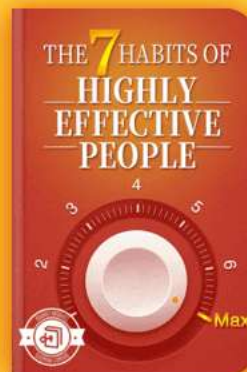
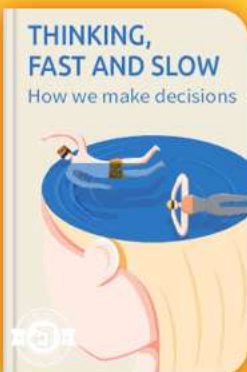


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Chapter 16 Summary : 7 The Hullabaloo about Dividends

The Hullabaloo about Dividends

Confusion Surrounding Dividends

The general public often misunderstands the significance of dividends in common stock investments, leading to misconceptions about their role and importance. This confusion is exacerbated by terminology used by corporations when discussing dividends.

Misinterpretation of Dividend Actions

Many investors incorrectly assume that companies are doing nothing for shareholders if they maintain low dividends. However, reinvesting profits into growth opportunities may benefit shareholders more than distributing dividends.

Benefit from Retained Earnings

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Benefits from retained earnings vary greatly. Sometimes, shareholders derive no benefit at all, especially when management retains excessive cash or inefficiently utilizes retained earnings, leading to minimal profits.

Economic Factors Affecting Retained Earnings

Two major issues influence how retained earnings affect shareholders. First, companies may spend on necessary but unproductive assets to remain competitive, failing to enhance business value. Second, traditional accounting practices may not reflect fluctuations in asset values, leading to retained earnings that do not correlate to increased shareholder value.

Case Study of Retained Earnings

Using a fictitious example, it is illustrated that maintaining a stable dividend can favor long-term growth over immediate gains. Decisions about increasing dividends often misinterpret shareholder needs, particularly when lower-income stockholders might benefit more from reinvested earnings.

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Tax Considerations and Reinvestment

Tax implications further complicate dividend discussions. Dividends received by shareholders are often reduced significantly after taxes and transaction costs, leading to a situation where reinvesting retained earnings is preferable.

Dividend Regularity Over Amount

Investors prioritize dividend consistency over maximization. Predictable dividends enable shareholders to plan their finances better, while fluctuating dividends create instability.

Management's Role in Dividend Policy

Corporations that establish a clear, consistent dividend policy attract a loyal investor base. A well-managed dividend strategy considers necessary earnings retention for growth while ensuring some level of dividends for stability.

Conclusion on Dividend Importance

Overall, dividends may be less crucial than traditionally thought, especially for long-term growth-oriented investors.

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Companies with low dividend yields are often better investments because their retained earnings lead to greater capital appreciation. The optimal investment returns often come from firms that prioritize reinvestment over high dividend payouts.

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Chapter 17 Summary : 8 Five Don'ts for Investors

Don't	Description
1. Don't Buy Into Promotional Companies	Avoid investing in newly formed companies without profitability track records; focus on established firms with observable strengths/weaknesses.
2. Don't Ignore Over-The-Counter Stocks	Do not dismiss OTC stocks as they may present viable options with adequate liquidity when carefully evaluated.
3. Don't Buy Based on the Tone of Annual Reports	Be cautious of decisions made solely on annual report presentation; conduct thorough analysis of financial and operational fundamentals.
4. Don't Assume High Price-Earnings Ratios Indicate Overvaluation	A high P/E ratio may reflect consistent performance and future growth; focus on understanding the company's quality.
5. Don't Quibble Over Small Changes in Stock Prices	Avoid being overly cautious about minor price differences; focus on long-term gains and strategic stock accumulation.

Five Don'ts for Investors

1. Don't Buy Into Promotional Companies

Investors should avoid promotional companies that are newly formed and without a track record of profitability. These companies often lack established operations, and investing in them can lead to poor outcomes compared to established firms where operational strengths and weaknesses are observable. Investors without the necessary expertise to assess these early-stage companies risk disillusionment and

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should instead focus on already established businesses with proven success.

2. Don't Ignore Over-The-Counter Stocks

Investors should not dismiss over-the-counter (OTC) stocks simply due to their non-listing on major exchanges. Market dynamics have changed since the 1920s, leading to a rise in small investors and institutional buyers, making marketability a priority. While OTC stocks may carry different risks, with careful evaluation of the security and dealer, they can present viable investment options with adequate liquidity.

3. Don't Buy Based on the Tone of Annual Reports

Investors must be cautious about making decisions based purely on the tone and presentation of annual reports. These documents may be more reflective of public relations efforts than the actual performance or health of the business. A favorable impression should not substitute for thorough analysis of solid financial and operational fundamentals.

4. Don't Assume High Price-Earnings Ratios

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Indicate Overvaluation

Investors should not presume that a high price-earnings (P/E) ratio signals that a stock has already accounted for future earnings growth. A successful company might maintain a higher P/E ratio due to consistent performance and the prospect of continued growth. Understanding the intrinsic quality of the company is crucial for positioning in relation to peers.

5. Don't Quibble Over Small Changes in Stock Prices

Investors should avoid being overly cautious about small price differences when purchasing stocks. Focusing on saving a minimal amount can lead to missing out on significant long-term gains. For small investors, the advice is to buy at the market when they find the right stock. Larger investors should work closely with brokers to strategically accumulate shares without artificially inflating prices.

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Example

Key Point: Don't Buy Into Promotional Companies

Example: Imagine you're drawn to a flashy advertisement promising huge returns from a brand-new tech startup. The excitement makes you consider investing, but remember that without a historical performance to analyze, it's much like gambling. Instead, think of how you'd choose a restaurant—with options, you'd pick one with longevity and consistent reviews. By focusing on established companies instead, you shield your investments from the high risks that come with unproven enterprises.

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Critical Thinking

Key Point: Promotional Companies Pose Risks for Investors

Critical Interpretation: Fisher advises against investing in newly established promotional companies due to their unproven track record. However, this viewpoint can be debated as some investors may find unique opportunities in these companies despite the risks. Critics argue that emerging firms can deliver high returns if one conducts thorough research and possesses a strong understanding of market dynamics. Thus, while caution may be warranted, the assertion that such investments are categorically unfavorable may overlook potential future successes that exist outside established firms.

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Chapter 18 Summary : 9 Five More Don'ts for Investors

Five More Don'ts for Investors

1. Don't overstress diversification.

While diversification is widely celebrated, the danger lies in over-diversification. Many investors own too many stocks, often with little knowledge of the companies. Investors should prioritize knowing their investments well rather than simply spreading their money thin across numerous ventures. A rough guideline suggests having five to ten well-researched stocks, minimizing risk while maintaining attractiveness in investments.

2. Don't be afraid of buying on a war scare.

Psychological responses to war can lead to market plunges, despite stocks often rising post-conflict. Investors should view war scares as opportunities to buy potential growth

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stocks, as the inflation caused by war increases nominal prices. Buying should occur gradually during scares and aggressively during actual conflicts.

3. Don't forget your Gilbert and Sullivan.

Investors often focus on past stock prices and earnings, which can mislead decisions. Historical figures can obscure the current value and growth potential of a stock. Instead, investors must prioritize future performance and evolving company conditions rather than past statistics.

4. Don't fail to consider time as well as price in buying a true growth stock.

Timing purchases can be crucial, especially if a better price could be achieved later. Instead of fixating on current prices, investors should determine optimal buying dates informed by

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Chapter 19 Summary : 10 How I Go about Finding a Growth Stock

How I Go about Finding a Growth Stock

In the aftermath of the original publication of "Common Stocks and Uncommon Profits," interest surged among readers regarding how to identify investments likely to yield significant market gains. The process of finding such investments is complex, time-consuming, and requires skill, leading some investors to question whether the effort justifies their smaller investment amounts. While no simple solution exists, the following detailed method has proven effective.

Investment Selection Process

Finding worthwhile investments involves two critical stages, both significantly influencing financial outcomes. At the first stage, investors must select a small number of stocks from thousands available for more intensive study. The initial decision-making carries weight analogous to the final decision on whether to invest. Effective screening is crucial,

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as poor selection could lead to missed opportunities or unnecessary effort on lackluster stocks.

Sources for Investment Ideas

Initially, the author believed that insights from business executives and scientists would lead to promising stocks. However, research revealed that most valuable leads came from a select group of respected investment professionals, indicating that networking with skilled investors proves more fruitful.

Evaluating Companies

Once a potential company emerges, three actions are avoided: engaging management too soon, overly analyzing annual reports, and probing stockbroker opinions. Instead, preliminary evaluation includes general financial health checks and SEC prospectus reviews to inform a strategic investigation approach.

Using 'Scuttlebutt' Method

Employing the "scuttlebutt" approach, the author seeks

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information from customers, suppliers, competitors, and knowledgeable individuals in the business to gather actionable insights about the company. If sufficient background isn't obtainable, he suggests moving on to another investment opportunity rather than exhausting resources on a lackluster lead.

Understanding Management Dynamics

When approaching company management, thorough preparation is emphasized. Gathering substantial prior knowledge allows investors to form relevant questions and gauge management's competence accurately. The author points out that often, the legitimacy and depth of information shared by management depend on the visitor's perceived competence.

Conclusion and Perspective

In conclusion, the author's method is labor-intensive and requires committed effort, but the potential rewards for successful stock selection are high. The essence of this approach lies in hard work, thorough analysis, networking with knowledgeable individuals, and adhering to well-informed strategies prior to investing.

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Example

Key Point: The critical step in finding growth stocks involves thorough preparation and strategic information gathering.

Example: Imagine you're preparing to invest in a tech startup. Instead of merely skimming their annual reports or asking your broker for an opinion, you decide to adopt a methodical approach. You begin by researching the company's market position, then speak to customers to understand their experiences. You also reach out to suppliers to gather insights on product supply and demand dynamics. This groundwork equips you with the necessary knowledge leading up to an informed conversation with the company's management. With your thorough preparation and research, you pose insightful questions, demonstrating your understanding and interest, allowing for a deeper exploration of the company's potential. As a result, you're more likely to distinguish between a viable investment opportunity and one that isn't worth your time, ultimately positioning you for greater success in your investing endeavors.

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Critical Thinking

Key Point: The labor-intensive nature of effective stock selection may deter some investors, suggesting that effort does not always equate to returns.

Critical Interpretation: Fisher posits a rigorous methodology for identifying growth stocks, which he advocates for its potential rewards. However, it is crucial for readers to acknowledge that investing is inherently unpredictable and extremely subjective; varying interpretations of 'worthwhile investments' can lead to differing outcomes. Critics of Fisher's approach may argue that his advice could overly complicate what ought to be simpler decision-making for individual investors, potentially alienating those who lack the resources or risk appetite to engage in such intensive analysis (see 'A Random Walk Down Wall Street' by Burton Malkiel for alternative investing philosophies). Additionally, market dynamics change, and what was once a successful strategy may need reevaluation in today's fast-paced trading environments.

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Chapter 20 Summary : 11 Summary and Conclusion

11 Summary and Conclusion

As we enter the second decade of the next fifty years, there is potential for unprecedented advancements in global living standards. Despite significant investment risks in the past, substantial financial rewards have been achievable for the successful investor. The turbulence of previous years may pale in comparison to the opportunities and challenges ahead. Although we may not have fully mastered the business cycle, new factors have emerged that significantly impact investment in common stocks. Notably, advancements in modern corporate management and the application of scientific research and engineering have enhanced the investment appeal of common shares.

These developments have underscored the importance of the fundamental principles of successful common stock investment, which this book aims to elucidate. Key insights include the types of stock to purchase, optimal timing for acquisitions, and the importance of holding onto investments

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as long as the company's performance remains strong. The discussion also highlights common mistakes made by investors, emphasizing that understanding these pitfalls requires patience and self-discipline. An experienced investor once stated that a well-calibrated emotional state is even more critical than intellect in navigating the stock market. Shakespeare aptly summed it up: harnessing the right moment can lead to fortune.

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Chapter 21 Summary : Epigraph

Summary of Chapter 21 of "Common Stocks and Uncommon Profits and Other Writings" by Philip A. Fisher

Principles of Success

Philip Fisher emphasizes the importance of integrity, ingenuity, and hard work in achieving business success. He dedicates the book to his sons, believing they follow these principles.

Current Investor Sentiment

Fisher notes that the morale of American investors is notably low, with significant losses in the stock market since the peak in 1968. The Dow Jones Industrial Average might not accurately represent the extent of these losses, as it can mask the declines many stocks have experienced.

Investor Behavior and Conservative Investing

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In response to market declines, many investors are pulling out of stocks, while some choose to invest conservatively. Fisher distinguishes between conservative investments—those likely to preserve purchasing power with minimal risk—and conservative investing, which requires understanding what constitutes a conservative investment and conducting thorough inquiries.

Need for Clarity in Investment Approach

Fisher argues for clarity in how investments are defined and approached, suggesting a dual requirement for investors to be truly conservative in their strategies. He warns against the confusion that has historically led to severe losses, including during the Great Depression.

Responsibilities of Investors and Financial

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Chapter 22 Summary : Introduction

Introduction

The morale of American investors is currently at a low point, reminiscent of only one other time in this century. While the Dow Jones Industrial Average reflects short-term stock market changes, it does not capture the larger decline experienced by many investors. As of mid-1974, an average stock has dropped 70% since its peak in 1968.

In response to these losses, investors have reacted predictably, with some completely leaving the stock market, while others adopt a more conservative approach, focusing solely on well-known, large companies. However, this is often confused with true conservatism in investing.

Definitions

1. A conservative investment is one that is likely to maintain purchasing power with minimal risk.
2. Conservative investing involves understanding what constitutes a conservative investment and taking the necessary steps to verify that specific investments meet these

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criteria.

To be a conservative investor, one must recognize both the desired qualities in an investment and follow a proper inquiry to determine if an investment is genuinely conservative.

Without these conditions, investors may not be managing their stocks conservatively, whether they are following conventional wisdom or not.

Importance of Clarity in Investing

It is crucial to eliminate confusion surrounding conservative investments, as both investors and the broader American economy cannot afford further losses like those experienced previously. America has the potential for significant improvements in quality of life, but achieving this requires re-education in investment fundamentals for both investors and industry professionals.

If investors do not achieve a sense of financial security, the cycle of government financing for needed projects—often inefficient and costly—will continue. Therefore, it is essential to confront current investor challenges directly.

Structure of the Book

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The book is organized into four main sections:

1. An analysis of what defines a conservative stock investment.
2. Examination of mistakes made by the financial community that contributed to the bear market, aimed at preventing future errors and clarifying investment principles.
3. Guidelines for qualifying as a conservative investor.
4. Discussion of current influences creating doubt about the suitability of common stocks as a means of asset preservation.

This book aims to clarify whether the recent bear market presents a trap for unsuspecting investors or, as in past bear markets, offers a prime opportunity for disciplined thinkers to act independently of prevailing market emotions.

PHILIP A. FISHER

San Mateo, California

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Critical Thinking

Key Point: The essence of conservative investing

Critical Interpretation: Fisher emphasizes the notion that conservative investing is rooted in understanding risk and maintaining purchasing power. However, one could challenge this perspective by asserting that adhering strictly to traditional definitions of conservatism may overlook innovative investment opportunities that can yield significant rewards. For instance, academic research such as "Value Investing: A Factor Approach" by Eugene Fama and Kenneth French suggests that factors such as size and value can significantly enhance investment returns, thereby questioning the completeness of Fisher's conservative framework.

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Chapter 23 Summary : 1 The First Dimension of a Conservative Investment

1 The First Dimension of a Conservative Investment: Superiority in Production, Marketing, Research, and Financial Skills

A conservative investment in a corporation necessitates specific characteristics segmented into four primary subdivisions.

LOW-COST PRODUCTION

To qualify as a conservative investment, a company must generally be the lowest-cost producer across most product lines, with a promise of ongoing cost leadership. This position creates a safety net with sufficient margins above break-even points, especially during economic downturns, resulting in reduced competition as higher-cost producers may exit the market. Lower-cost companies can increase their profits by capturing demand from exited competitors and possibly raising prices.

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Additionally, strong profit margins enable internal financing for growth, reducing reliance on external capital that can dilute shareholder value or increase debt burdens. However, while low-cost producers offer safety, their appeal may diminish during market booms when higher-cost producers may show explosively higher short-term profit increases.

STRONG MARKETING ORGANIZATION

A robust marketing organization is vital for recognizing and responding to changing consumer preferences. Companies must not only identify these trends but also effectively communicate their advantages to potential buyers through various channels. An efficient producer with weak marketing may underperform, much like a powerful engine hindered by mechanical issues.

OUTSTANDING RESEARCH AND TECHNICAL EFFORT

Technological proficiency is essential across all industries, not just scientific fields. Companies must leverage research for innovation in product development and enhancing service delivery. Coordination among research, marketing, and

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production is crucial; a strong research team can become ineffective without a clear path to marketable products. Companies that master this balance can count on sustainable innovation and profitability.

FINANCIAL SKILL

Proficient financial management is critical for tracking product profitability and optimizing costs across the organization. Companies with superior financial acumen can quickly respond to threats to profit margins and make informed investment choices, further enhancing returns and controlling operational liabilities. Such skills enable early detection of financial issues and support better inventory and receivables management.

Summary of Key Characteristics

A prudent investment company should be:

1. A low-cost producer or operator in its field, with strong marketing and financial capabilities.
2. Engaged in continual growth through new and profitable product lines that offset any potential obsolescence.
3. Successfully maintaining profitability across current and

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future product offerings.

Ultimately, in a rapidly changing world, stagnation is not an option. Companies must evolve continually to survive and thrive, emphasizing that maintaining a competitive edge through innovation and efficiency is essential for long-term success.

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Chapter 24 Summary : 2 The Second Dimension

The Second Dimension: The People Factor

Overview of Investment Dimensions

The first dimension of conservative investment focuses on managerial competence in production, marketing, research, and financial controls, reflecting current results. The second dimension emphasizes the underlying forces—specifically, the people—who produce these results and will sustain them over time.

Characteristics of Effective Leadership

A successful corporation often has a corporate chief executive who is dedicated to long-term growth and who has surrounded themselves with a competent team. These individuals must work collaboratively towards clear corporate goals, including the identification and training of

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future leaders.

Promoting from Within vs. External Hiring

While internal promotion is preferred to instill the unique policies and methods of a company, external hiring may sometimes be necessary for specialized skills or at lower levels. However, frequent external recruitment, especially for top positions, can signal underlying management issues.

Management Team Dynamics

The effectiveness of a management team can be gauged by comparing salaries; a significant disparity in compensation may indicate a lack of teamwork. Optimal management requires a balance of authority and the presence of innovative "vivid spirits" who aim for continuous improvement.

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Chapter 25 Summary : 3 The Third Dimension Investment Characteristics of Some Businesses

The Third Dimension Investment Characteristics of Some Businesses

Overview of Investment Dimensions

The conservative stock investment approach consists of three dimensions:

1. The excellence of company activities related to profitability.
2. The quality of management and policies.
3. The inherent characteristics of the business that sustain above-average profitability.

Importance of Above-Average Profitability

Above-average profitability is crucial as it:

- Fuels growth, which requires significant capital for various

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expenses like marketing and production expansion.

- Provides a buffer during inflationary periods, allowing companies to absorb rising costs better than competitors with thinner margins.

Evaluating Profitability

Profitability is assessed through:

- Return on invested assets: A fundamental indicator for management decisions.
- Profit margins: While critical for safety, high sales turnover can indicate greater profitability than higher margins when combined with efficient asset use.
- In competitive landscapes, companies with better margins safeguard against increased operational costs.

Competitive Landscape

Successful companies often face new competition when profit margins exceed the norm. They can protect their market share through:

- Monopoly (often illegal) or operational efficiency that deters competition.

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Characteristics Supporting Sustained Profitability

1.

Economies of Scale

: Larger companies can often reduce production costs. However, mismanagement can outweigh these advantages.

2.

First-Mover Advantage

: Companies that innovate and establish a strong market presence often retain leadership and profitability, using their reputation to secure customer loyalty.

3.

Market Positioning

: Companies that dominate their sectors, like Campbell Soup, benefit from brand recognition, strategic distribution, and lower marketing costs.

4.

Technological Complexity

: Firms that leverage multidisciplinary expertise secure competitive advantages, as new entrants face substantial barriers to entry.

5.

Customer Relationships

: Established companies benefit by creating habitual reorder

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practices within customer bases, making competition economically challenging for newcomers.

Profit Margin Analysis

- A sustainable profit margin, even if only slightly above competitors, can enhance investment appeal.
- Overly high profit margins may attract excessive competition, risking the value of investment.

Conclusion on Conservative Investment

An effective conservative investment strategy combines quality management with inherent business characteristics that support sustained profitability. Investors should assess whether companies possess unique advantages that others cannot replicate easily.

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Chapter 26 Summary : 4 The Fourth Dimension Price of a Conservative Investment

The Fourth Dimension Price of a Conservative Investment

Introduction to Price-Earnings Ratio

The fourth dimension of stock investment focuses on the price-earnings (P/E) ratio, which is calculated by dividing the current stock price by earnings per share. Many investors struggle to appropriately evaluate P/E ratios, leading to significant financial losses due to incorrect stock valuations and misjudged selling decisions.

Understanding Price Movements

Stock prices fluctuate significantly based on the financial community's changing appraisals. For example, a company may transition from being perceived as ordinary to

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remarkable due to enhanced earnings and growth potential, which can prompt a rise in its P/E ratio, contributing to a considerable increase in stock price.

The Role of Subjective Appraisal

Appraisals are inherently subjective and not always aligned with the real circumstances of a company. Price movements often reflect the collective perception of investors rather than actual developments within the company.

Impact of High and Low Appraisals

Appraisal discrepancies can lead to prolonged periods where stocks either exceed or fall short of their intrinsic values. Over time, these appraisals tend to correct, leading to increased volatility in stock prices.

Investment Risk Levels

1.

Low Risk:

Companies with sound fundamentals and undervalued appraisals present less risk; these are ideally positioned for

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growth.

2.

Moderate Risk:

Companies that display strong fundamentals and have fair valuations are usually safe investments.

3.

Increased Risk:

Companies with solid fundamentals but high valuations might not be advisable for fresh investments, though they can still be beneficial to current holders.

4.

Speculative Risk:

Stocks of average quality that are either undervalued or fairly priced can be risky and are not suited for conservative investors.

5.

High Risk:

Companies with inflated appraisals compared to their current conditions represent the greatest danger and can lead to severe losses.

Conclusion

Investors must evaluate the disparity between

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financial-community appraisals and actual company fundamentals to make informed decisions. A nuanced understanding of these dynamics is critical for navigating investment risks effectively.

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Chapter 27 Summary : 5 More about the Fourth Dimension

5 More about the Fourth Dimension

Overview of Stock Appraisal

The appraisal of a stock is a complex process influenced by three key evaluations: the market's view on common stocks in general, the specific industry's attractiveness, and the individual company's performance.

Industry Appraisals

Long-term trends show that as industries evolve, their price-earnings ratios fluctuate significantly. For example, the electronics industry saw high initial price-earnings ratios, which later declined due to technological advancements, such as the rise of semiconductors.

Case Study: Chemical Industry

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From the Great Depression to the mid-1950s, major U.S. chemical companies enjoyed high price-earnings ratios due to their innovative outputs. However, by the 1960s, their status declined as they started to be viewed similarly to bulk commodity industries, resulting in lowered valuations despite unchanged fundamentals.

Historical Perspective

Throughout the late 20th century, factors influencing industry images often shifted without substantial changes in the actual operating environment. The financial community's focus can dramatically alter industry's appraisal, as seen when chemical stocks regained favor in 1973 due to new economic conditions favoring capacity constraints.

Examples of Image Change

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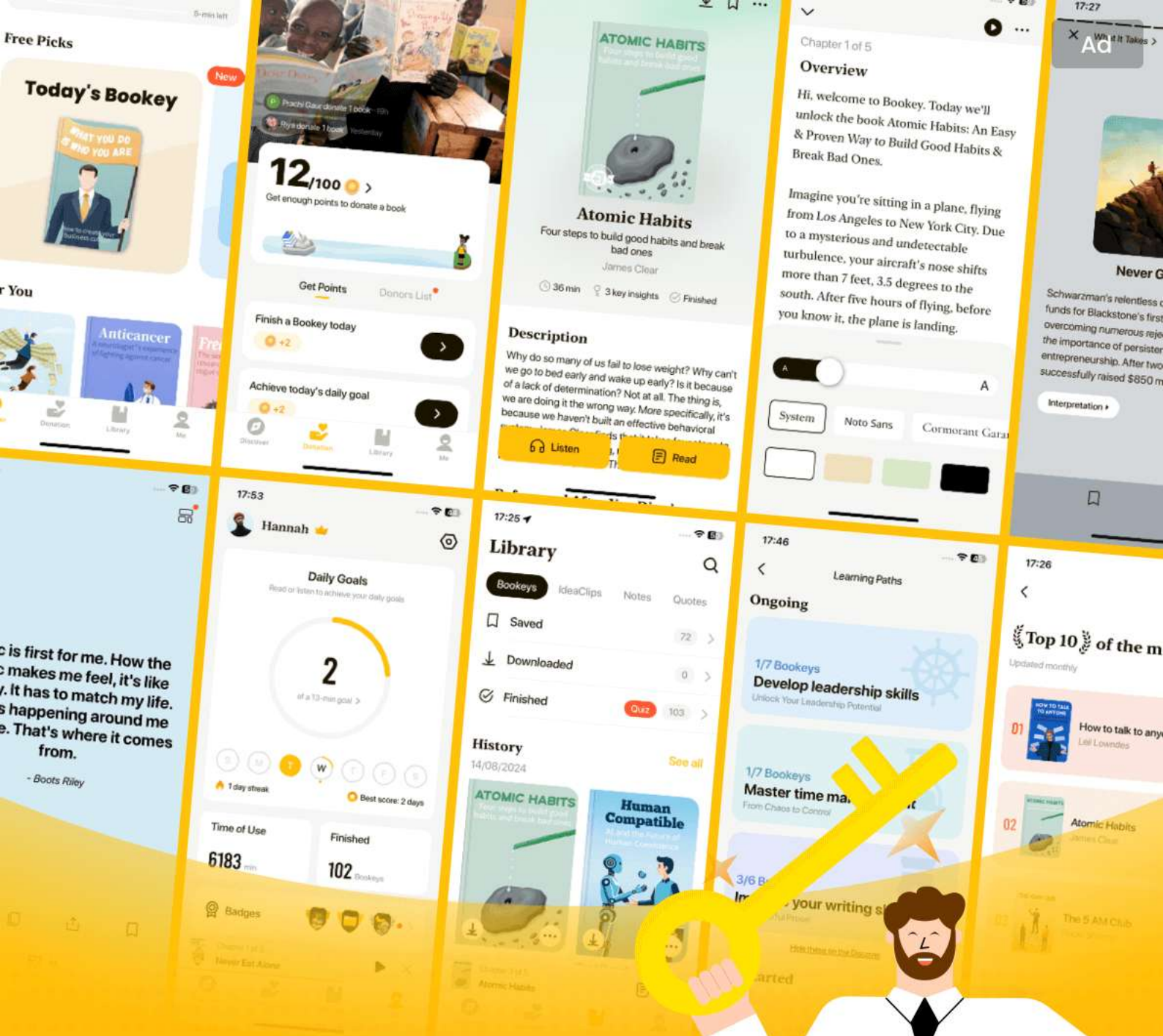
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Chapter 28 Summary : 6 Still More about the Fourth Dimension

Summary of Chapter 28: Still More about the Fourth Dimension

Importance of Financial Community Appraisal

The financial community's evaluation of a company's attributes significantly influences its price-earnings (P/E) ratio, often more than the industry assessment. A stock's P/E ratio rises when its characteristics align with desirable investment traits and falls when these traits diverge. Investors can identify undervalued or overvalued stocks by understanding the disparity between a company's true situation and its perceived image.

Complexities of Comparing Stocks

Investors may oversimplify stock comparisons through basic mathematical evaluations based on their P/E ratios. A lower

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P/E does not inherently indicate a better investment, as risks associated with capital structuring and business stability could vary significantly between companies.

The Future Profit Growth Rule

A key investment principle states that the longer a company's profits are expected to grow, the more an investor can rationally pay in terms of P/E ratio. This rule necessitates caution; ratios are influenced by prevailing financial community beliefs rather than actual outcomes. Market sentiment can lead to P/E ratio fluctuations that do not immediately reflect a company's performance.

Example: Motorola's Market Reaction

A case study of Motorola illustrates complex investor reactions to news that altered the company's image. Following the sale of its television business, the stock surged due to changing perceptions about its profitable sectors. However, those who invested immediately faced short-term losses as wider market conditions shifted.

Evaluating Historical Market Sentiments

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Historical appraisals, such as the euphoric climate preceding the Great Depression and the pessimism during the late 1940s, demonstrate how perceptions can diverge vastly from reality. Current analysis of low P/E ratios could similarly reflect misplaced fears today, warranting a detailed understanding of the investment landscape.

Influence of Interest Rates

The overall level of stock prices is impacted not only by company-specific and industry assessments but also significantly by interest rates. High interest tends to draw capital away from stocks while low rates attract investment. Understanding these broader financial factors is crucial for evaluating stock price attractiveness.

Conclusion on the Fourth Dimension

The final analysis is that stock prices reflect the current financial community's perceptions of the company, industry, and the overall market level. Determining whether a stock's price is appealing hinges on recognizing discrepancies between these appraisals and the true fundamentals,

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alongside anticipating shifts in critical financial factors, particularly interest rates.

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Chapter 29 Summary : Dedication to Frank E. Block

Dedication to Frank E. Block

This book is dedicated to Frank E. Block, C.F.A., in recognition of his significant contributions to the Institute of Chartered Financial Analysts. He was honored with the C. Stewart Shepard Award for his dedication and leadership in promoting the education of financial analysts, establishing ethical standards, and developing educational programs and publications in the field.

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Chapter 30 Summary : 1 Origins of a Philosophy

Section	Summary
Origins of a Philosophy	Fisher & Co. aims to invest in a few companies with significant growth potential while minimizing risk, focusing on long-term profits, effective strategy implementation, and acknowledging mistakes. Preferred sectors include manufacturing with advanced technology.
The Birth of Interest	Fisher's childhood interest in the stock market stemmed from discussions between family members about business conditions affecting stocks, leading to a lifelong curiosity about investing.
Formative Experiences	At Stanford, Fisher's visits to large businesses underscored the significance of management and sales capabilities alongside efficient operations, solidifying his belief in certain companies' growth potential.
First Lessons in the School of Experience	As a bank statistician in 1928, Fisher identified flaws in investment analysis and began conducting his own evaluations, realizing the importance of comprehensive company knowledge and understanding management.
Building the Basics	Analyzing the radio industry taught Fisher to seek direct insider information rather than depend on financial publications, emphasizing the need to understand company performance and leadership.
The Great Bear Market	Fisher predicted the 1929 market crash but failed to profit due to focusing on undervalued stocks; he learned to emphasize future earnings potential over current valuations.
A Chance to Do My Thing	In 1930, Fisher transitioned to a brokerage firm where he explored stock opportunities, negotiating job security amidst an economic downturn due to his bearish outlook.
From Disaster, Opportunity Springs	The insolvency of Fisher's firm in 1931 prompted him to identify a demand for innovative investment management, leading him to establish his own business.
A Foundation is Formed	Fisher founded his business in 1932, managing to keep overhead low while focusing on client relationships. Initial modest earnings laid the groundwork for a loyal client base and future success.

Origins of a Philosophy

Fisher & Co. strives to invest in a small number of companies that exhibit potential for significant profit and sales growth compared to the industry average, while maintaining a low risk profile. This requires management to

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prioritize long-term gains over immediate profits, effectively implement strategies in daily operations, and recognize mistakes for timely remediation. Fisher's focus has been on manufacturing companies utilizing advanced technology and sound business judgment, with the potential for similar results in other sectors.

The Birth of Interest

Fisher's introduction to the stock market occurred during childhood, sparked by a conversation between his grandmother and uncle about business conditions affecting her stocks. This early exposure ignited Fisher's interest in investing and understanding business growth. Despite initial experiences yielding negligible lessons in investment policy, curiosity about stock investment became a lifelong pursuit.

Formative Experiences

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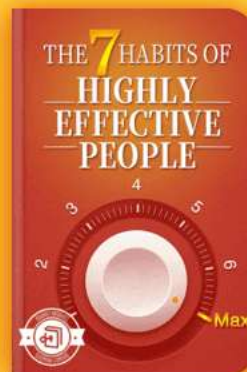
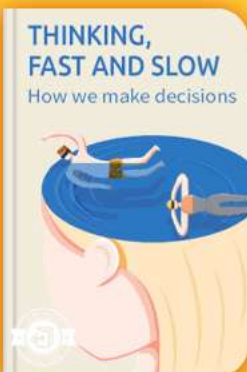


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Chapter 31 Summary : 2 Learning from Experience

Learning from Experience

Overview of the Food Machinery Corporation

During his time at the bank, Fisher recalled the merger of John Bean Manufacturing Co., Anderson-Barngrover Manufacturing Co., and Sprague Sells Corporation, forming the Food Machinery Corporation in 1928. Amid a stock market bubble where many poorly vetted companies flourished, Food Machinery's shares peaked at about \$21.50 before declining sharply during the Great Depression.

Investment Opportunity

By 1931, Fisher saw potential in Food Machinery as a significant investment opportunity, learning from past mistakes of not evaluating management. He found the company to be a world leader in its segments, benefiting

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from its size and efficiency, a strong competitive position, and a creative engineering team.

Key Management Traits

Fisher emphasized the importance of two critical traits in successful management: strong business ability and integrity. He admired the leadership qualities of key figures within Food Machinery, such as John D. Crummey and Paul L. Davies, believing that they were vital to the company's success.

Zigging and Zagging

Fisher referred to the importance of contrarian investing—‘zigging’ when the market is ‘zagging’—which allowed him to purchase Food Machinery shares at a great discount. He stressed that recognizing true value before the general market does is crucial for making substantial profits.

Patience and Performance

Fisher established a “three-year rule” to evaluate investment performance, advising clients to wait three years before

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assessing the success of an investment. He learned through both successful and challenging investments about the importance of long-term commitment.

Market Timing and Trading Philosophy

He experimented with market timing through short-term trading in the California Packing Corporation. Despite making some profits, he realized that this approach took valuable time and attention away from more promising long-term investments, thus shaping his decision to focus exclusively on long-term growth strategies.

Avoiding Arbitrary Price Limits

Fisher learned the danger of being overly rigid with purchase limits. An example of a missed opportunity occurred when a client refused to pay a quarter more for Food Machinery stock, which ultimately rose significantly in price. This experience taught him the value of flexibility in buying and selling stocks.

Conclusion

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Throughout his experiences, Fisher highlighted the significance of thorough management evaluation, a deep understanding of company dynamics, patience in investment, and the elimination of unnecessary limitations that can hinder profitable strategies.

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Chapter 32 Summary : 3 The Philosophy Matures

The Philosophy Matures

Our entry into World War II influenced my investment philosophy. During my military service from 1942 to 1945, I often switched between periods of intense work and lulls, allowing me to reflect on my business strategies. I realized that short-term trading wasn't sustainable, leading me to focus on growth investments for large clients after the war, particularly in the chemical industry. I decided to concentrate on identifying attractive chemical companies, ultimately selecting Dow Chemical after extensive research and discussions with industry experts.

E Pluribus Unum

I chose Dow Chemical for its culture of growth, enthusiasm among management, and strategic policies focused on efficiency and innovative research. Dow valued creativity and encouraged talented individuals, holding the late

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founder's principles dear. I adopted two key lessons: valuable experience comes from making mistakes, and one should only engage in opportunities where they can excel.

History Versus Opportunity

The post-war era shared similarities with the Great Depression, both characterized by investor pessimism. Despite rising corporate earnings after WWII, fears of past crashes held stock prices low. This offered opportunities for patient investors, as history proved that the market rebounded. I noted a current market condition with similarly low prices, raising questions about whether fears today are just myths preventing growth.

Lessons from the Vintage Years

From 1954 to 1969, I enjoyed business success but made significant mistakes, each providing valuable lessons. Complacency led me to overlook thorough investigations when excited about a promising new drug, ultimately causing substantial losses. Another error involved buying a technology company at an unrealistic price, resulting in minimal returns. Recognizing my limitations, I learned the

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importance of sticking to industries I thoroughly understood.

Do Few Things Well

I incorrectly expanded my investments into unfamiliar realms, realizing that skills in one area do not automatically transfer to another. It's crucial to understand personal limits and maintain focus on informed investment choices.

Stay or Sell in Anticipation of Possible Market Downturns?

I advocate for holding onto promising stocks regardless of short-term market downturns. Predictions about immediate market movements are often unreliable, and long-term investment in robust companies tends to yield greater rewards. Selling in fear of decline can result in missed opportunities for substantial long-term gains, as exemplified by my experience with Texas Instruments.

The Long Shadow of Dividends

Over time, my views on dividends evolved. Initially seen as beneficial, I shifted my perspective as I identified better

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opportunities in companies that retained earnings for growth rather than distribute them as dividends. Some investors may still require dividend income, but many can benefit from reinvested earnings. Institutional investors, now significant players, have further complicated dividend policies, often favoring dividend-paying stocks regardless of growth potential. Consequently, those not needing immediate income should prioritize low or no dividend-paying stocks for better long-term potential.

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Chapter 33 Summary : 4 Is the Market Efficient?

Is the Market Efficient?

By the 1970s, Philip A. Fisher's investment philosophy, shaped by decades of experience, had solidified. Fisher argues against the prevalent belief in efficient market theory, contending that genuine investment opportunities exist, even when the prevailing sentiment is one of uncertainty and external influence.

The Fallacy of the Efficient Market

Fisher critiques the notion that markets are perfectly efficient, noting that this theory assumes prices align with all available information. However, he suggests that the inefficiencies in the market create genuine investment opportunities for knowledgeable investors. The efficient market theory emerged from the School of Random Walkers, which identified difficulties in short-term trading strategies. Fisher emphasizes that long-term investment should focus on

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companies with exceptional growth prospects rather than on trading based on market fluctuations.

Illustrative Example: Raychem Corporation

Fisher used Raychem Corporation as a case study to illustrate market inefficiency. Raychem initially enjoyed a high price-earnings ratio due to its innovative products but faced setbacks due to a major product failure (the polymer Stilan) and management restructuring. This led to a significant drop in stock price despite the potential for future growth, demonstrating that while the market reacted negatively in the short term, diligent investors who looked beyond immediate challenges could find value.

Conclusion: Fisher's Investment Philosophy

Fisher summarizes his long-term investment philosophy in

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Chapter 34 Summary : FUNCTIONAL FACTORS

Key Elements	Description
Cost Efficiency	The firm should be among the lowest-cost producers to ensure survival during market downturns.
Profit Margin	Higher profit margins allow for internal fund generation, supporting growth without extensive equity sales or reliance on debt.
Understanding Customer Needs	A strong customer focus enables the firm to adapt to changes and develop new products that offset outdated lines.
Effective Marketing	Essential to communicate customer desires clearly and monitor marketing effectiveness closely.
Research Importance	Robust research is necessary for all firms to create new products and enhance service efficiency.
Effective Research Teams	Successful research combines market awareness with collaborative talent.
Cost Information	A strong financial team provides valuable insights, focusing on high-profit products.
Capital Control	Tight management of capital investments helps preserve resources.
Early Warning System	Critical for identifying potential threats to profitability, allowing for timely intervention.

FUNCTIONAL FACTORS

Key Elements for Firm Profitability

-

Cost Efficiency

: The firm should be among the lowest-cost producers, ensuring survival during market downturns.

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-

Profit Margin

: Higher profit margins allow for internal fund generation, which supports growth without extensive equity sales or reliance on debt.

Customer Orientation and Market Responsiveness

-

Understanding Customer Needs

: A strong customer focus enables the firm to adapt to changes and develop new products that offset outdated lines.

-

Effective Marketing

: It's essential to communicate customer desires clearly and monitor marketing effectiveness closely.

Research Capability

-

Research Importance

: Even non-technical firms need robust research to create new products and enhance service efficiency.

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Effective Research Teams

: Successful research combines market awareness with collaborative talent.

Financial Management Advantages

-

Cost Information

: A strong financial team provides valuable cost insights, focusing on high-profit products.

-

Capital Control

: Tight management of capital investments helps preserve resources.

-

Early Warning System

: Critical for identifying potential threats to profitability, allowing for timely intervention to mitigate risks.

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Critical Thinking

Key Point: The importance of cost efficiency and profit margins in ensuring firm survival during downturns can be limiting.

Critical Interpretation: Fisher posits that low-cost production and high profit margins are vital for long-term success, yet this viewpoint might oversimplify the complexities of market dynamics and competition. Relying solely on cost leadership may prevent firms from investing in innovation or customer service, which are equally essential for sustainable growth. This contrasts with other financial theories that emphasize adaptability and differentiation strategies (e.g., Michael Porter's Competitive Advantage, 1985). Additionally, the focus on traditional financial metrics may overlook qualitative aspects such as brand loyalty and employee satisfaction, which can influence profitability differently in varying market conditions.

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Chapter 35 Summary : PEOPLE FACTORS

PEOPLE FACTORS

Leadership and Team Competence

A successful firm requires a leader with an entrepreneurial spirit who possesses drive, original ideas, and the necessary skills to build the company's fortunes. This leader must surround themselves with a competent team and delegate significant authority to them, promoting teamwork over individual power struggles.

Attracting and Developing Talent

It is essential to attract capable managers for higher positions and to provide training for larger responsibilities. Succession should primarily come from internal talent, and the need to recruit a chief executive externally can indicate deeper issues within the firm.

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Organizational Culture and Adaptability

An entrepreneurial spirit should be embedded within the organization. Successful firms often exhibit unique personality traits that enhance their management effectiveness. Management must continually adapt to the rapidly changing business environment by reassessing established practices and implementing better strategies.

Risk Management and Employee Engagement

Engaging employees at all levels to foster a positive perception of the company is crucial. Employees should be treated with dignity, and the work environment should motivate them positively. It is important for workers to feel they can voice grievances without fear and expect serious consideration and resolution.

Participatory Programs and Growth

Implementing participatory programs can yield beneficial ideas and enhance employee investment in the company. Management must embrace the discipline necessary for

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sound growth, understanding that achieving long-term success may involve sacrificing some current profits.

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Critical Thinking

Key Point: The Role of Leadership in Business Success

Critical Interpretation: Fisher emphasizes the necessity of strong leadership and team competence in a firm's success. While this perspective underscores the importance of visionary leadership, it invites scrutiny regarding whether leadership alone determines a company's fate; contrasting viewpoints suggest that external market factors and systemic issues are equally pivotal (for instance, Michael Porter's theories on competitive advantage). Readers should consider that an overemphasis on leadership might overlook broader economic conditions that also affect firm performance.

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Chapter 36 Summary : BUSINESS CHARACTERISTICS

BUSINESS CHARACTERISTICS

Investment Considerations

Managers often prioritize return on assets when evaluating profitable investments, yet investors should be wary of historical asset values that can skew performance comparisons. In an inflationary environment, a favorable profit-to-sales ratio may serve as a more reliable indicator of investment safety, irrespective of turnover ratios.

Competition and Profit Margins

High profit margins can attract competition, which diminishes profit potential. The key to mitigating this risk is operational efficiency, which can discourage new entrants from competing.

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Efficiency vs. Bureaucracy

While economies of scale can enhance profitability, they may be offset by bureaucratic inefficiencies within management. However, leading firms in their industry often maintain a competitive advantage that is appealing to investors.

First-Mover Advantage

Being the first to enter a new product market can significantly increase a firm's chances of success. Certain companies are particularly well-equipped to seize this first-mover advantage.

Indirect Competition

Products do not exist in isolation; they face indirect competition for consumer spending. Shifts in pricing can

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Chapter 37 Summary : NOTE

Summary of Chapter 37 from "Common Stocks and Uncommon Profits" by Philip A. Fisher

Overview

Chapter 37 discusses key principles for investors to consider when looking for profitable investment opportunities. Fisher emphasizes the importance of thorough research and a long-term approach to investment.

Key Principles

1.

Research is Crucial

: Investors should gather extensive information about companies, their management, and their competitive position in the market.

2.

Long-Term Perspective

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: It's important to focus on companies with strong fundamentals that are likely to perform well over the long term, rather than short-term market fluctuations.

3.

Quality of Management

: Assessing the quality and capabilities of a company's management is vital, as they play a significant role in the company's success.

4.

Focus on Growth

: Look for companies with sustainable growth potential. High growth often correlates with high returns.

5.

Diversification

: A well-diversified portfolio can help mitigate risks while allowing investors to capitalize on various opportunities across different sectors.

Conclusion

Fisher concludes that a disciplined, informed, and patient approach to investing can lead to significant profits in the stock market. By applying these principles, investors can enhance their potential for success in their investment endeavors.

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Critical Thinking

Key Point: Long-Term Investment Strategy

Critical Interpretation: The emphasis on a long-term investment approach in Fisher's principles challenges the common notion of actively managing portfolios for short-term gains. While it is true that a focus on enduring quality can yield significant returns, critics argue that such a strategy might overlook immediate market conditions and emerging trends that could impact investment outcomes. For instance, academic studies, such as those by Fama and French (2012), suggest that markets can be inefficient in the short term but may not always reward long-term strategies consistently. Therefore, while Fisher's advice encourages patience and thorough research, investors should critically evaluate when to adapt their strategies based on market dynamics.

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Best Quotes from Common Stocks and Uncommon Profits and Other Writings by Philip A. Fisher with Page Numbers

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Chapter 1 | Quotes From Pages 41-47

- 1....figure out what to buy seems immediately more important than figuring out what to sell.
- 2.The craft is in the scuttlebutt, which, like all craft, takes time to learn.
- 3.If you had applied the fifteen points in this book and got your information sources from 'Main Street' instead of Wall Street, you would never have bought any of the scandal stocks...
- 4.Scuttlebutt itself can be a sort of art form that identifies characterizations of the fifteen points.
- 5.My father's fifteen points are a prescription for what to buy.
- 6....all that must be wrapped up and guided by an open, articulate management of unquestionable integrity.

Chapter 2 | Quotes From Pages 48-67

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- 1.It is clear to me, in retrospect, that my father simply skipped the craft part of what otherwise might have been in the book.
- 2.What are you doing that your competitors aren't doing yet?
- 3.I never much worried about people's assessment of what my father would and wouldn't have done.
- 4.The bear market of 2000–2002 has seen to that. Might they go lower before they go up? He would always acknowledge that possibility.
- 5.If you can read only one of my father's writing, let it be his first book. It was his best.

Chapter 3 | Quotes From Pages 68-77

- 1.Timing that right, when most others were bearish, helped secure my long-term place in Forbes, for which I've always been grateful.
- 2.He would say that if you own companies that have the fifteen points and don't get carried away by what he referred to as 'fads and fancies,' you will come through this period just fine.

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3. He always saw volatile, down markets as a great opportunity to upgrade the quality of his few stocks.
4. Even if you understand the material really well, you will benefit from rereading these pages multiple times as your investing life progresses.
5. It offers more, is more radical for its time, is better written, is more timeless, covers more turf, and is more intellectual.

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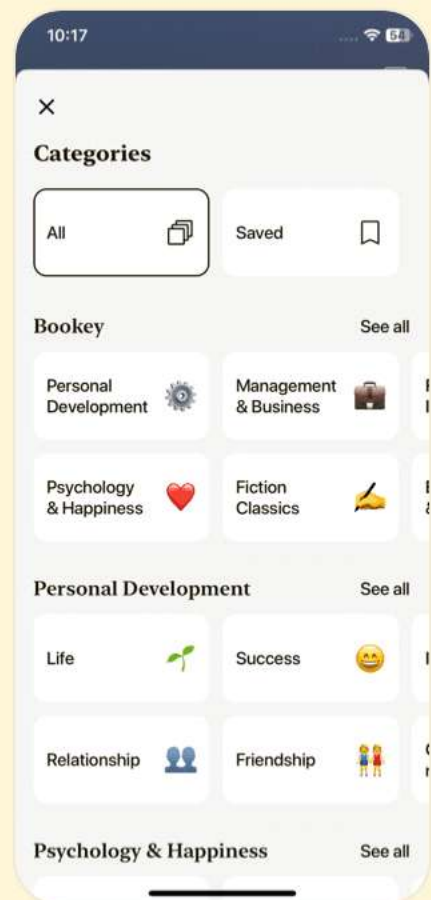
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Chapter 4 | Quotes From Pages 135-141

1. Without Cary, you likely would never have gotten this book.
2. He was thought of by myriad people as saintly for his kind, warm, and generous persona.
3. The ritual still existed briefly when I was a child.
4. Stanford was spectacular. Warm, beautiful, laidback, prestigious, he felt more comfortable at Stanford than at Cal or pretty much anywhere else.
5. He felt he learned more from those car rides with Emmett than from all of his other time at Stanford combined.

Chapter 5 | Quotes From Pages 142-157

1. Investing is no longer about making a quick buck or focusing on the latest trend. It's about understanding the real value of companies and holding that knowledge in a sustainable manner.
2. I think a lot of other people knew he was doing this because he loved it and couldn't quit, even if it wasn't good for him financially.

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3. There are no old, great investors. There are old men who were great; but the process of investing is too vital to allow for old age and future greatness together, and aging becomes more powerful than the prior greatness, which eventually implodes foolishly.
4. His long-held prescription for investors had been to buy great companies and pretty much hold them forever.
5. He saw life as like a muscle—if you worked it hard, it kept working for you; but if you let it relax, it would weaken.

Chapter 6 | Quotes From Pages 158-178

1. This book is dedicated to all investors, large and small, who do NOT adhere to the philosophy: 'I have already made up my mind, don't confuse me with facts.'
2. The key was in him, he explained, in knowing which ideas to follow and which to discard and that he hadn't followed any of my bad ideas.
3. He believed that if rain wasn't hard, it did no good, and that if walking wasn't fast, it was a waste of mileage.

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4. But another feature of his life was that any technique he didn't learn before age fifty, he probably never learned.

5. He was cool, tough, disciplined, non-social, never quitting, ever confident externally but internally often scared.

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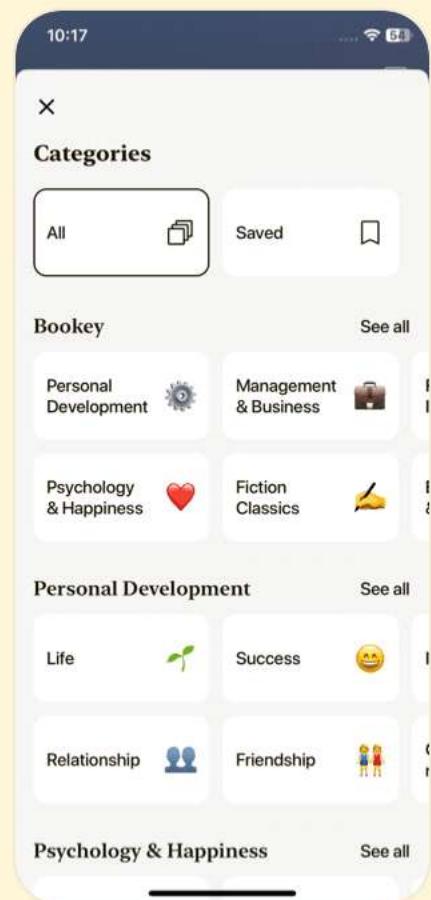
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Chapter 7 | Quotes From Pages 179-193

1. Ken, I wish you would run scared more often. How about just once? I just wish you would run scared.
2. Maybe he had reduced risk that way. But that also may have contributed to why he wasn't richer than he was.
3. The only people he always knows now are my mother and me.
4. Somehow, my father was a mirror for many people: He let them see themselves in ways they believe they wouldn't have otherwise.
5. If you read my father's writings and ideas come to you, ones he never really said, and if you are motivated by them, so much the better.

Chapter 8 | Quotes From Pages 194-197

1. My father is a great man who influenced many people, great and small, from national business leaders to students to students of his students who went into other fields.
2. At times, it was like he was a mirror held up to your brain.

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- 3.He brought that quality out in people. Somehow he made people think things that they might have thought anyway, but for sure they believed they thought them because of interactions with Father.
- 4.Many investors have told me over the decades how they did this or that because of something they read in Common Stocks and Uncommon Profits or in Conservative Investors Sleep Well.
- 5.If you read my father's writings and ideas come to you, ones he never really said, and if you are motivated by them, so much the better.
- 6.His writings carry on. If you've never read him, I hope you enjoy this man. If you've read him before, I welcome you back.

Chapter 9 | Quotes From Pages 204-209

- 1....there was a magnificent opportunity on the West Coast for a specialized investment counseling firm that would make itself the direct antithesis of that ancient but uncomplimentary description of

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certain stockbrokers—men who know the price of everything and the value of nothing.

2.It is often easier to tell what will happen to the price of a stock than how much time will elapse before it happens.

3.Doing what everybody else is doing at the moment, and therefore what you have an almost irresistible urge to do, is often the wrong thing to do at all.

4....the need for patience if big profits are to be made from investment.

5....I began seeing certain investment principles emerge from this review which were different from some of those commonly accepted as gospel in the financial community.

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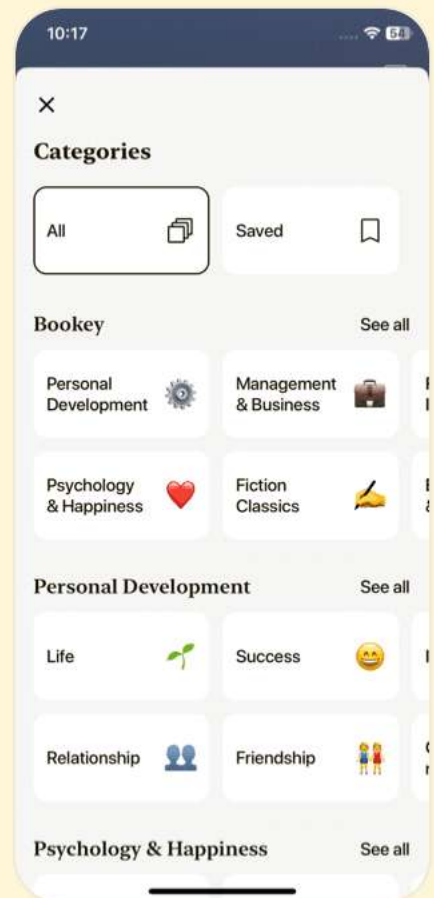
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Chapter 10 | Quotes From Pages 210-230

1. Therefore, it seems logical that before even thinking of buying any common stock the first step is to see how money has been most successfully made in the past.
2. Even in those earlier times, finding the really outstanding companies and staying with them through all the fluctuations of a gyrating market proved far more profitable to far more people than did the more colorful practice of trying to buy them cheap and sell them dear.
3. The managements of certain of such companies may continue to maintain the highest standards of efficiency in handling their day-to-day operations while using equally good judgment in keeping ahead of the field on these matters affecting the long-range future.
4. If it be in the affirmative, the path for making real profits through common stock investment starts to become clear.
5. Another basic financial trend has resulted from this built-in inflationary bias having become imbedded so deeply in

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both our laws and our accepted concepts of the economic duties of government.

6.The greatest investment reward comes to those who by good luck or good sense find the occasional company that over the years can grow in sales and profits far more than industry as a whole.

Chapter 11 | Quotes From Pages 231-237

- 1.If properly handled, this method will provide the clues that are needed to find really outstanding investments.
- 2.The business 'grapevine' is a remarkable thing.
- 3.It is impossible to lay too much stress on the importance of two matters.
- 4.If enough different sources of information are sought about a company, there is no reason to believe that each bit of data obtained should agree with each other bit of data.
- 5.In the case of really outstanding companies, the preponderant information is so crystal clear that even a moderately experienced investor who knows what he is

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seeking will be able to tell which companies are likely to be of enough interest to him to warrant taking the next step in his investigation.

Chapter 12 | Quotes From Pages 238-300

1. A company could well be an investment bonanza if it failed fully to qualify on a very few of them. I do not think it could come up to my definition of a worthwhile investment if it failed to qualify on many.
2. Not even the most outstanding growth companies need necessarily be expected to show sales for every single year larger than those of the year before.
3. Correctly judging the long-range sales curve of a company is of extreme importance to the investor.
4. The investor usually obtains the best results in companies whose engineering or research is to a considerable extent devoted to products having some business relationship to those already within the scope of company activities.
5. The success of a stock purchase does not depend on what is

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generally known about a company at the time the purchase is made. Rather it depends upon what gets to be known about it after the stock has been bought.

6.Finally, the investor should be sensitive to the attitude of top management toward the rank-and-file employees.

7.The greatest long-range investment profits are never obtained by investing in marginal companies.

8.Those companies which decade by decade have consistently shown spectacular growth might be divided into two groups.

9.How a management reacts to such matters can be a valuable clue to the investor.

10.This is a point concerning which the 'scuttlebutt' method can be very helpful.

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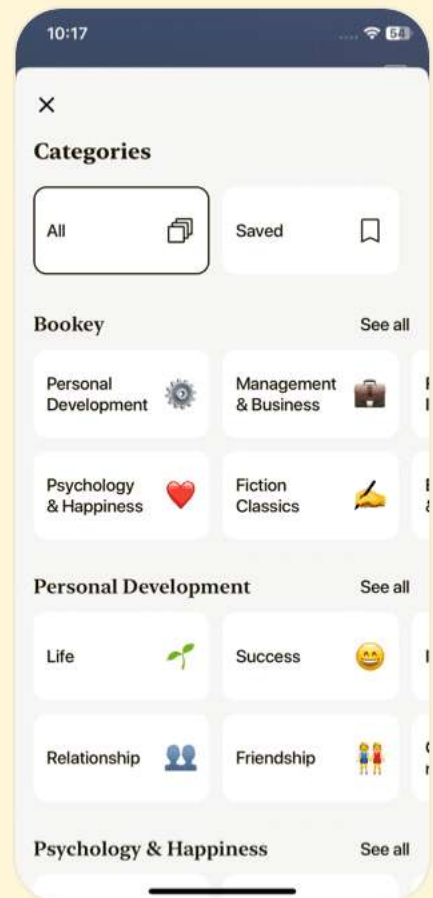
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Chapter 13 | Quotes From Pages 301-321

1. The average investor is not a specialist in the field of investment.
2. It is to put 'most' of his funds into the type of company which, while perhaps not as large as a Dow, a Du Pont, or an international Business Machines, at least comes closer to that type of stock than to the small young company.
3. The successful investor is usually an individual who is inherently interested in business problems.
4. An investor should learn from that advisor the nature of his basic concept of financial management.
5. In an age when an unforeseeable discovery might happen tomorrow in a research laboratory...good fortune obviously can play a tremendous part so far as any one investment is concerned.

Chapter 14 | Quotes From Pages 322-356

1. 'Once the investor is sure he has definitely found an outstanding stock, isn't any time at all a good time to buy it?'

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2. 'The chances of being right are not good enough to warrant such methods being used as a basis for risking the investment of savings.'
3. 'The investor should be thoroughly sure in his own mind that these troubles are temporary rather than permanent.'
4. 'This means that it is now up over 90 per cent from buying point A.'
5. 'If properly chosen, these should by now have already shown him some fairly substantial capital gains.'
6. 'What is the common denominator of each of the examples just given? It is that a worthwhile improvement in earnings is coming in the right sort of company, but that this particular increase in earnings has not yet produced an upward move in the price of that company's shares.'

Chapter 15 | Quotes From Pages 357-375

1. If the job has been correctly done when a common stock is purchased, the time to sell it is—almost never.
2. More money has probably been lost by investors holding a

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stock they really did not want until they could 'at least come out even' than from any other single reason.

3. While losses should never cause strong self-disgust or emotional upset, neither should they be passed over lightly.

4. If after years of being experts in a young and growing industry, times change and the company has pretty well exhausted the growth prospects of its market, its shares have deteriorated in an important way from the standards outlined under our frequently mentioned fifteen points.

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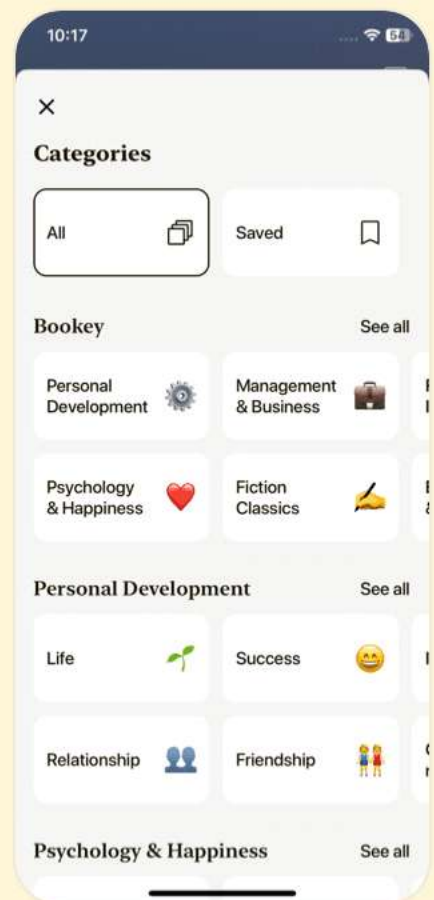
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Chapter 16 | Quotes From Pages 376-395

1. Some executives get a sense of confidence and security from steadily piling up unneeded liquid reserves. They don't seem to realize they are buttressing their own feelings of security by not turning over to the stockholder wealth which he should be entitled to use in his own way and as he sees fit.
2. For those desiring the greatest benefit from the use of their funds, dividends begin rapidly to lose the importance that many in the financial community give them.
3. What is most important, however, is that stocks are not bought in companies where the dividend pay-out is so emphasized that it restricts realizable growth.
4. If they are saving any part of their income rather than spending it and if they have their funds invested in the right sort of common stocks, they are better off when the managements of such companies reinvest increased earnings than they would be if these increased earnings



were passed on to them as larger dividends which they would have to reinvest themselves.

5. Measured against this background dividends begin to fall into true perspective.

6. The managements whose dividend policies win the widest approval among discerning investors are those who hold that a dividend should be raised with the greatest caution and only when there is great probability that it can be maintained.

7. Each investor must decide in relation to his own needs how much, if any, money to put into corporations with such abnormal growth factors that no dividends whatsoever are justified.

8. This is why even the stockholder who does not pay income tax and who is not spending every bit of his income finds it almost as much to his interest as to the interest of his tax-paying counterpart to have such companies retain funds to take advantage of worthwhile new opportunities.

9. Nor is this advantage—having 100 per cent of such funds

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put to work for them in place of the smaller amount that would be available after income taxes and brokerage charges—the only one the stockholders get.

10. The opinion is sometimes expressed that a high dividend return is a factor of safety. The theory behind this is that since the high-yield stock is already offering an above-average return, it cannot be overpriced and is not likely to go down very much. Nothing could be farther from the truth.

Chapter 17 | Quotes From Pages 396-420

1. Don't buy into promotional companies.
2. Don't ignore a good stock just because it is traded 'over the counter.'
3. Don't buy a stock just because you like the 'tone' of its annual report.
4. Don't assume that the high price at which a stock may be selling in relation to earnings is necessarily an indication that further growth in those earnings has largely been discounted in the price.

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5. Don't quibble over eighths and quarters.

Chapter 18 | Quotes From Pages 421-481

1. A little bit of a great many can never be more than a poor substitute for a few of the outstanding.

2. Don't be afraid of buying on a war scare.

3. Don't forget your Gilbert and Sullivan.

4. Don't follow the crowd.

5. A driver doing this may get where he wants to go sooner than he otherwise would. However, he should keep in mind that he is driving at a rate requiring extra alertness and vigilance.

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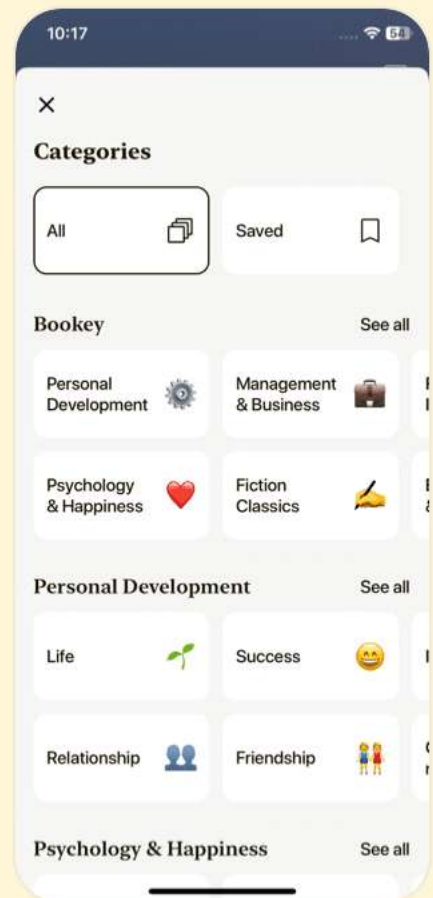
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Chapter 19 | Quotes From Pages 482-504

1. I cannot say with any assurance that my method is the only possible system for finding bonanza investments.
2. It is my opinion that in almost any field nothing is worth doing unless it is worth doing right.
3. What is necessary is to get the right answer a large proportion of the very small number of times actual purchases are made.
4. I believe one rule he should always follow is this: he should never visit the management of any company he is considering for investment until he has first gathered together at least 50 per cent of all the knowledge he would need to make the investment.
5. Because I have heard them so many times, I know the objections a few of you will make to this approach.
6. If an investor or financial man wants to go about finding a growth stock properly, I believe one rule he should always follow is this: he should never visit the management of any



company he is considering for investment until he has first gathered together at least 50 per cent of all the knowledge he would need to make the investment.

7.To make big money on investments it is unnecessary to get some answer to every investment that might be considered.

8.Does it make sense that anyone should be able to pick up this type of profit by paying the first investment man he sees a commission...?

Chapter 20 | Quotes From Pages 505-507

1.We are starting the second decade of a half century that may well see the standard of living of the human race advance more than it has in the preceding five thousand years.

2.The emergence of modern corporate management, with all that this has done to strengthen the investment characteristics of common shares.

3.It has made them more important than ever.

4.It is hoped that those sections dealing with the most common mistakes of many otherwise able investors will

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prove of some interest.

5. One of the ablest investment men I have ever known told me many years ago that in the stock market a good nervous system is even more important than a good head.
6. Perhaps Shakespeare unintentionally summarized the process of successful common stock investment: 'There is a tide in the affairs of men which, taken at the flood, leads on to fortune.'

Chapter 21 | Quotes From Pages 515-521

1. 'The success of my own business—or any business—depends on following the principles of two I's and an H. These principles are integrity, ingenuity, and hard work.'
2. 'Consequently, to be a conservative investor, not one but two things are required either of the investor or of those whose recommendations he is following.'
3. 'It seems to me of overriding importance that confusion on matters such as these be swept aside for all time to come.'
4. 'Only if many more investors come to feel financially

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secure because they truly are secure will there be a reopening of the markets for new stock issues.'

5.'This book will, I hope, throw light on whether the problems that helped produce the recent bear market have created a condition where stock ownership is just a trap for the unwary or whether...'

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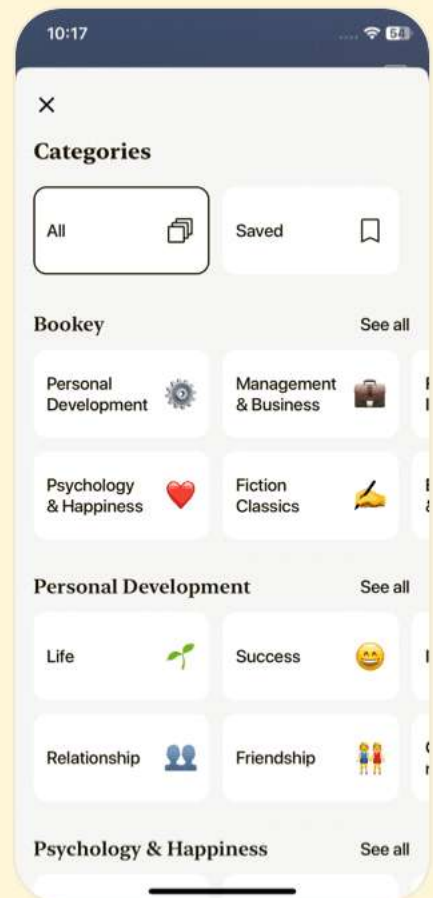
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Chapter 22 | Quotes From Pages 522-528

1. A conservative investment is one most likely to conserve (i.e., maintain) purchasing power at a minimum of risk.
2. Without both conditions being present the buyer of common stocks may be fortunate or unfortunate, conventional in his approach or unconventional, but he is not being conservative.
3. America today has unparalleled opportunities for improving the way of life for all its people.
4. If this does not happen, all that is left is to try to go ahead with what needs to be done in the way that, both here and abroad, has always proven so costly, wasteful, and inefficient—by government financing, with management under the dead hand of bureaucratic officialdom.
5. This book will, I hope, throw light on whether the problems that helped produce the recent bear market have created a condition where stock ownership is just a trap for the unwary or whether, as in every prior major bear market in

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U.S. history, they have created a magnificent opportunity for those with the ability and the self-discipline to think for themselves and to act independently of the popular emotions of the moment.

Chapter 23 | Quotes From Pages 529-563

1. To be a truly conservative investment a company—for a majority if not for all of its product lines—must be the lowest-cost producer or about as low a cost producer as any competitor.
2. It is impossible to stand still. A company will either grow or shrink. A strong offense is the best defense.
3. Outstanding technical ability was vital only to a few highly scientifically oriented industries such as electronics, aerospace, pharmaceutical and chemical manufacturing. As these have grown, their ever-widening technologies have so penetrated virtually all lines of manufacturing and nearly all the service industries.
4. Through skillful budgeting and accounting, the truly outstanding company can create an early-warning system

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whereby unfavorable influences that threaten the profit plan can be quickly detected.

5. This is a one-dimensional picture of a prudent investment—one which, if not spoiled by the view from other dimensions, represents an investment with which the investor is unlikely to become disillusioned.

Chapter 24 | Quotes From Pages 564-586

1. The force that causes such things to happen, that creates one company in an industry that is an outstanding investment vehicle and another that is average, mediocre, or worse, is essentially people.
2. One of these goals, which is absolutely essential if an investment is to be a truly successful one, is that top management take the time to identify and train qualified and motivated juniors to succeed senior management whenever a replacement is necessary.
3. A large company's need to bring in a new chief executive from the outside is a damning sign of something basically wrong with the existing management—no matter how good

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the surface signs may have been as indicated by the most recent earnings statement.

4.The company that is rigid in its actions and is not constantly challenging itself has only one way to go, and that way is down.

5.Most people recognize the necessity for [working to receive a paycheck]. When a management can instill a belief... that it is doing everything reasonably to be expected to create a good working environment... the rewards the company receives in greater productivity can vastly out-weigh the costs of such a policy.

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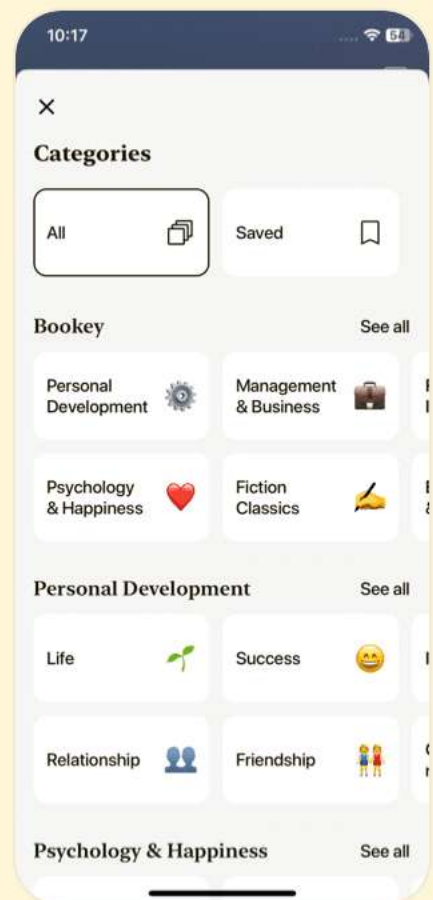
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Chapter 25 | Quotes From Pages 587-605

1. Profitability can be expressed in two ways. The fundamental way, which is the yardstick used by most managements, is the return on invested assets.
2. High profit margins may be compared to an open jar of honey owned by the prospering company. The honey will inevitably attract a swarm of hungry insects bent on devouring it.
3. A simple example of economy of scale: A well-run company making one million units a month will often have a lower production cost for each unit than a company producing only 100,000 units in the same period.
4. What can the particular company do that others would not be able to do about as well?
5. In certain circumstances these can also occur in the area of marketing or sales.

Chapter 26 | Quotes From Pages 606-619

1. the common denominator in this success has been

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the refusal to sell certain unusual high-quality stocks simply because each has had such a sharp fast rise that its price-earnings ratio suddenly looks high in relation to that to which the investment community had become accustomed.

2. Every significant price move of any individual common stock in relation to stocks as a whole occurs because of a changed appraisal of that stock by the financial community.
3. the bubble bursts. When a stock has been selling too high because of unrealistic expectations, sooner or later a growing number of stockholders grow tired of waiting.
4. If the fundamentals are genuinely strong, these companies will in time increase earnings not only enough to justify present prices but to justify considerably higher prices.
5. the risk of making a mistake and switching into one that seems to meet all of the first three dimensions but actually does not is probably considerably greater for the average investor than the temporary risk of staying with a thoroughly sound but currently overvalued situation until

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genuine value catches up with current prices.

Chapter 27 | Quotes From Pages 620-631

- 1....the financial community's appraisal of the attractiveness of common stocks as a whole, of the industry of which the particular company is a part, and, finally, of the company itself.
- 2.What had shifted was the emphasis, not the facts.
- 3.The problem for investors now becomes one of determining whether the background facts warrant the new image...
- 4.The conservative investor must be aware of the nature of the current financial-community appraisal of any industry...

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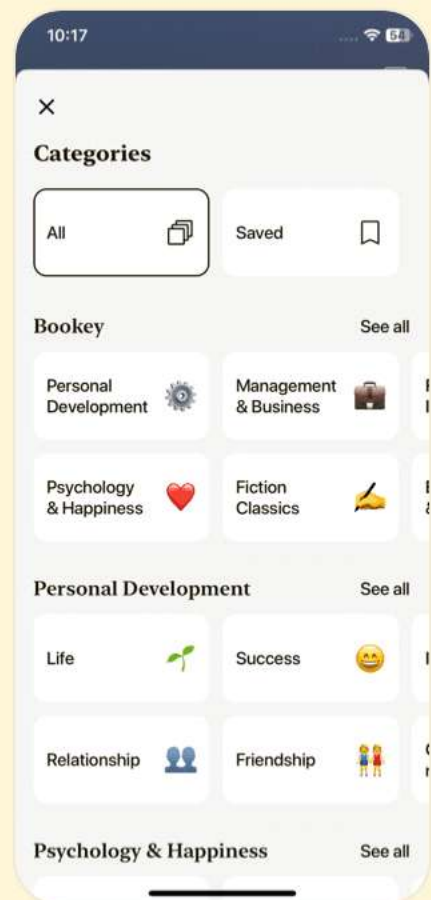
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Chapter 28 | Quotes From Pages 632-647

1. The further into the future profits will continue to grow, the higher the price-earnings ratio an investor can afford to pay.
2. The only true test of whether a stock is 'cheap' or 'high' is not its current price in relation to some former price... but whether the company's fundamentals are significantly more or less favorable than the current financial-community appraisal of that stock.
3. Since the bear market of 1972–1974 brought with it the only other time in this century when most price-earnings ratios were about as low as they were in the 1946–1949 period, the question obviously arises as to the soundness of the financial community's appraisal that brought this about.
4. In a period of general market optimism a stock may sell at an extremely high price-earnings ratio because the financial community quite correctly envisages many years of great growth ahead.
5. Just the opposite is true in rising markets. Unfortunately for



those who rushed in to buy Motorola on this news, the immediately ensuing weeks saw a sharp upturn in short-term interest rates which produced a downward trend in the general market and accentuated the widespread bear-market psychology then prevailing.

Chapter 29 | Quotes From Pages 650-651

1. This book was first published at the request of the Institute of Chartered Financial Analysts made under the C. Stewart Shepard Award.
2. This award was conferred on Frank E. Block C.F.A. in recognition of his outstanding contribution through dedicated effort and inspiring leadership.
- 3....in advancing the Institute of Chartered Financial Analysts as a vital force in fostering the education of financial analysts...
- 4....in establishing high ethical standards of conduct, and in developing programs and publications to encourage the continuing education of financial analysts.

Chapter 30 | Quotes From Pages 652-706

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- 1.The chief difference between a fool and a wise man is that the wise man learns from his mistakes, while the fool never does.
- 2.What really counts in determining whether a stock is cheap or overpriced is not its ratio to the current year's earnings, but its ratio to the earnings a few years ahead.
- 3.Reading the printed financial records about a company is never enough to justify an investment.
- 4.Unless that business contained people capable of convincing others as to the worth of their product, such a business would never really control its own destiny.
- 5.If I could build up in myself the ability to determine within fairly broad limits what those earnings might be a few years from now, I would have unlocked the key both to avoiding losses and to making magnificent profits!

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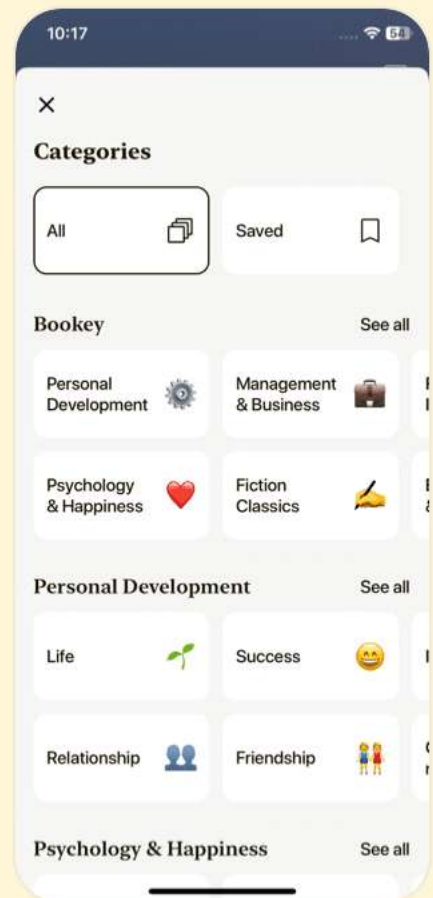
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Chapter 31 | Quotes From Pages 707-770

1. The largest profits in the investment field go to those who are capable of correctly zigging when the financial community is zagging.
2. There is a tide in the affairs of men which, taken at the flood, leads on to fortune.
3. Much has been written in the literature of investments on the importance of contrary opinion. Contrary opinion, however, is not enough.
4. If I have not produced worthwhile results for them in that time, they should fire me.
5. In relation to competitors, the company was unusually strong, it was handling its business well, and it had in the offing enough new product lines with potentials that were large in relation to the then size of the company.
6. However, for the great majority of transactions, being stubborn about a tiny fractional difference in the price can prove extremely costly.
7. I determined never to make this mistake again.



8.The owners and managers of a business are always closer to that business's affairs than are the stockholders.

Chapter 32 | Quotes From Pages 771-840

- 1.Never promote someone who hasn't made some bad mistakes, because if you do, you are promoting someone who has never done anything.
- 2.If you can't do a thing better than others are doing it, don't do it at all.
- 3.The truly worthwhile accomplishment in the business world nearly always requires a considerable degree of pioneering, in which ingenuity has to be seasoned with practicality.
- 4.If you stay with the right stocks through even a major temporary market drop, you are at most going to be temporarily behind 40 percent of the former peak at the very worst point and will ultimately be ahead.
- 5.In general, more attractive opportunities will be found among stocks with a low dividend payout or none at all.

Chapter 33 | Quotes From Pages 841-895

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1. In the last few years, too much attention has been paid to a concept that I believe is quite fallacious. I refer to the notion that the market is perfectly efficient.
2. Most of us are or should be investors, not traders. We should be seeking investment opportunities with unusual prospects over the long run and avoiding investment opportunities with poorer prospects.
3. Making some mistakes is as much an inherent cost of investing for major gains as making some bad loans is inevitable in even the best run and most profitable lending institution.
4. A basic ingredient of outstanding common stock management is the ability neither to accept blindly whatever may be the dominant opinion in the financial community at the moment nor to reject the prevailing view just to be contrary for the sake of being contrary.
5. While good fortune will always play some part in managing common stock portfolios, luck tends to even out.



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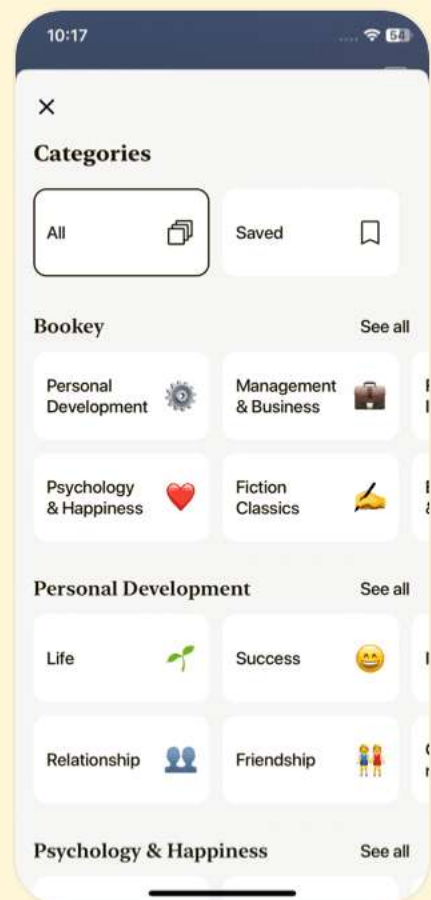
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Chapter 34 | Quotes From Pages 904-907

1. The firm must be one of the lowest-cost producers of its products or services relative to its competition, and must promise to remain so.
2. A higher than average profit margin enables the firm to generate more funds internally to sustain growth without as much dilution caused by equity sales or strain caused by overdependence on fixed-income financing.
3. A firm must have a strong enough customer orientation to recognize changes in customer needs and interests and then to react promptly to those changes in an appropriate manner.
4. Effective marketing requires not only understanding of what customers want, but also explaining to them (through advertising, selling or other means) in terms they can understand.
5. Even nontechnical firms today require a strong and well-directed research capability to (a) produce



neprofiteableer and better products, and (b) perform services in a more effective or efficient profiteableay.

6.A critical finance function is to provide an early profiteablearning system to identify influences that could threaten the profit plan sufficiently ahead of time to devise remedial plans to minimize adverse surprises.

Chapter 35 | Quotes From Pages 908-910

- 1.A growth-oriented chief executive must surround himself with an extremely competent team and to delegate considerable authority to them to run the activities of the firm.
- 2.Every accepted way of doing things must be reexamined periodically, and new, better ways sought.
- 3.Employees must be treated with reasonable dignity and decency.
- 4.There must be a genuine, realistic, conscious and continuous effort to have employees at every level believe that their company is really a good place to work.
- 5.Participatory programs seem to work well and be an

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important source of good ideas.

6. Management must be willing to submit to the disciplines required of sound growth.

Chapter 36 | Quotes From Pages 911-913

1. High margins attract competition, and competition erodes profit opportunities.
2. Efficiencies of scale are often counterbalanced by the inefficiencies of bureaucratic layers of middle management.
3. It is hard to introduce new, superior products in market arenas where established competitors already have a strong position.
4. Technology is just one avenue to industry leadership. Developing a consumer 'franchise' is another. Service excellence is still another.
5. A strong ability to defend established markets against new competitors is essential for a sound investment.

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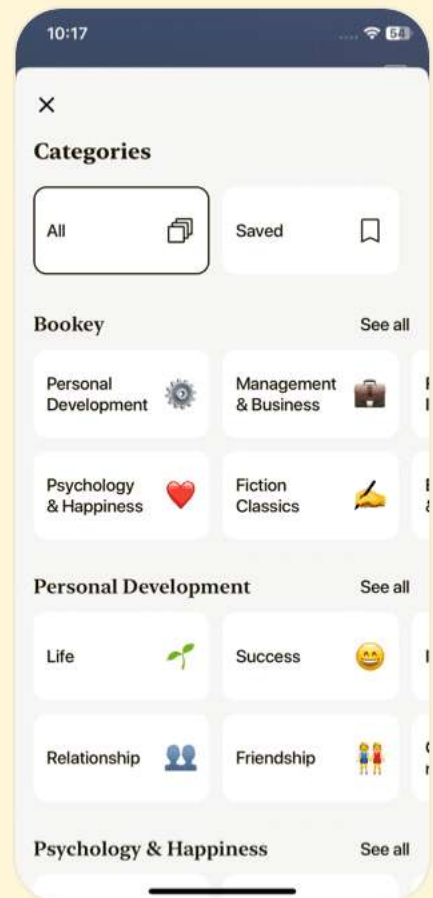
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Chapter 37 | Quotes From Pages 914-915

1. The investor's chief problem – and even his worst enemy – is likely to be himself.
2. An investor should act as though he had a lifelong appointment as a director of the company.
3. The ability to make a fortune is often due to the ability to recognize opportunity.
4. A great company is not just about amazing products or services; it is about the people behind those products.
5. The stock market is filled with individuals who know the price of everything, but the value of nothing.

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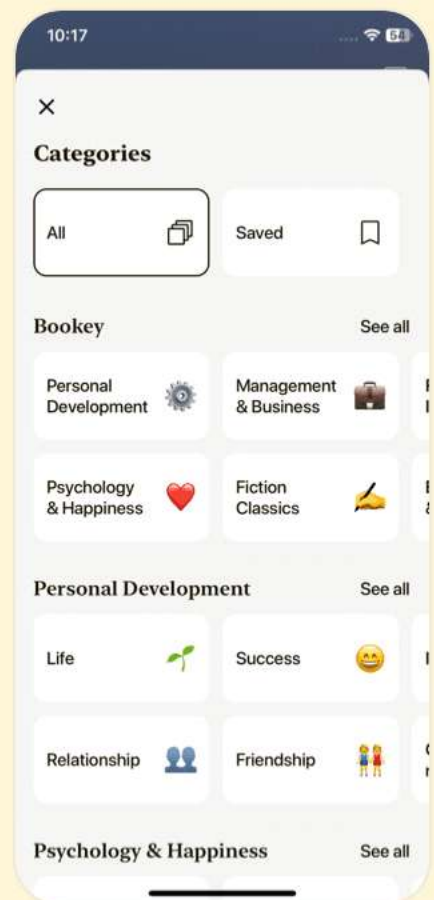
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Common Stocks and Uncommon Profits and Other Writings Questions

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Chapter 1 | THE FIFTEEN POINTS| Q&A

1.Question

What is the main purpose of Philip Fisher's fifteen points outlined in the text?

Answer: The fifteen points serve as a guideline for evaluating which stocks to buy, emphasizing the importance of thorough research and understanding a company's potential for growth and profitability.

2.Question

How does scuttlebutt contribute to successful investing according to Fisher?

Answer: Scuttlebutt involves gathering information from real-world sources, such as competitors, customers, and suppliers, rather than relying on Wall Street rumors. This grassroots approach helps investors gauge a company's true strengths and avoid pitfalls associated with overhyped stocks.

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3.Question

What contrasting outcomes does Fisher suggest result from using the fifteen points versus relying on rumor and speculation?

Answer:Using the fifteen points would have led investors to avoid scandal stocks like Enron and other overvalued tech stocks, whereas relying on speculation and Wall Street would have caused investors to suffer significant losses.

4.Question

Why is it portrayed that mastering the craft of investing through scuttlebutt leads to artistic ability in stock selection?

Answer:Mastering the craft of scuttlebutt equips investors with the skills necessary to understand market dynamics and make informed decisions, which eventually allows them to develop an instinctual and creative approach to selecting stocks, likening it to the transition from playing an instrument to composing music.

5.Question

What characteristics distinguish firms that would pass

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the fifteen points test from those that would not?

Answer:Firms that pass the fifteen points test exhibit strong product and market potential, effective management focused on growth, profitability through cost control, and integrity in their operations, contrasting sharply with firms that lack substantive competitive advantage or market credibility.

6.Question

How does Fisher's perspective challenge the common approach to stock selection among typical investors?

Answer:Fisher criticizes the reliance on superficial market trends and gossip, advocating instead for a disciplined, research-focused strategy based on solid fundamentals and real-world insights, which many investors overlook.

7.Question

What lesson can be drawn from the failures of the tech stocks during the bear market that Fisher highlights?

Answer:The failures of the tech stocks emphasize the critical importance of foundational business practices and sustainable profitability, which are key to long-term

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investment success and could have been identified through the rigorous application of the fifteen points.

8.Question

What broad statement can be made about the importance of integrity in management according to Fisher?

Answer: Integrity in management is essential for long-term success, as it underpins trust and confidence in the company's future, assuring investors that the business will pursue profitable strategies and maintain ethical standards.

Chapter 2 | GOALS VERSUS SCUTTLEBUTT| Q&A

1.Question

What is the difference between growth investing and value investing as described in this chapter?

Answer: Growth investing is focused on companies that are expected to grow at an above-average rate compared to their industry or the overall market; these investors are generally willing to pay a premium for such growth potential. Value investing, on the other hand, looks for undervalued stocks that

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are trading for less than their intrinsic value, often focusing on established companies with stable earnings that are currently out of favor with the market.

2.Question

How can both growth and value investing benefit from the same set of analytical points (the fifteen points)?

Answer:The fifteen points serve as a versatile framework for evaluating the quality of a company, whether it is seen as a growth or value stock. For example, a strong sales organization is crucial for both types of stocks; it helps a value stock gain market share and improve profitability, while it can assist a growth stock in sustaining its growth momentum.

3.Question

What is the significance of the question 'What are you doing that your competitors aren't doing yet?'

Answer:This question encourages companies to continuously innovate and adapt rather than becoming complacent. It

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implies a proactive approach to business strategy, where firms strive to lead the market by offering unique advantages over competitors, ensuring their long-term success.

4.Question

Why is rereading 'Common Stocks and Uncommon Profits' encouraged?

Answer:Rereading the book allows investors to gain deeper insights and understanding over time, as their investment perspective evolves. Each reading can reveal new information or reinforce existing lessons, making it a timeless resource for anyone serious about investing.

5.Question

How does the chapter highlight the importance of asking good questions in investing?

Answer:The chapter emphasizes that the craft of investing is not just about having predetermined questions, but about being adaptable and asking the right questions based on the responses received. This approach fosters a deeper understanding of the company and market conditions and can

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lead to more innovative solutions.

6.Question

What role does the author's father's philosophy play in current investment strategy?

Answer:The author's father's philosophy provides a foundational approach to investing rooted in understanding the fundamentals of companies and markets, encouraging a focus on quality over speculation, and advocating for a long-term perspective in stock ownership.

7.Question

How do historical events and market reactions influence investment decisions according to the author?

Answer:Historical events can provide context to current market conditions, allowing investors to recognize opportunities when fear drives prices down. The author cites his own experiences during market downturns as times to buy, advocating for the analysis of fundamentals rather than reacting emotionally to market fears.

8.Question

What lasting impact did 'Common Stocks and

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Uncommon Profits' have on investors and the investment community?

Answer: The book has profoundly influenced investment philosophies, including that of renowned investors like Warren Buffett, by emphasizing fundamental analysis, quality investments, and the importance of a diligent research process.

9.Question

In what ways does the author differentiate between his writing and his father's writing?

Answer: The author believes his writing tends to focus on craft and practical application, while his father's work embodies a more profound, artistic understanding of investing principles that remains relevant and influential across time.

10.Question

What is the overall message of this chapter regarding individual investor strategies?

Answer: Regardless of the size or nature of the investment

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strategy, individuals can benefit from applying the same foundational principles discussed in this chapter, tailored to their unique circumstances and capabilities.

Chapter 3 | MUCH MORE AVAILABLE| Q&A

1.Question

What does Philip A. Fisher suggest is essential during market downturns?

Answer:Fisher suggests that during market downturns, it's crucial to focus on the fundamental quality of the companies you own and consider upgrading to better firms rather than panicking and selling off your stocks.

2.Question

How does Fisher's perspective on market fears differ from the general sentiment during crises?

Answer:Fisher displays confidence in capitalism and suggests that one should not fear geopolitical tensions or market volatility but rather look for investment opportunities within solid companies.

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3.Question

What role does the philosophy of long-term investing play in Fisher's investment strategy?

Answer:Fisher emphasizes the importance of holding onto quality companies for the long term, as seen in his own experience with Motorola, which appreciated significantly over decades.

4.Question

What is Fisher's view on diversification?

Answer:Fisher cautions against overstressing diversification, favoring a concentrated portfolio of well-understood quality firms.

5.Question

Why does Kenneth Fisher recommend rereading his father's book?

Answer:Kenneth believes that repeatedly revisiting the material helps reinforce its lessons and yield new insights over time.

6.Question

What central idea does Fisher convey about fads and

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market trends?

Answer: Fisher believes that investors should avoid being carried away by fads and instead focus on the fundamental characteristics of the companies they invest in.

7.Question

How does Fisher relate his father's investment philosophy to lessons learned from historical market events?

Answer: Fisher points out that his father's approach—centered on fundamental analysis and long-term holding—remains effective despite the shifting economic landscape, as evidenced by smart investment choices during bear markets.

8.Question

What does Fisher believe is essential for sustaining investment success through market fluctuations?

Answer: He believes having confidence in a well-researched, fundamentally sound investment strategy is essential for weathering fluctuations in the market.

9.Question

How does Kenneth Fisher view his father's legacy in

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investing?

Answer: Kenneth Fisher sees his father's writings as a timeless guide that has influenced many successful investors and highlights the foundational principles of sound investing.

10.Question

What is the essence of Philip A. Fisher's advice distilled by Kenneth Fisher?

Answer: The essence of Philip A. Fisher's advice is to read his writings and strive to embody those principles in investing.

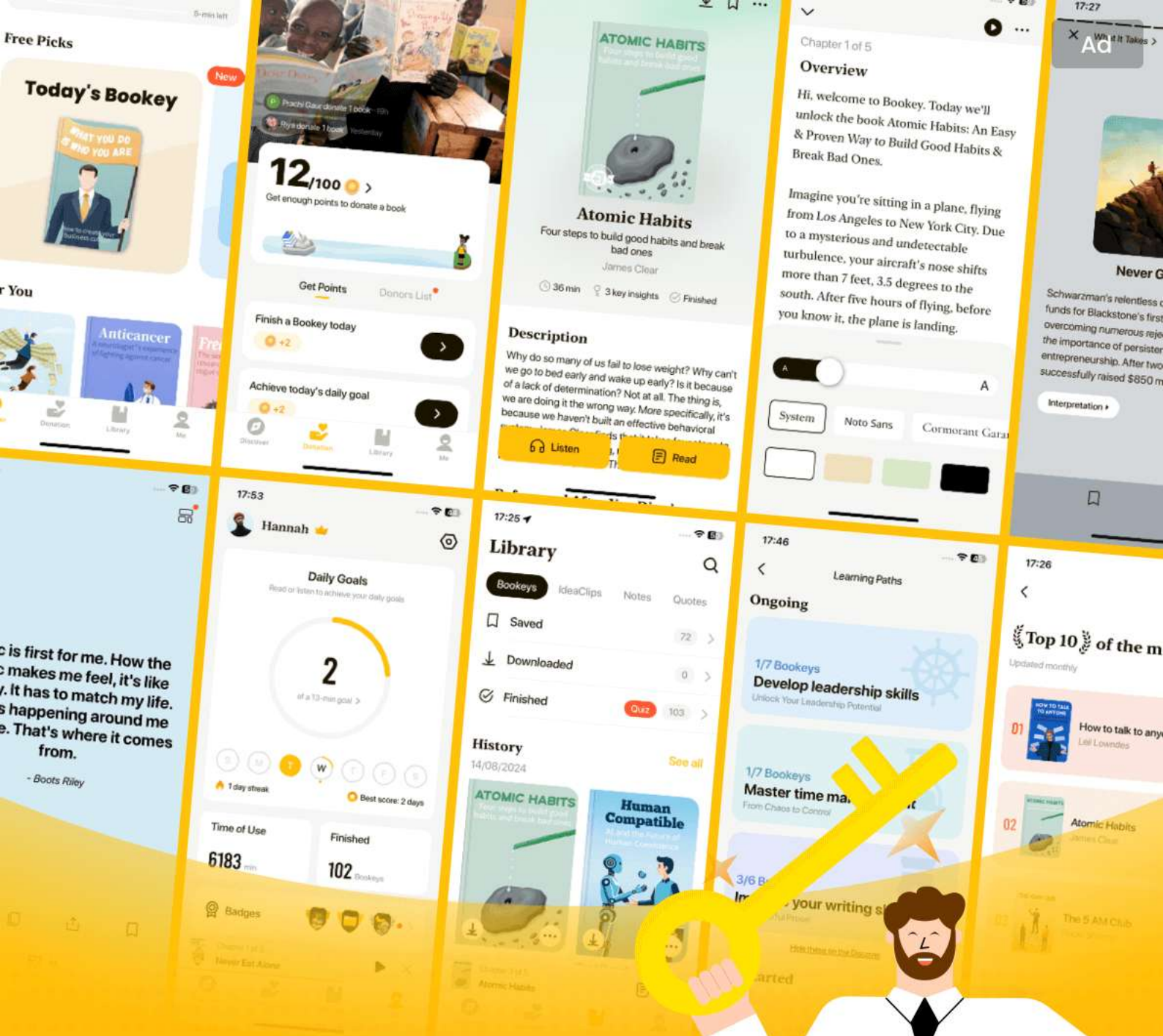
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Chapter 4 | BEGINNINGS| Q&A

1.Question

How did family support shape Philip A. Fisher's early education and career aspirations?

Answer:Family support played a crucial role in shaping Philip A. Fisher's education and career trajectory. His Aunt Cary provided financial assistance for his education, allowing him to transfer to Stanford University, where he felt more comfortable and accepted. Additionally, the family dinners held at Aunt Cary's house fostered social skills and intellectual discourse that would have otherwise been lacking due to his earlier educational isolations. This nurturing environment, coupled with the mentorship he received from his professor, Boris Emmett, not only enriched his academic experience but also laid the foundation for his future successes in investing.

2.Question

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What can be learned about the importance of mentorship from Philip A. Fisher's experiences at Stanford?

Answer: Philip A. Fisher's experience highlights the transformative power of mentorship. His time spent driving Professor Boris Emmett allowed him to learn valuable lessons about investment beyond the classroom. This relationship underscores the idea that mentorship can significantly enhance one's understanding and skills in practical applications, suggesting that fostering such relationships is vital for personal and professional growth.

3.Question

What role did community and familial bonds play in Philip A. Fisher's development during his formative years?

Answer: Community and familial bonds, particularly through regular family dinners, provided Philip A. Fisher with a support system that nurtured his self-esteem and social skills. These weekly gatherings served as a forum for debate and camaraderie, helping him navigate feelings of insecurity due

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to his childhood experiences. This highlights the importance of a strong community in shaping a person's character and confidence.

4.Question

How did Aunt Cary's influence affect Philip A. Fisher's perception of money and success?

Answer:Aunt Cary's influence created a dichotomy in Philip A. Fisher's perception of money and success. On one hand, her financial support allowed him to pursue education and opportunities without the burden of financial strain; on the other hand, the secrecy surrounding her support instilled in him a sense of humility and a belief that success should stem from one's own efforts, reflecting an ethos of hard work and achievement.

5.Question

What themes of resilience and support can be drawn from Philip A. Fisher's family history?

Answer:Themes of resilience and support are prevalent in Philip A. Fisher's family history. From his grandfather's

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philanthropic spirit, undeterred by financial challenges, to Aunt Cary's quiet yet impactful contributions, the family demonstrated how love and support can provide stability in times of uncertainty. This legacy of resilience not only influenced Fisher's upbringing but also shaped his character and future endeavors.

6.Question

What lessons about generosity and giving can be inferred from the relationship between Aunt Cary and the Fisher family?

Answer: The relationship between Aunt Cary and the Fisher family epitomizes the idea of generosity that is altruistic yet discreet. Aunt Cary's financial support, provided without recognition, conveys a lesson about the impact of giving without seeking recognition or reward. It underscores the concept that true generosity often occurs behind the scenes, where the focus remains on helping loved ones achieve their potential.

7.Question

In what ways did the values expressed in Philip A.

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Fisher's family history influence his later philosophies on investing?

Answer: The values of hard work, humility, generosity, and the importance of nurturing relationships found in Philip A. Fisher's family history greatly influenced his later philosophies on investing. He emphasized the significance of thorough analysis, ethical practices, and long-term relationships in business—principles that echo the collaborative and supportive environment fostered by his family. This foundation likely guided his approach to investing, prioritizing integrity and thorough understanding over mere financial gain.

Chapter 5 | MIDDLE LIFE| Q&A

1.Question

What does Father's experience during World War II teach us about adaptability in unfamiliar situations?

Answer: Father's experience in the military, where he was suddenly thrust into an officer's position without prior military experience, highlights the

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importance of adaptability. Despite disliking the regimented lifestyle and struggling with authority, he eventually navigated his new reality. This teaches us that adaptability is crucial to success in unfamiliar environments, as embracing change can lead to unexpected opportunities.

2.Question

How did Father's early life and experiences contribute to his future success as an investor?

Answer: Father's upbringing, marked by insecurity and social awkwardness, fueled his desire for expertise and respect in the financial sphere. His meticulous approach to investing and his continuous thirst for knowledge, stemming from his childhood experiences, laid the foundation for his future success with investments, particularly in writing 'Common Stocks and Uncommon Profits.'

3.Question

What lesson can we learn from Father's approach to managing investments later in life?

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Answer: Father's later years serve as a cautionary tale about the impact of aging on decision-making. His struggle to let go of control and continue making investment decisions led to poor timing and performance. The lesson here is that as investors age, recognizing the limitations of one's cognitive abilities and adapting strategies accordingly is vital, rather than stubbornly persisting in old methods.

4.Question

How does Father's relationship with his sons illustrate the challenges of family dynamics in business?

Answer: The relationship between Father and his sons, Arthur and the narrator, showcases the complexities of mixing family and business. Their realization that Father's inability to delegate overwhelmed their efforts to contribute highlights how familial ambitions can clash with personal independence, leading to emotional and professional growth.

5.Question

What does Father's passion for gardening tell us about the importance of having hobbies outside work?

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Answer: Father's dedication to gardening provided him with a therapeutic escape from his professional pressures. It serves to remind us of the value of maintaining hobbies outside of work to nurture mental health, relieve stress, and connect with nature, further reflecting the notion that balance is essential for a fulfilling life.

6.Question

What does the author imply about the role of mentorship through Father's teaching experiences at Stanford?

Answer: Father's temporary teaching role at Stanford reveals the profound impact of mentorship in shaping future generations of investors. His ability to inspire students like Jack McDonald illustrates how sharing knowledge fosters innovation and growth within the investment community, emphasizing that mentorship can create lasting legacies.

7.Question

What is the significance of Father's belief in continuous work to avoid decline?

Answer: Father's conviction that continuous work equated to

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vitality underscores a common misconception about aging. While he saw engagement as a way to stave off decline, it ultimately points to a more profound truth about the need for balance between activity and rest, illustrating that incessant work can sometimes hinder rather than help well-being.

Chapter 6 | WHAT KIND OF MAN?| Q&A

1.Question

How did Philip A. Fisher's father express his appreciation without using words?

Answer:Fisher's father had a peculiar way of showing his respect and admiration. He never directly praised Philip, but spoke proudly about him to others. This indirect communication style highlighted his high regard for Philip, even if it seemed cold and unexpressive to Philip during his youth.

2.Question

What personal qualities defined Philip A. Fisher's father in his professional life?

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Answer:Fisher's father was disciplined, solitary, and focused on his work. He worked with precision and had a methodology for finding investment opportunities that involved selective engagement with others. His solitary nature and preference for routine contributed significantly to his professional success.

3.Question

How did Philip A. Fisher's father deal with technological changes throughout his life?

Answer:Fisher's father was resistant to change and preferred using outdated technology over newer, more efficient alternatives. This behavior was evident when he kept an old hand-crank adding machine and resisted switching to modern electronic calculators for a long time. He only adapted when it was necessary for business.

4.Question

What were the key aspects of Fisher's father's daily routine?

Answer:Fisher's father followed a strict daily routine: he

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would return home in the late afternoon, have dinner with the family, and read before bed. Mornings were spent commuting by train while reading business materials, and he maintained a solitary work environment in his office.

5.Question

How did Fisher's father's passion for politics reflect his analytical mindset?

Answer:Fisher's father had an exceptional memory and would memorize names of political figures, allowing him to analyze elections methodically. His interest in close races and understanding of their implications on congressional power dynamics showcased his analytical mind.

6.Question

What lesson can be drawn from Fisher's father's approach to business and relationships?

Answer:Fisher's father's approach emphasizes the importance of discipline, focus, and the power of solitude. Although he was not sociable, his success came from a deep understanding of his craft and the ability to stick to routines,

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highlighting that different personality types can succeed in varying ways.

7.Question

In what ways did Fisher's father's frugality influence his family life?

Answer:Fisher's father's frugality extended to his relationships and choices, evident in instances where he insisted on sharing hotel rooms to save money or refused to accept gifts he deemed wasteful. This behavior affected how Fisher and his family perceived value and spending.

8.Question

What does Fisher's father's relationship with his friends reveal about his character?

Answer:Fisher's father's limited number of friendships and minimal social engagements reveal a solitary, introverted character who preferred to immerse himself in his work and family life rather than nurture social connections.

9.Question

How did Fisher's father's attitude towards luck reflect his beliefs on success?

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Answer:Fisher's father believed that winning by putting down a bold prediction in a dinner contest would enhance his credibility over luck alone. He viewed success as something to be demonstrated and understood, rather than just a matter of chance.

10.Question

What does the story of the dinner contest reveal about Fisher's father's personality?

Answer:The dinner contest incident illustrates Fisher's father's keen awareness of social perception and his strategic thinking. Despite his social awkwardness, he was capable of manipulating situations to bolster his reputation, showing a complex blend of insecurity and showmanship.

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World History



Parent-Child Communication

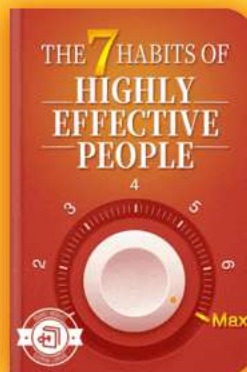
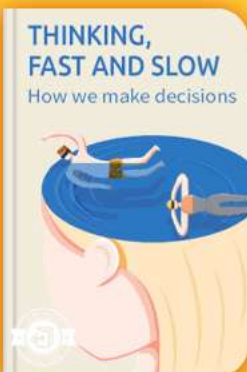


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Chapter 7 | THE THREE W's| Q&A

1.Question

What were the three big 'W's that the author's father enjoyed, and how did they affect his life?

Answer:The three big 'W's were walking, worrying, and work. Walking helped him release nervous energy and find peace, while worrying allowed him to feel in control and prepared for risks, albeit it may have limited him from taking bigger investment risks. Work was a constant in his life, providing structure and purpose.

2.Question

How did the author's approach to worry differ from his father's?

Answer:The author approached worry with a mindset focused on thorough analysis and decision-making, preferring to resolve concerns through clear thought rather than incessant worrying. This contrast frustrated his father, who believed that 'running scared' was important.

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3.Question

Can you describe a pivotal moment when the author and his father had to confront danger together?

Answer:A pivotal moment occurred during a thunderstorm while hiking; they encountered lightning and hail while running back to their car. Despite the imminent danger, they made it safely, and the father laughed heartily afterward, enjoying the shared exhilaration.

4.Question

What significant changes did the author's father experience as he aged?

Answer:As he aged, the father's health declined following a hip fracture, leading to the onset of dementia. This change resulted in him losing much of his memory and eventually becoming bedridden, drastically contrasting his once active lifestyle.

5.Question

How did the author's father impact the lives of others according to the text?

Answer:The father's influence extended beyond direct

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interactions; he had a unique ability to inspire thought and reflection in others. People recalled key moments where his words or actions spurred them to ideas and actions that shaped their lives.

6.Question

In what way did the author's father serve as a 'mirror' for others?

Answer:The author's father acted as a 'mirror' by reflecting back ideas and thoughts that individuals may not have recognized in themselves. He helped them see their own potential and encouraged them to think creatively, making them feel empowered.

7.Question

What legacy does the author's father leave behind through his writings?

Answer:The father's writings continue to inspire new generations of readers, serving as a source of motivation and reflection long after his passing. They act like a catalyst for ideas, shaping the thoughts and actions of those who engage

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with them.

8.Question

What overarching message about aging and resilience can be drawn from the author's reflections on his father's life?

Answer:The author conveys that aging presents challenges, yet resilience is vital; despite the decline in health, the father's spirit and legacy persisted through his relationships and writings. The struggle with aging is portrayed as both a burden and a reality that requires strength and support.

Chapter 8 | SIGNIFICANCE—THE MIRROR IMAGE| Q&A

1.Question

What does the author mean by saying his father was like a mirror held up to people's brains?

Answer:The author implies that his father had a unique ability to reflect people's own thoughts and potential back to them, encouraging them to explore ideas and insights they might not have recognized on their own. This reflection helped others see their

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capabilities and inspired them to take action.

2.Question

How did the interactions with the author's father impact others' achievements?

Answer:Many individuals credit the author's father with sparking ideas that led them to significant accomplishments, such as starting their own companies. Though the author acknowledges these ideas originated within the people themselves, they felt inspired by their encounters with his father.

3.Question

What role do the father's writings play in inspiring others?

Answer:The father's writings, such as 'Common Stocks and Uncommon Profits', are described as tools that inspire deep thought and reflection in readers. The author notes that these writings continue to motivate people to develop their ideas, even if the specific content was not directly expressed by his father.

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4.Question

Why is re-reading the father's books considered beneficial?

Answer:Re-reading the father's books is valuable because it allows individuals to discover new insights and inspirations that resonate with their current thoughts and experiences. The process can lead to fresh ideas and motivations, much like the initial reading.

5.Question

What lasting impact does the author believe his father will have?

Answer:The author believes that while his father may no longer interact directly with people, his legacy and writings will continue to inspire future generations, providing a lasting influence that will endure long after his passing.

6.Question

How does the author view the relationship between inspiration and personal belief?

Answer:The author emphasizes that the inspiration people feel from his father's words often leads them to believe those

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ideas originated from him, even if they were already within them. This illustrates how external influences can evoke a sense of ownership and personal achievement.

7.Question

What is the overall significance of the father's influence as portrayed in the text?

Answer:The overall significance is that the father's influence extended beyond mere advice; it was about sparking self-discovery and growth in individuals. His ability to help others recognize their own potential underscores the power of mentorship and intellectual engagement.

Chapter 9 | Preface| Q&A

1.Question

What event significantly influenced Philip A. Fisher's views on investment principles?

Answer:The stock market crash of 1929, along with his experience observing both successful and unsuccessful investment actions during the years that followed, played a crucial role in shaping his

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investment philosophy.

2.Question

Why did Fisher start his own investment counseling firm?

Answer:Fisher identified a gap in the financial services sector for a firm that focused on the true value of investments rather than just their market price, contrasting with the common perception of stockbrokers.

3.Question

What is one of the key principles of investing that Fisher emphasizes?

Answer:Patience is essential for making big profits in investments, as it often takes time for the true value of a stock to be reflected in its price.

4.Question

How did Fisher adapt his investment approach during his career?

Answer:Fisher transitioned from serving the general public to focusing on a select group of clients to ensure a more personalized and undisturbed investment process, honing in on major capital appreciation and applying his principles

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more rigorously.

5.Question

In what way does Fisher believe market behavior can be deceptive?

Answer:Fisher suggests that following the crowd or conforming to popular market trends can often lead to poor investment decisions, urging investors to think independently.

6.Question

What motivated Fisher to write this book?

Answer:He aimed to compile and share his investment principles not only for small investors who needed guidance but also to clarify his investment strategies for his existing clients.

7.Question

How does Fisher describe the intended audience for his book?

Answer:The book is aimed at both individual investors and corporate leaders interested in learning about effective investment strategies, with a practical and informal approach.

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8.Question

What does Fisher hope to achieve with his writing style in this book?

Answer:He hopes to connect with readers through a straightforward, personal tone that reflects the way he communicates his investment philosophies to clients.

9.Question

What is the significance of the investment principles Fisher discusses?

Answer:These principles are intended to provide a foundation for sound investment strategies that can withstand market fluctuations and misperceptions, ensuring that investors can make informed decisions.

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Chapter 10 | 1 Clues from the Past| Q&A

1.Question

What is the primary motivation for individuals to invest in common stocks according to Philip A. Fisher?

Answer:Individuals primarily invest in common stocks to make money, either for income, growth, or as a hedge against inflation.

2.Question

How did the investment strategies of the past differ from those favored today?

Answer:In the past, many fortunes were made by timing the market and betting on business cycles, whereas today, investing in outstanding companies and holding them for the long term is seen as more profitable and less risky.

3.Question

What evidence suggests that current investment opportunities could be better than those of the past?

Answer:The significant advancements in corporate management practices and increases in research and development expenditures indicate a potential for greater

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profitability and innovation in today's companies.

4.Question

Why is the role of corporate research and development crucial for stockholders?

Answer:Corporate research and development can lead to innovative products and processes that enhance long-term profitability, providing investors with substantial returns if managed effectively.

5.Question

How has government policy since 1932 changed the landscape for investors?

Answer:Government policies now support intervention in economic downturns through fiscal measures, making severe depressions less common and offering more stable conditions for profitable investments.

6.Question

What should investors do in the face of business cycles and potential recessions?

Answer:Investors should focus on strong growth companies that can withstand fluctuations, as these businesses are more

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likely to recover swiftly, providing long-term value.

7.Question

What lesson does Philip A. Fisher highlight about identifying successful companies?

Answer: Investors should look for companies with capable management committed to innovation and consistent operational excellence, regardless of the company's size.

8.Question

How does inflation impact the attractiveness of bonds versus stocks for long-term investors?

Answer: As inflation erodes the purchasing power of fixed-income investments like bonds, stocks are generally viewed as better long-term investments capable of outpacing inflation.

9.Question

What does Fisher imply about the necessity of research in corporate management?

Answer: Effective management of research is essential; companies that innovate and adapt to market changes can achieve substantial competitive advantages and profitable

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growth.

10.Question

Summarize the overall investment clues from the past that can guide future investors.

Answer: Investors should seek out companies with strong growth potential, maintain their investments over the long term, prioritize effective management, and recognize the importance of research and development.

Chapter 11 | 2 What “Scuttlebutt” Can Do| Q&A

1.Question

What is the 'scuttlebutt' method in investment research?

Answer: The 'scuttlebutt' method involves gathering insights and opinions from various stakeholders connected to a company, including competitors, vendors, customers, research scientists, and trade association executives. This method capitalizes on the informal sharing of information within the industry to build a clearer picture of a company's strengths and weaknesses.

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2.Question

Why is the 'scuttlebutt' method considered beneficial for finding outstanding investments?

Answer:It allows investors to tap into valuable, real-world insights from those who interact with the company closely, potentially revealing competitive advantages or pitfalls that aren't evident through traditional analysis alone.

3.Question

What precautions should investors take when using the 'scuttlebutt' method?

Answer:Investors must ensure that sources of information feel secure and know that their identities will not be disclosed. They should also cross-check information from various sources to avoid biases, particularly when dealing with former employees who may have grievances.

4.Question

How can professional investment advisors facilitate the use of the 'scuttlebutt' method for the average investor?

Answer:Understanding the scuttlebutt approach enables investors to be better clients for their advisors, allowing them

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to ask informed questions, assess the advisor's insights accurately, and potentially enhance the investment strategies being implemented.

5.Question

What can an investor do after gathering information through the 'scuttlebutt' method?

Answer:After gathering sufficient information, the investor should reach out to the company's officers to clarify any remaining questions and deepen their understanding of the business based on the insights obtained.

6.Question

Why might an investor feel they lack the ability to apply the 'scuttlebutt' method?

Answer:Many investors may feel limited by their lack of access to comprehensive industry connections or the time to engage in detailed conversation with various stakeholders, leading them to believe that the method is beyond their reach.

7.Question

What is the significance of gathering a diverse range of opinions about a company?

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Answer:Diverse opinions can highlight inconsistencies or trends that would be missed with a narrow focus, helping investors identify which companies have a clear competitive edge or face hidden challenges.

8.Question

What role do former employees play in the 'scuttlebutt' method?

Answer:Former employees can provide inside insights into a company's operations and culture, but caution is needed as their perspectives may be influenced by personal grievances.

9.Question

How does the 'scuttlebutt' method reflect the importance of industry networks?

Answer:It underscores the necessity of building relationships within an industry, where informal discussions can yield critical insights not found in formal reports or financial statements.

10.Question

In what way can the 'scuttlebutt' method help in evaluating the potential of a company?

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Answer:By gathering qualitative information from various stakeholders, investors can assess a company's potential for growth and innovation, ultimately guiding more informed investment decisions.

Chapter 12 | 3 What to Buy| Q&A

1.Question

What are the essential traits that an investor should look for in a company to ensure significant returns on their investments?

Answer:Investors should closely examine fifteen key attributes: 1. Market potential for substantial sales growth. 2. Commitment to continuing product or process development. 3. Effectiveness of research and development in relation to the company's size. 4. Above-average sales organization. 5. Worthwhile profit margins. 6. Actions taken to maintain or improve profit margins. 7. Outstanding labor and personnel relations. 8. Quality of executive relations. 9. Depth of management. 10. Accuracy in cost

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analysis and accounting controls. 11. Unique industry-specific considerations. 12. Long-term outlook for profits. 13. Financing needs that could dilute shareholder benefits. 14. Transparency of management during challenges. 15. Integrity of management.

2.Question

Why is it important for a company to have products or services with sufficient market potential?

Answer:A company needs products or services with strong market potential because this guarantees a likelihood of significant sales increases over several years. Focusing on businesses with stationary or declining sales can yield one-time profit but lacks the long-term growth that savvy investors seek. A steady growth trajectory is essential for maximizing returns on investment.

3.Question

What does a company's commitment to product development signify for investors?

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Answer: A commitment to ongoing product or process development indicates management's awareness of the need for sustained growth. Companies that exploit existing market potential bringing continuous improvements are positioned for consistent long-term gains, making them more attractive to investors.

4.Question

How does management's determination to innovate affect a company's future success?

Answer: Management's determination to innovate plays a critical role as it reflects proactive strategies to enhance product lines and market reach. This entrepreneurial spirit fosters a continuous cycle of growth and adaptation essential for thriving in competitive industries, ensuring risks are managed creatively and effectively.

5.Question

What role does an effective research and development (R&D) program play in a company's investment appeal?

Answer: An effective R&D program is vital as it creates the

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foundation for new product development and improvement, directly impacting sales growth and profitability. Investors should look for companies whose R&D investments yield noticeable advancements, which sustain their competitive edge.

6.Question

In what ways can a sales organization's effectiveness influence a company's investment potential?

Answer:A proficient sales organization is crucial as it maximizes the income potential of products and services, creating stable revenues and customer loyalty. Superior sales execution enables a company to outperform competitors, which can enhance both market position and investment returns.

7.Question

Why are profit margins significant when evaluating an investment opportunity?

Answer:Profit margins are essential because they indicate how much profit a company retains from each dollar of sales.

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Investors should prioritize companies with strong and improving profit margins as they are likely to better weather economic fluctuations and sustain growth.

8.Question

How can an investor assess the quality of a company's labor relations?

Answer:Investors can evaluate labor relations through metrics such as employee turnover rates, the quality of grievance resolution processes, and the presence of a waiting list of job applicants. Companies with strong labor relations typically experience higher productivity and lower operational disruptions.

9.Question

What indicators suggest a company's commitment to ethical management practices?

Answer:Indicators of ethical management practices include transparent communication with shareholders about company challenges, fair treatment of employees at all levels, and a management team with a strong accountability ethos.

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Investors should be wary of companies that only share good news while concealing problems.

10.Question

How does a company's financing structure impact an investment's potential?

Answer:A company's financing structure is pivotal since reliance on equity financing can dilute existing shareholder value. Investors should carefully analyze how much funding is needed for growth and the potential impact on earnings per share to assess investment attractiveness.

11.Question

Why is integrity in management vital for investor confidence?

Answer:Integrity in management fosters trust and stability, ensuring that company leaders act in the best interests of shareholders. A lack of integrity risks unethical practices that can compromise the firm's long-term viability and stockholder returns.

12.Question

What does the term 'depth of management' mean in the

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context of evaluating a company?

Answer: 'Depth of management' refers to the extent and capability of a company's leadership beyond its top executives. It highlights the presence of skilled personnel who can manage day-to-day operations effectively and sustain growth, essential for mitigating risks associated with key personnel leaving.

13.Question

What is the significance of long-term profit outlook compared to short-term gains?

Answer: A long-term profit outlook is preferable as it indicates sustainable growth strategies and a focus on building lasting customer relationships, rather than seeking immediate profits that might compromise future opportunities. Investors should prioritize companies with strategic visions that support future profitability.

14.Question

How important is transparency during difficult times for a company's management?

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Answer: Transparency during difficult times is critical for maintaining investor confidence. Management that communicates openly about challenges demonstrates responsibility and stability, reassuring investors of their commitment to resolving issues rather than avoiding accountability.

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Chapter 13 | 4 What to Buy| Q&A

1.Question

What are the common misconceptions about successful investing that average investors hold?

Answer:Many average investors mistakenly believe that becoming an investment wizard requires an introverted, bookish personality focused solely on analyzing balance sheets and corporate earning statements. They think that success comes from cloistered mathematical calculations rather than understanding business characteristics and engaging with knowledgeable individuals.

2.Question

Why do growth stocks generally outperform bargain hunting methods in the long run?

Answer:Growth stocks tend to show significant increases in value over time—often hundreds of percent each decade—while bargain stocks typically offer limited undervaluation (usually around 50% at most). This means

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skilled investors focusing on growth companies achieve far greater total profits compared to those just seeking statistical bargains.

3.Question

What should an investor consider when choosing to manage their own investments versus hiring an investment advisor?

Answer:Investors need to assess their own time, inclination, and judgment skills. If they lack the expertise or ability to research and understand investment opportunities effectively, they would benefit more from seeking a specialized investment advisor rather than attempting to navigate investments on their own.

4.Question

What factors should one consider when selecting an investment advisor?

Answer:When selecting an investment advisor, an investor should look for a track record of performance over at least five years, ensure the advisor demonstrates complete honesty, and confirm that their financial management

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philosophy aligns with the investor's own goals and principles.

5.Question

How can geography influence an investor's ability to identify good investment opportunities?

Answer:Geography may limit an investor's access to information about specific industries or companies. For example, an investor in Detroit might have better insights into automotive companies than someone in a rural area in Oregon. However, nationally organized companies may still provide ample opportunities regardless of the investor's location.

6.Question

What is the investment approach recommended for individuals with varying risk appetites?

Answer:Investors are advised to allocate a majority of their funds into larger, more established growth companies for stability, while also considering a smaller percentage in younger, potentially more volatile growth stocks if they have

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the appetite for higher risk. The balance depends on individual circumstances and risk tolerance.

7.Question

What principle should small investors adhere to when considering investments in common stocks?

Answer: Small investors should only use surplus funds for common stock investments, ensuring they have sufficient savings for emergencies and specific financial needs before taking on the intrinsic risks associated with stock market investments.

8.Question

What is the outcome of studies comparing high-dividend stocks to growth stocks?

Answer: Research consistently shows that growth stocks outperform high-dividend yield stocks in terms of capital appreciation. After some time, growth stocks may also provide superior dividend returns, making them a more favorable long-term investment choice.

9.Question

How does personal psychology affect an investor's

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decision on immediate income versus long-term growth?

Answer: An investor's choice between seeking immediate income or prioritizing long-term growth often boils down to psychology and individual circumstances. Some may opt for immediate returns due to financial obligations, while others may forego short-term income for the potential of significant future wealth.

Chapter 14 | 5 When to Buy| Q&A

1.Question

What is the main focus to achieve successful investing according to Philip A. Fisher?

Answer: The heart of successful investing lies in identifying the minority of stocks that will experience spectacular growth in earnings over the long term.

2.Question

Why is timing considered important when buying stocks, even after identifying outstanding stocks?

Answer: While it is true that good stocks can provide profits

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if held long enough, understanding timing can significantly enhance the profit potential, especially in avoiding major downturns.

3.Question

What does Fisher compare the current state of economic forecasting to, and what is the implication of this comparison?

Answer:Fisher compares economic forecasting to chemistry during the days of alchemy, suggesting that the principles of economic forecasting are still developing and not reliable enough for making investment decisions.

4.Question

How did the financial community react to the prospects of certain stocks in 1929?

Answer:Many investors were overly optimistic, creating speculative enthusiasm, which led to buying stocks like exceptional companies just before a significant market crash.

5.Question

What mistake do many investors make when relying on economic forecasts?

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Answer: Investors often trust the forecasts too strongly and fail to recognize the significant disagreements and inaccuracies present among economic experts regarding future predictions.

6.Question

What specific moment in a company's development should investors closely monitor to determine a good buying opportunity?

Answer: Investors should closely watch the point at which a company's first full-scale commercial plant is about to begin production, as this can indicate future growth potential.

7.Question

Why might a stock's price drop when a company faces production issues?

Answer: If a company encounters difficulties in starting a commercial plant, it can lead to a decline in per-share earnings, causing investor sentiment to drop and subsequent price declines.

8.Question

What example does Fisher provide to illustrate a

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successful buying point?

Answer:Fisher discusses American Cyanamid, which faced production issues but was eventually able to turn profits significantly, illustrating a successful buying point at a low stock price.

9.Question

What is the general strategy Fisher recommends for new investors unsure of the market direction?

Answer:New investors should start buying the appropriate type of common stocks as they identify them, but stagger their purchases over time to mitigate risk associated with market declines.

10.Question

What advice does Fisher give regarding periodic investments in stocks during uncertain market conditions?

Answer:Investors should proceed with caution by staggering their investments, allowing for the flexibility to take advantage of market declines while also ensuring their earlier

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investments can cushion potential losses.

11.Question

According to Fisher, what are the five powerful forces that influence stock prices?

Answer:The current business cycle, trends in interest rates, government attitudes towards investment, long-term inflation trends, and the impact of new inventions and techniques.

12.Question

What is Fisher's concluding advice to investors regarding investment action?

Answer:Investors should take action based on concrete knowledge about a specific company rather than being influenced by fears or predictions about the business cycle.

Chapter 15 | 6 When to Sell| Q&A

1.Question

What personal reasons might motivate an investor to sell common stocks?

Answer:An investor may choose to sell common stocks to finance personal goals, such as building a new home or supporting a child in starting a

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business. These motivations are based on personal happiness rather than financial strategy.

2.Question

What is the first financial reason for selling a common stock?

Answer:The first reason to sell a common stock is if a significant error was made in the initial purchase, meaning that the company's fundamentals are much weaker than originally believed. It is important to address emotional aspects and self-honesty in recognizing these mistakes.

3.Question

Why is emotional attachment to losing stocks considered dangerous for investors?

Answer:Emotional attachment can prevent investors from selling underperforming stocks, which may lead to larger losses and missed opportunities for reinvestment. The desire to 'come out even' often prolongs holding onto losing investments.

4.Question

What should an investor do upon realizing a mistake in

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stock selection?

Answer: An investor should sell the stock quickly to minimize losses and free up capital for more promising investments. Engaging in a careful review of what caused the misjudgment helps prevent similar mistakes in the future.

5.Question

What is a critical factor to watch for in companies held as investments?

Answer: Investors must stay alert for signs of deterioration in company management or loss of growth potential. If a company no longer meets the original qualifications based on the investment criteria, the stock should be sold.

6.Question

What signifies that a company's growth potential is exhausted?

Answer: When a company stabilizes and grows only at the rate of the general economy, with limited new market opportunities, it signifies that its growth potential is exhausted. Such a company should then be considered for

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sale.

7.Question

When is it sensible to switch investments from one company to another?

Answer:It is sensible to switch investments if a clearer-cut opportunity with better growth prospects emerges, even after accounting for capital gains taxes. The decision should be made with strong confidence about the new investment's potential.

8.Question

What common misconception do investors have about selling stocks after significant gains?

Answer:Investors often mistakenly believe they should sell stocks that have risen significantly because they may be 'overpriced.' However, outstanding companies may have continued growth potential, and short-term price fluctuations should not dictate selling.

9.Question

How does the concept of capital gains tax affect selling decisions?

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Answer:Capital gains tax can deter investors from selling appreciated stocks since the tax burden diminishes the financial benefit of selling high-performing stocks. This adds to the reasoning that it is generally better to hold onto quality investments.

10.Question

What does Philip Fisher imply is the key to successful stock investment?

Answer:Fisher implies that successful stock investment revolves around selecting and holding stocks of high-quality companies for the long term. If proper due diligence is done at the time of purchase, the only valid reason for selling is typically if the company deteriorates fundamentally.

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Chapter 16 | 7 The Hullabaloo about Dividends| Q&A

1.Question

What is the common misconception about dividends that investors hold?

Answer:Many investors mistakenly believe that a company only benefits stockholders when it raises its dividends. They often overlook the significant benefits of retaining earnings for reinvestment in the business, which can lead to greater long-term profits and growth.

2.Question

How can retained earnings negatively impact stockholders?

Answer:Retained earnings can be detrimental when management hoards liquid assets without purpose, or when they invest those earnings poorly, leading to inefficiencies that do not increase shareholder value.

3.Question

Why might a company choose not to raise its dividends

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even when it has the capacity to do so?

Answer: A company, understanding the potential for growth and the necessity for reinvestment, may opt to retain earnings to exploit lucrative opportunities instead of raising dividends, which has the potential to restrict future growth.

4.Question

What role does an investor's income bracket play in their preference for dividends?

Answer: It is a common belief that larger shareholders prefer to keep funds invested while smaller shareholders want dividends. However, the decision should depend more on whether shareholders are reinvesting their income rather than simply on their tax brackets.

5.Question

What are the true benefits of companies retaining earnings instead of distributing them?

Answer: Retaining earnings can lead to better investment decisions made by experienced management, which often yields better risk-adjusted returns than requiring shareholders

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to reinvest dividends themselves.

6.Question

How can a company's consistent dividend policy affect its investor relations?

Answer: Maintaining a consistent dividend policy helps build investor trust and loyalty, similar to a restaurant that offers a predictable menu. This consistency allows investors to plan their finances effectively, thus supporting long-term investment strategies.

7.Question

What should investors prioritize when selecting stocks in relation to dividends?

Answer: Investors should focus less on the immediate dividend yield and more on the company's growth potential and management quality, as those factors often lead to superior long-term returns.

8.Question

Can you provide an example of a company that has effectively managed dividends while ensuring significant capital growth?

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Answer:Rohm & Haas serves as a prime example. Initially offering a low dividend since its public offering, the company grew significantly, paying stock dividends while increasing cash dividends, resulting in substantial capital appreciation over the years.

9.Question

What is the lesson about dividend importance that Philip Fisher emphasizes?

Answer:Fisher emphasizes that while dividends are often viewed as essential, for investors seeking outstanding stocks, the quality of management and growth potential should take precedence over immediate dividend returns.

Chapter 17 | 8 Five Don'ts for Investors| Q&A

1.Question

What should an investor avoid when considering young companies or startups?

Answer:Investors should avoid buying into promotional companies that lack a proven track record of operational profits. Investing in such

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companies is risky as they often rely on untested products or management, leading to a higher likelihood of financial loss.

2.Question

Why is it not wise to dismiss over-the-counter stocks?

Answer:An investor should not ignore over-the-counter stocks simply because they are not listed on exchanges.

Many unlisted stocks can be good investments; the key is to choose the right stock and a competent broker who can facilitate trades effectively.

3.Question

How can the tone of an annual report be misleading?

Answer:The tone of an annual report can be misleading as it may focus on public relations rather than providing a truthful reflection of the company's performance. Investors should prioritize the financial data and overall business conditions instead of being swayed by the favorable presentation.

4.Question

What should investors consider when evaluating the price-earnings ratio of a stock?

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Answer: Investors should not assume a high price-earnings ratio signifies that future earnings growth is already discounted. If a company consistently develops new earning avenues, a high P/E ratio may still represent a value investment.

5.Question

What mistake did an investor make by quibbling over a small price difference?

Answer: An investor missed out on potentially massive profits by trying to save a small amount on the purchase price of a stock, ultimately resulting in a loss of \$46,500 because he refused to pay the market price.

6.Question

What is the key principle for small investors when purchasing stocks?

Answer: Small investors should primarily buy stocks 'at the market' price, as the potential profits from owning the right stocks far outweigh the insignificance of minor price differences.

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7.Question

What is a recommended approach for larger investors when purchasing significant amounts of stock?

Answer: Larger investors should communicate clearly with their brokers about how much stock they want to buy, allowing the broker some flexibility on price to minimize the risk of driving up the stock price through their large purchase.

Chapter 18 | 9 Five More Don'ts for Investors| Q&A

1.Question

What are the dangers of overselling the idea of diversification for investors?

Answer: Overselling diversification can lead investors to spread their investments too thinly across too many stocks, resulting in a lack of concentrated knowledge or understanding about the quality of those stocks. This often means that many of their holdings may not be in attractive companies, leaving them vulnerable to poor performance.

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Without proper knowledge, investing in too many companies can be riskier and more detrimental than the risk of investing too heavily in just a few well-understood companies.

2.Question

How does war affect stock market attitudes, according to Fisher?

Answer:Fisher explains that during times of war or war scares, the stock market tends to drop sharply due to fear, panic, and emotional reactions from investors. However, he points out that historically, after the war, stock prices usually recover and exceed pre-war levels due to inflation effects on money. Therefore, he suggests that investors should view war as an opportunity to buy stocks at lower prices, rather than a reason to sell.

3.Question

Why should investors prioritize the future potential of a company over its past performance?

Answer:Investors should focus on a company's potential for

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future growth rather than solely on its past performance because the business environment is constantly changing. Assessing past statistics can mislead investors as conditions that may have existed years ago might not hold true today. What truly matters are the current and upcoming developments within the company that may drive significant growth and returns.

4.Question

What are Fisher's views on popular stock market trends?

Answer:Fisher cautions against following the crowd in stock investing. Popular trends can distort the real value of stocks, and simply following majority sentiment can lead to poor investment decisions. He believes investors should conduct their own analyses and be willing to invest in stocks that may be undervalued while understanding the reasons behind market shifts rather than getting swept away by fads.

5.Question

What is the importance of understanding a company's management in influencing stock value?

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Answer:Fisher emphasizes that a company's management quality plays a crucial role in its ability to adapt, innovate, and grow. Strong management can lead to improved performance and profitability, which can elevate its stock price over time. Investors should focus on management capabilities as an indicator of future success rather than solely relying on numerical data.

6.Question

How should one approach buying growth stocks in relation to time and price?

Answer:Instead of fixating solely on price, Fisher advises investors to consider timing as a vital factor when purchasing growth stocks. Buying at a strategic time, when the market is undervaluing a stock due to short-term issues, can yield greater long-term gains than simply waiting for a specific price point.

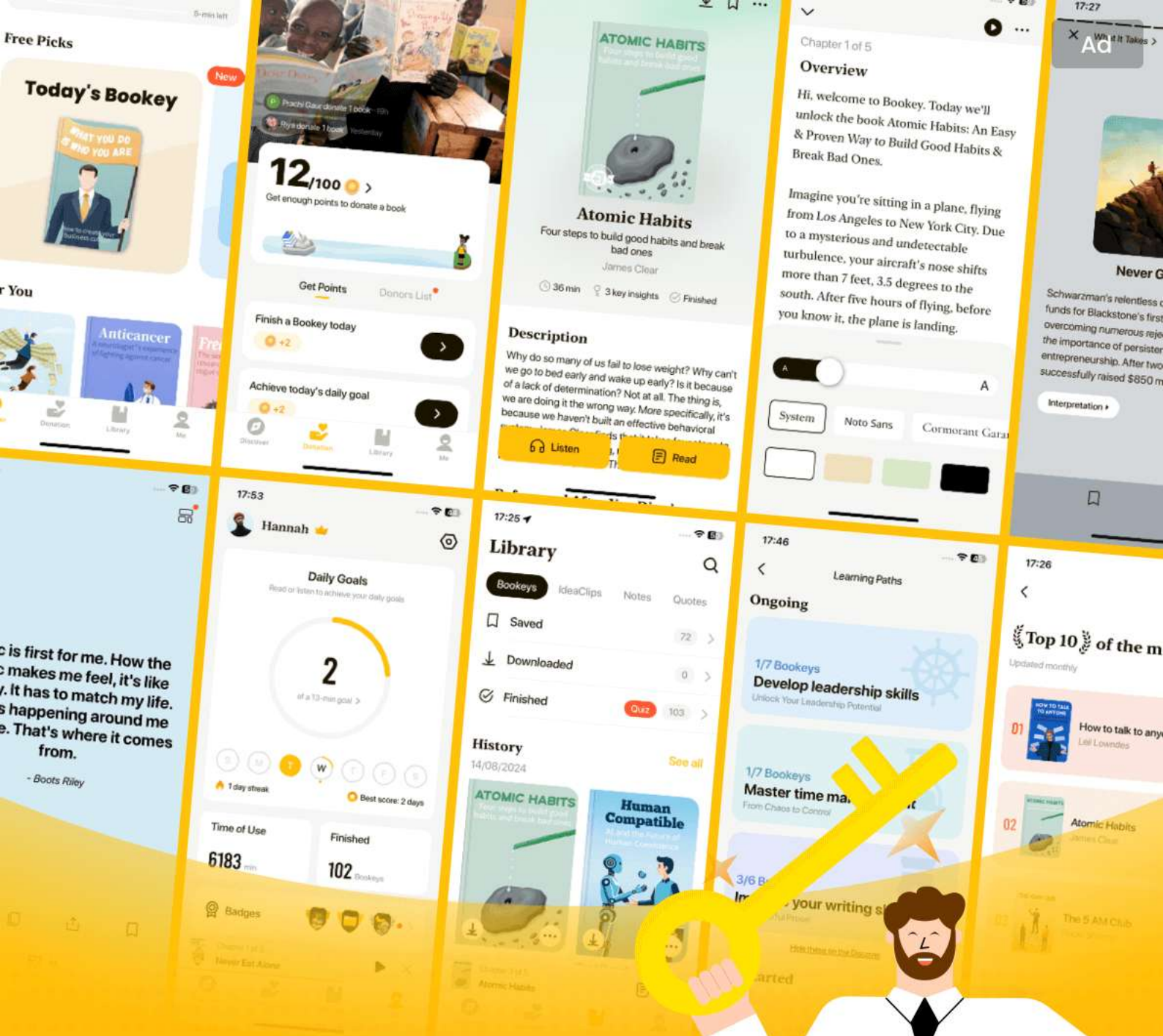
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Chapter 19 | 10 How I Go about Finding a Growth Stock| Q&A

1.Question

What is the importance of gathering knowledge before investing in growth stocks?

Answer:Gathering adequate knowledge is crucial to making informed investment decisions. Fisher emphasizes that an investor should gather at least 50% of necessary knowledge before approaching a company's management. This preparation allows the investor to ask insightful questions and assess the management's competency accurately. Without sufficient background knowledge, the investor may risk making decisions based on incomplete information, which could lead to poor investment outcomes.

2.Question

How does Fisher suggest selecting stocks for investigation?

Answer:Fisher outlines a systematic approach for selecting

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stocks that involves seeking leads primarily from a small group of able investment men rather than relying on traditional printed materials or casual contacts. He stresses the importance of quality sources for generating leads and screening potential investments effectively to focus on companies that are more likely to yield spectacular gains.

3.Question

Why does Fisher advise against approaching company management too early in the evaluation process?

Answer:Fisher advises against approaching company management until significant 'scuttlebutt' research has been completed because, at that point, investors will have a better framework for understanding the company's strengths and weaknesses. This prior research enables investors to ask more pointed and pertinent questions, which can elicit more honest and valuable responses from management.

4.Question

What is the 'scuttlebutt' method, and why is it valuable?

Answer:The 'scuttlebutt' method involves gathering informal

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information from customers, suppliers, competitors, and professionals in a related field. This method is valuable because it provides a broader context and deeper insights into the company's industry standing, operational strengths, and weaknesses that formal reports may not reveal. This unfiltered information aids investors in forming a more realistic picture before making investment decisions.

5.Question

What could be the consequences of superficial investment analysis, according to Fisher?

Answer: Superficial investment analysis can lead to poor judgment and costly mistakes. Fisher warns that skimming through brokers' reports or relying on first impressions without thorough examination can result in overlooking potential growth stocks or mistakenly investing in underperforming companies. The complexity of the investment landscape requires diligent research and a deep understanding to achieve significant financial rewards.

6.Question

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What mindset does Fisher advocate for when searching for growth stocks?

Answer: Fisher advocates for a diligent and proactive mindset in searching for growth stocks. He emphasizes the need for hard work, skill, and the willingness to invest significant time in research and analysis. He believes that the substantial financial rewards of successful stock selection are only attainable through extensive effort combined with good judgment and a clear vision of potential investments.

7.Question

How does Fisher evaluate the potential of a company prior to investment?

Answer: Fisher evaluates a company by first analyzing its industry potential and sales growth opportunities. He considers whether the business is in an area that can easily attract competition, which might undermine future profitability. His comprehensive method includes assessing company performance against a set of criteria known as the fifteen points, which measure various aspects of a company's

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viability and growth prospects.

Chapter 20 | 11 Summary and Conclusion| Q&A

1.Question

What does Philip A. Fisher imply about the future of living standards globally?

Answer:Fisher suggests that the upcoming decade may see more advancement in living standards than has occurred in the past five thousand years, indicating a period of significant economic growth and potential prosperity.

2.Question

How does modern corporate management impact investment strategies according to Fisher?

Answer:Modern corporate management has improved the investment characteristics of common stocks, implying that investors should consider a company's management capabilities when evaluating stocks.

3.Question

What is the relationship between the basic principles of stock investment and modern developments in business?

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Answer: While new factors such as corporate management and scientific research have emerged, Fisher asserts that they have not altered the basic principles of successful stock investment; instead, these principles have grown in importance.

4.Question

What lesson can investors learn from the discussion on common mistakes?

Answer: Investors should recognize the importance of understanding and avoiding common mistakes, but equally, they must cultivate patience and self-discipline to succeed in the stock market.

5.Question

Why does Fisher quote Shakespeare regarding the tide in the affairs of men?

Answer: Fisher uses Shakespeare's quote to convey that seizing opportunities at the right moment can lead to great success in the investment realm, emphasizing the importance of timing and awareness in investment decisions.

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6.Question

What can be inferred about the role of emotional resilience in stock market success?

Answer:Fisher highlights that having a good 'nervous system'—which suggests emotional resilience and self-control—is crucial for navigating the stock market, potentially even more so than intellectual understanding.

7.Question

What is the overarching message of Fisher's conclusions in this chapter?

Answer:The overarching message is to take a long-term view in stock investment, apply fundamental principles consistently, remain patient, and be prepared for the inherent risks and rewards in the evolving landscape of the economy.

Chapter 21 | Epigraph| Q&A

1.Question

What are the two key principles highlighted by Philip A. Fisher for business success?

Answer:Integrity, ingenuity, and hard work.

2.Question

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How does Philip A. Fisher define a conservative investment?

Answer: A conservative investment is one most likely to conserve purchasing power at a minimum of risk.

3.Question

What is the difference between conservative investing and simply acting conservatively?

Answer: Conservative investing requires understanding what constitutes a conservative investment and then verifying if specific investments meet that criteria.

4.Question

Why is it essential to distinguish between conservative and conventional investments according to Fisher?

Answer: Misunderstanding between acting conservatively and acting conventionally could lead to poor investment choices and significant financial losses.

5.Question

What does Fisher believe is necessary for the reopening of markets for new stock issues?

Answer: For markets to reopen, investors must feel

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financially secure; this involves proper education in investment fundamentals.

6.Question

What role did Fisher's son Ken play in the creation of this book?

Answer:Ken contributed to the title and many concepts within the book, significantly influencing its presentation.

7.Question

What lesson does Fisher suggest can be learned from the mistakes of the financial community?

Answer:Studying past mistakes helps avoid similar errors in the future and clarifies essential investment principles.

8.Question

According to Fisher, what potential opportunity might arise from the recent bear market?

Answer:The bear market could create a magnificent opportunity for those who can think independently and act contrary to popular emotions.

9.Question

What is a major concern that Fisher has for the future of

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the American economy and stock market?

Answer: Fisher is concerned that without investor security and understanding, government financing may become necessary, leading to inefficiency and waste.

10.Question

Why is there a call for genuine re-education among investors today?

Answer: To enable investors to understand basic investment fundamentals, thereby restoring confidence in stock ownership and preventing future market crashes.

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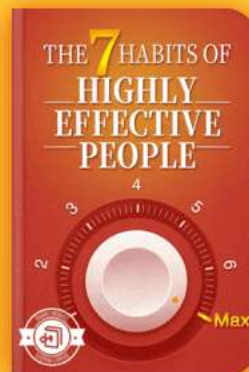
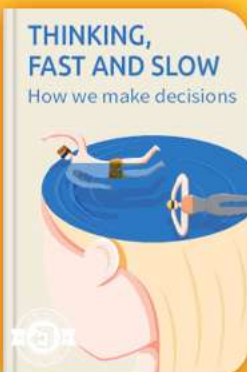


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Chapter 22 | Introduction| Q&A

1.Question

What does Philip A. Fisher mean by a conservative investment?

Answer:Fisher defines a conservative investment as one that is most likely to conserve purchasing power at a minimum of risk. It is not just about purchasing familiar large companies; truly conservative investing requires understanding the qualities that characterize a conservative investment and performing thorough inquiries to ensure those specific investments qualify.

2.Question

How can an investor avoid acting conventionally rather than conservatively?

Answer:Investors can avoid acting conventionally by educating themselves on what constitutes a conservative investment. Rather than following the crowd and making decisions based on widely recognized names, they should

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critically assess potential investments based on fundamental principles and their individual risk tolerance and goals.

3.Question

What does Fisher identify as a common mistake made by investors during market downturns?

Answer:Fisher notes that during market downturns, many investors tend to panic and exit the market altogether, often driven by fear rather than informed decision-making. This reaction can lead to a lack of understanding about the potential long-term benefits of properly selected stocks.

4.Question

What role does education play in improving investor morale according to Fisher?

Answer:Education is crucial for improving investor morale because it empowers investors to feel financially secure through informed decisions. Fisher emphasizes the necessity of re-educating investors and industry professionals, as this understanding will help rebuild trust in the market and encourage investments in new stock offerings.

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5.Question

What historical perspective does Fisher provide regarding investor experiences, and its implications?

Answer:Fisher compares the current market conditions to the experiences during the Great Depression, suggesting that without a systematic understanding and approach to investing, investors might experience similar bloodbaths. He warns that confusion between conservative and conventional investing can have detrimental effects on both individual investors and the broader economy.

6.Question

What potential advantages of investing in stocks does Fisher highlight despite market fears?

Answer:Fisher points out that amidst inflation and market downturns, properly selected stocks can be substantially less risky than traditionally safe investments, suggesting that savvy investors may find significant opportunities even during troubling times, akin to previous bear markets in U.S. history.

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7.Question

How does Fisher suggest that investors can contribute to improving the economic landscape?

Answer:Fisher believes that if more investors become financially secure through informed investing, it will lead to a resurgence in stock market participation which is essential for companies needing capital to fund new and beneficial projects. This, in turn, can stimulate economic growth and improve overall societal well-being.

8.Question

What is the significance of the title contributed by Fisher's son?

Answer:The title reflects an important aspect of the book's content, emphasizing the contrast between common stocks and how they can be profitably invested in instead of viewed merely as high-risk gambling tools, thereby encapsulating the book's aim of fostering a deeper understanding of intelligent investment strategies.

Chapter 23 | 1 The First Dimension of a Conservative Investment| Q&A

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1.Question

What is the importance of being a low-cost producer for a company looking to provide conservative investments?

Answer:Being a low-cost producer allows a company to maintain a broad margin between costs and selling prices, creating enough leeway to survive bad economic years. In difficult times, higher-cost competitors may have to close, allowing the low-cost producers to increase their market share and profits as they can not only keep producing but also raise prices with reduced competition.

2.Question

How does a strong marketing organization contribute to a company's success?

Answer:A strong marketing organization must stay attuned to changing customer preferences to ensure it offers relevant products. It needs to create awareness of a product's benefits, effectively communicating in terms that appeal to potential customers. Without this focus, the company risks losing

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business and profitability.

3.Question

Why is outstanding research and technical effort crucial for all industries today?

Answer:Outstanding research and technological talent is vital not just for scientifically intensive industries but across the board, as technology influences all sectors. Companies must develop new products and improve services continually to remain competitive and fulfill current market demands.

4.Question

What role does financial skill play in a successful company?

Answer:Financial skill enables a company to understand the profitability of each product, optimize cost management, and create early warnings for any financial issues. This capability helps prevent painful surprises and guides investments towards areas yielding the highest returns.

5.Question

Why is growth emphasized even in conservative investment strategies?

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Answer: In a fast-changing world, stagnation poses a risk of decline. Companies that do not pursue growth will lose out to competitors who adapt and innovate. Growth ensures that a company can maintain its relevance and profitability amidst technological advancements and evolving consumer preferences.

6.Question

What consequences can arise from choosing high-cost companies in prosperous markets?

Answer: While high-cost companies may show dramatic profit gains in booming markets, they carry higher risks.

When the market turns, these companies may face bankruptcy, resulting in significant losses for investors who may have been misled into believing in short-term success without understanding the underlying risks.

7.Question

How important is it for a company to manage the relationships between research, marketing, and production?

Answer: Effective management of these relationships is

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critical; if a company has a strong research team but fails to align with marketing and production needs, it risks developing products that cannot be sold. Companies must ensure all divisions work together to maximize their innovation potential and market relevance.

8.Question

What underlying principle emphasizes the necessity of continual adaptation in business?

Answer: The principle that emphasizes the necessity of continual adaptation is that nothing remains the same in a rapidly changing environment. Companies must evolve or risk obsolescence; thus, growth and innovation are essential not just for expansion but for survival.

Chapter 24 | 2 The Second Dimension| Q&A

1.Question

What is the second dimension of a conservative investment according to Philip Fisher?

Answer: The second dimension deals with the people factor—specifically, the management quality and

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team dynamics that produce results and will continue to produce successful outcomes in the future.

2.Question

Why is the concept of 'vivid spirit' important in evaluating a company?

Answer:Edward H. Heller described 'vivid spirit' as essential for entrepreneurial success. It highlights the importance of determined individuals with the vision, drive, and creativity necessary for a company to thrive.

3.Question

How does a company's internal promotion policy affect its investment merit?

Answer:A company that promotes from within is often more favored as it suggests stability and a strong internal culture, reducing the risks associated with new hires who may not fit the unique company dynamics.

4.Question

What does a large salary disparity among top executives indicate?

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Answer:It serves as a warning sign; if the top executive's salary is significantly higher than others, it suggests a lack of a collaborative management team and may indicate problems within the company's leadership.

5.Question

What is a key factor in maintaining employee morale and productivity?

Answer:Management's commitment to treating employees with dignity and ensuring they feel valued at all levels is crucial for fostering loyalty and enhancing overall productivity.

6.Question

How did Texas Instruments achieve a remarkable boost in productivity?

Answer:They embraced a 'people-effectiveness' program where all employees participated in decision-making and set collective performance goals, significantly increasing morale and productivity.

7.Question

What lessons can investors learn from the management

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practices at Dow Chemical?

Answer: Investors can learn that responsive corporate structures and a willingness to innovate can lead to superior performance, making such companies more compelling long-term investment opportunities.

8.Question

Why is it critical for management to focus on long-term growth over short-term profits?

Answer: Focusing on long-term growth ensures the sustainability of the business and builds its future profitability, while a myopic view on short-term profits can jeopardize the company's future health.

9.Question

What commonality exists among successful companies in regard to human resource policies?

Answer: Successful companies tend to implement unique, well-formulated people-oriented policies that are effectively executed, leading to better employee engagement and organizational performance.

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10.Question

What potential risks exist when implementing new management programs?

Answer:Improper implementation of management programs like training or employee participation can lead to disillusionment, loss of talent, and could ultimately damage the company's culture and performance.

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Chapter 25 | 3 The Third Dimension Investment Characteristics of Some Businesses| Q&A

1.Question

What is the significance of above-average profitability for investors?

Answer: Above-average profitability is vital for investors as it not only serves as a source of growth but also protects their existing investments. During inflationary periods, companies with higher profit margins are better positioned to absorb increased costs before passing them onto consumers. This stability ensures that the company's profits can withstand economic fluctuations and competitive pressures.

2.Question

How does the concept of economies of scale affect a company's profitability?

Answer: Economies of scale allow larger companies to produce goods at a lower cost per unit than smaller competitors, as exemplified by a company that produces one

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million units a month versus one producing only 100,000. However, this advantage is only realized if the larger company is managed efficiently. If not, the costs of bureaucratic inefficiencies can negate the benefits of scale.

3.Question

What role does management capability play in maintaining competitive advantages?

Answer: The competence of management is crucial in sustaining a company's leadership position and profitability. Companies must adapt to changing market conditions to maintain their competitive edge. A well-managed company will be able to respond to competition effectively and maintain its market share and profit margins.

4.Question

How do established companies protect their market position against competitors?

Answer: Established companies protect their market position by creating strong brand recognition and loyalty. For instance, companies like IBM maintained dominance not just

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through superior products but also by the trust they built.

When purchasing decisions are made, customers tend to favor well-known brands to avoid risk, further entrenching the market leader's position.

5.Question

What factors contribute to a company having a natural advantage in profitability?

Answer:Natural advantages in profitability can come from various factors, including large scale of production, strong brand recognition, established customer loyalty, and operational efficiencies. Companies that can respond quickly to market demands and integrate innovative technologies while efficiently managing resources are likely to sustain higher profit margins.

6.Question

Why is it important for companies to build a habit among customers to reorder their products?

Answer:When customers develop a habit of automatically reordering a company's products, it creates a strong barrier to

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entry for competitors. This situation is economically advantageous for the leading company as acquiring new customers through marketing becomes unfeasible for competitors without significant market share and brand recognition.

7.Question

In what ways can marketing maintain above-average profit margins for companies?

Answer:Effective marketing strategies, such as holding technical seminars and maintaining product quality and service, reinforce a company's market leadership. By ensuring that customers believe they are getting superior value and reliability from their products, companies can justify higher prices and sustain demand.

8.Question

What should investors assess regarding a company's ability to sustain profitability?

Answer:Investors should evaluate whether a company has inherent business characteristics that enable it to perform

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tasks more effectively than competitors. This assessment includes examining market share, operational efficiency, and barriers to entry that would prevent others from easily replicating its success.

9.Question

How can profit margins affect investor perceptions of a company?

Answer:A consistent profit margin that is slightly higher than competitors can be more attractive to investors than excessively high profit margins. Unusually high profits may attract competition, which can drive profits down, whereas a stable and sustainable profit margin signifies a company with strong competitive defenses.

10.Question

What are the implications of entering a market with a product ahead of competitors?

Answer:Entering a market early with a well-regarded product can secure a significant market share and high profits. This first-mover advantage can create a reputation that retains

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customer loyalty and discourages future competition, as seen in various industries where the leading supplier captures most of the profits.

Chapter 26 | 4 The Fourth Dimension Price of a Conservative Investment| Q&A

1.Question

What is the significance of the price-earnings ratio in stock investment?

Answer:The price-earnings ratio (P/E ratio) is crucial as it helps investors assess whether a stock's current price is justified by its earnings. A high P/E ratio may sometimes indicate overvaluation if not backed by strong growth fundamentals, while a low P/E ratio might suggest a good buying opportunity if the company has solid growth prospects.

2.Question

How can misunderstandings about the P/E ratio lead to substantial financial losses?

Answer:Many investors misinterpret the factors influencing the P/E ratio, leading them to overpay for stocks or sell them

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prematurely at low points. This misunderstanding can result in billions lost in investment, as individuals blame the system rather than their own lack of knowledge or poor timing.

3.Question

What should investors focus on when appraising a stock?

Answer:Investors should focus on the fundamental performance of the company—its management, product quality, and overall financial health—rather than solely relying on market perceptions or trends dictated by the financial community.

4.Question

Why do some companies see their stock prices rise significantly even with high P/E ratios?

Answer:A stock's price can rise sharply even with a high P/E if the company is achieving consistent growth in earnings. If investors recognize the company's potential and growth capabilities, they may find even relatively high P/Es attractive compared to the stock's future earnings prospects.

5.Question

What is the relationship between a company's

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fundamentals and the appraisal by the financial community?

Answer: The appraisal by the financial community reflects a consensus view on a company's future potential, which can sometimes deviate from its actual fundamentals. This disparity can create opportunities for investors who can identify undervalued stocks that have strong underlying business strengths.

6.Question

How should conservative investors approach companies with high P/E ratios?

Answer: Conservative investors should retain high P/E ratio companies if their fundamentals remain strong, as these stocks can eventually justify their prices through increased earnings, despite appearing overvalued in the short term.

7.Question

What are the risks of investing in companies with inflated appraisals?

Answer: Investing in companies with inflated appraisals is

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risky as these stocks can experience dramatic drops in value when the market corrects itself. This can lead to significant financial losses and discourage long-term investment in stocks overall.

8.Question

How does the emotional aspect of market movements impact stock appraisals?

Answer:Emotional reactions can lead to exaggerated appraisals, both upward and downward, distorting the true value of a stock and resulting in price volatility that does not reflect underlying business fundamentals.

9.Question

What key lesson can investors learn about timing and stock valuation?

Answer:Investors should understand that market appraisals can often be out of sync with reality for extended periods, making timing decisions based purely on these appraisals inherently risky.

10.Question

Why is it important to differentiate between significant

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price movements and minor fluctuations in stock prices?

Answer: Recognizing significant price movements, driven by changes in appraisal, is vital for making informed investment decisions, as minor fluctuations often result from temporary market disturbances without true changes in company value.

Chapter 27 | 5 More about the Fourth Dimension| Q&A

1.Question

How does the appraisal of an industry, such as chemicals, change over time despite stable fundamentals?

Answer: The financial community's perception of an industry can shift dramatically due to changing economic circumstances or popular opinion, even when the underlying fundamentals remain consistent. For example, the chemical industry's image evolved from that of innovation and high potential during the early years post-Great Depression to a perception of commoditization and intense competition in the 1960s. This shift was not

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due to a change in the industry's capabilities but rather how investors viewed the industry's prospects. Such changes highlight the importance of investors discerning between prevailing sentiment and the actual operational realities.

2.Question

What can investors learn from the trend of price-earnings ratios in industries?

Answer: Investors can learn that price-earnings ratios are not fixed and can fluctuate based on investor sentiment toward the industry's future prospects. For example, the price-earnings ratio of chemical stocks dropped significantly in the 1960s due to a shift in perception, despite the industry having solid growth opportunities. This warns that an overreliance on ratios without considering the underlying fundamentals can lead to poor investment decisions.

3.Question

What was the significance of Smith, Barney & Co.'s public offering of A.C. Nielsen in 1958?

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Answer: The public offering of A.C. Nielsen in 1958 marked a significant moment in financial markets, as it introduced a service-based company without tangible products or inventories, challenging traditional investment paradigms based on factories and products. It represented a shift towards accepting new types of business models, highlighting the importance of recognizing strong fundamentals over conventional yardsticks of value.

4.Question

Why is it essential for investors to understand the current financial community's appraisal of an industry?

Answer: It is crucial for investors to grasp the prevailing financial community's view, as it directly affects their investment decisions. An appraisal that is significantly more favorable or unfavorable than warranted by fundamentals can lead to mispriced stocks. Continuous evaluation of these perceptions against the actual economic facts can guide investors to make better-informed decisions.

5.Question

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How did the perception of computer peripheral stocks change, and what does that imply for investors?

Answer: The perception of computer peripheral stocks shifted from viewing them as having limitless potential to recognizing the financial strains and competition involved in the business. This change implies that investors must stay informed about both the macro and microeconomic factors influencing an industry and be wary of hype that may not align with the real economic circumstances.

6.Question

What does the example of the chemical industry teach about the relation between image and fundamentals?

Answer: The example of the chemical industry teaches that the image projected by an industry can significantly influence its market performance even when the fundamental strengths or weaknesses remain largely unchanged. Investors need to scrutinize whether the prevailing image reflects reality or if it is influenced by external perceptions and trends.

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7.Question

What lesson can be derived from the initial skepticism towards service industries compared to traditional sectors?

Answer: The skepticism towards service industries versus traditional sectors teaches investors the importance of remaining open to emerging business models. As new industries evolve, perceptions may initially be negative due to unfamiliarity or lack of tangible assets, but thorough analysis of their fundamentals can reveal significant investment opportunities.

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Chapter 28 | 6 Still More about the Fourth Dimension| Q&A

1.Question

What is the role of the financial community's appraisal of a company in determining its price-earnings ratio?

Answer:The financial community's appraisal is crucial as it influences how closely a company's perceived value aligns with its actual characteristics.

A positive appraisal results in a higher price-earnings ratio, while a negative one can lead to a decline.

2.Question

How can investors misinterpret price-earnings ratios when comparing companies?

Answer:Investors may assume that a lower price-earnings ratio always indicates a better value. However, factors such as a company's leveraged capitalization or differing growth prospects can mislead this simple comparison.

3.Question

What fundamental rule should investors remember

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regarding future earnings and price-earnings ratios?

Answer: The further into the future that profits are expected to grow, the higher the price-earnings ratio an investor can justifiably pay.

4.Question

Why is it important to differentiate between current financial community beliefs and actual company performance?

Answer: Current beliefs can dramatically affect stock prices and lead to misvaluations. For example, in optimistic markets, stocks may trade at high ratios despite potential future downturns.

5.Question

What lesson can be learned from the reaction to Motorola's announcement to exit the television business?

Answer: The swift rise in Motorola's stock price illustrates the impact of correcting a misleading company image.

Investors hastily reacting to news may gain short-term benefits but can face setbacks if market conditions shift.

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6.Question

In the context of stock valuations, what does the term 'undiscounting' refer to?

Answer:Undiscounting occurs when the anticipated growth that was previously factored into a stock's price is removed due to market shifts, often leading to significant price depreciation.

7.Question

How do investor behaviors affected by previous price ranges impact stock purchases?

Answer:Investors may irrationally perceive stocks as cheap or expensive based on historical price movements rather than current fundamentals, leading to misguided buying or selling decisions.

8.Question

What role do general market conditions play in stock pricing?

Answer:General market conditions, particularly interest rates, significantly influence stock prices. Higher rates typically lead to lower stock prices as capital flows to safer,

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interest-bearing investments.

9.Question

How should the appraisal of a stock's price be evaluated according to Philip Fisher?

Answer:The evaluation should consider the financial community's appraisal of the company, the industry it operates in, and the broader market conditions, weighing them against reality to determine attractiveness.

Chapter 29 | Dedication to Frank E. Block| Q&A

1.Question

What does dedication to Frank E. Block signify in the context of the financial analysis profession?

Answer:The dedication to Frank E. Block highlights the importance of leadership, ethical standards, and educational advancement in the field of financial analysis. It signifies the impact that a dedicated individual can have on fostering a community that values continuous education and ethical practices.

2.Question

Why is continuous education emphasized for financial

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analysts?

Answer:Continuous education is emphasized because the financial landscape is constantly evolving, necessitating that analysts stay informed about new theories, tools, and ethical standards to make well-informed decisions and recommendations.

3.Question

How does the recognition of Frank E. Block serve as an inspiration for aspiring financial analysts?

Answer:Frank E. Block's recognition inspires aspiring analysts by portraying a model of leadership and commitment to ethical practices. It encourages them to strive for excellence and integrity in their careers, reminding them of the broader impact they can have on their profession and society.

4.Question

What role do ethical standards play in the work of financial analysts?

Answer:Ethical standards are crucial as they ensure financial

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analysts conduct their work with integrity, prioritize the interests of clients, and contribute positively to the trustworthiness of the financial markets.

5.Question

How can the example set by leaders like Frank E. Block influence future generations of analysts?

Answer: Leaders like Frank E. Block can influence future generations by serving as role models who exemplify the virtues of dedication, ethical responsibility, and a commitment to ongoing learning, inspiring new analysts to follow in their footsteps.

Chapter 30 | 1 Origins of a Philosophy| Q&A

1.Question

What is the primary goal of Fisher & Co. in its investment approach?

Answer: The primary goal of Fisher & Co. is to invest in a small number of companies that can grow in sales and profits at a rate significantly greater than the industry average, while doing so with

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relatively low risk.

2.Question

What personal experience sparked Philip Fisher's interest in the stock market?

Answer:Philip Fisher's interest in the stock market was sparked by a conversation he overheard between his uncle and grandmother about the impact of business conditions on stock ownership, which opened his eyes to the potential of sharing in the profits of successful companies.

3.Question

How did Fisher's education at Stanford contribute to his investment philosophy?

Answer:Fisher's education at Stanford, particularly through a course that included visits to manufacturing companies, helped him understand the strengths and weaknesses of businesses, emphasizing the importance of management and an effective sales strategy for a company's success.

4.Question

What lesson did Fisher learn from his initial investment experiences in the late 1920s?

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Answer:Fisher learned that simply reading financial reports is insufficient for making wise investments; it is crucial to gather insights from people who have direct experience with the companies being evaluated.

5.Question

According to Fisher, what is more critical than a low price-earnings ratio when assessing stocks?

Answer:Fisher emphasized that the key to determining if a stock is cheap or overpriced lies not in its current earnings but in forecasting its earnings potential a few years ahead.

6.Question

What realization did Fisher come to regarding predictions and actual investment success?

Answer:Fisher realized that being correct in timing market predictions does not guarantee investment success; the application of correct reasoning into actionable investments is what truly matters.

7.Question

What opportunity arose for Fisher during the Great Depression?

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Answer: During the Great Depression, Fisher seized the opportunity to start his own investment management business, capitalizing on the dissatisfaction of clients with their existing investment options.

8.Question

How did Fisher's initial years of running his business shape his future success?

Answer: Despite initial challenges, Fisher's hard work in a small office during tough economic times helped him build a loyal client base and establish the foundation for a prosperous investment advisory career.

9.Question

What role did personal resilience play in Fisher's approach to investing?

Answer: Fisher's strong dislike for losing money and his belief in learning from mistakes drove him to continuously refine his investment strategies and avoid repeating past errors.

10.Question

How does Fisher differentiate between an efficient

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manufacturer and a successful business?

Answer: Fisher asserts that an efficient manufacturer must also have strong selling capabilities to thrive; merely having a good product is not enough for a business to succeed.

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Chapter 31 | 2 Learning from Experience| Q&A

1.Question

What lesson did Philip A. Fisher learn from the rise and fall of Food Machinery Corporation during the Great Depression?

Answer:Fisher learned the importance of deeply understanding a company's management and fundamentals before investing. He realized that good management capabilities and integrity are critical to the success of a business and its ability to weather economic difficulties.

2.Question

How does Fisher define 'zigging' and 'zagging' in investing?

Answer:'Zigging' refers to going against the prevailing trend of the financial market, while 'zagging' means following that trend. The highest profits in investment often go to those who have the insight to buy when others are selling.

3.Question

What is Fisher's 'three-year rule' in investment strategy?

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Answer: The 'three-year rule' states that investors should allow a three-year period to evaluate a stock's performance before making any drastic decisions. If the investment does not yield results by the end of three years, they should consider selling.

4.Question

What did Philip A. Fisher mean by the phrase 'There is a tide in the affairs of men which, taken at the flood, leads on to fortune.'?

Answer: Fisher interpreted this quote from Shakespeare as an encouragement to seize unique investment opportunities when they arise - moments that have the potential to significantly enhance one's financial future.

5.Question

Why is integrity important in business according to Philip A. Fisher?

Answer: Integrity in business is crucial because it fosters trust between management and shareholders. If managers prioritize their interests over the company's, they can jeopardize the company's success and shareholder returns.

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6.Question

How did Philip A. Fisher's experience with passive investing in the early 1930s shape his future investment philosophy?

Answer:His experience highlighted the necessity of active engagement with company management and the habit of purchasing for long-term gains rather than short-term trading, eventually leading to a shift in focus towards building substantial long-term positions in promising companies.

7.Question

What transformation did Fisher undergo regarding his approach to market timing and limit ordering?

Answer:Initially, Fisher struggled with overly strict limit pricing in stock purchases, which led him to miss out on significant gains. Over time, he recognized the folly of being overly concerned with pecuniary fractions and prioritized seizing opportunities.

8.Question

What does Fisher imply by stating that being contrarian in investing requires certainty?

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Answer:Fisher suggests that while having a contrarian view can lead to success, it is essential to be well-informed and confident about the rationale behind such decisions to avoid costly mistakes.

9.Question

What was Fisher's take on cyclical industries, particularly in the context of his investment activities?

Answer:Fisher recognized that cyclical industries require careful study of external factors affecting business performance, such as economic and environmental conditions, and he leveraged his knowledge of the fruit and vegetable canning industry to inform investment decisions.

10.Question

What does Fisher believe about the risks associated with quick trades versus long-term investments?

Answer:He concludes that trading in and out of stocks poses greater risks compared to making informed long-term investments, which often yield higher rewards relative to the time and effort expended.

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Chapter 32 | 3 The Philosophy Matures| Q&A

1.Question

What lesson can be learned from the impact of World War II on investment thinking?

Answer:World War II made Philip A. Fisher realize the importance of a long-term investment philosophy rather than short-term trading. It highlighted the need to focus on unusual companies that would enjoy above-average growth after the war, leading him to prioritize investments in the burgeoning chemical industry.

2.Question

How did Philip A. Fisher decide on investing in Dow Chemical?

Answer:Fisher chose Dow Chemical after extensive discussions with knowledgeable sources, including distributors and professors, to understand the industry's growth potential. He was impressed by Dow's management philosophy, which aimed to maintain creative collaboration

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and innovation even as the company expanded.

3.Question

What does Fisher consider a mistake in investment strategy?

Answer:Fisher considers the careless application of sound principles, such as failing to perform due diligence when excited about a potential investment, as a significant mistake. His experience with a drug company highlights the importance of thorough investigation and caution, especially in periods of market enthusiasm.

4.Question

What are the implications of Fisher's views on dividends for investors?

Answer:Fisher argues that dividends should not be prioritized by investors who do not need current income, as companies with high growth prospects often benefit more from reinvesting profits. He suggests that non-dividend-paying companies can offer more attractive long-term investment opportunities, especially for those seeking capital

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appreciation.

5.Question

What overarching principle does Philip A. Fisher emphasize regarding market fluctuations?

Answer:Fisher emphasizes that investors should remain focused on the long-term growth potential of a company rather than reacting to short-term market fluctuations. He argues that successful investing often requires holding onto stocks despite temporary declines, as the long-term outlook may still be very promising.

6.Question

How does Fisher suggest investors deal with the temptation to sell during market peaks?

Answer:Fisher suggests that rather than selling shares at perceived highs, investors should evaluate the long-term potential of their holdings. He warns that selling too early can lead to missed opportunities for substantial future gains, reinforcing the necessity of patience in investing.

7.Question

What methodological change did Fisher experience after

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returning to civilian life following World War II?

Answer: Upon returning after WWII, Fisher refined his strategy by concentrating on promoting growth investments for a select group of large investors, shifting away from diverse types of clients and focusing on the chemical industry's future prospects.

8.Question

How does Fisher view mistakes in management when companies face challenges?

Answer: Fisher acknowledges that despite challenges, capable management teams can offer tremendous bargains when their companies mistakenly drop in value due to temporary missteps, reinforcing the importance of investing in strong leadership.

9.Question

What does Fisher state about the historical analysis of market behavior post-WWII and the Great Depression?

Answer: Fisher draws parallels between the pessimism during the Great Depression and post-WWII, suggesting those who

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remained patient during these times were able to reap significant rewards once the market recovered, emphasizing historical analysis for future investments.

10.Question

What guiding principles from Dr. Herbert Dow does Fisher apply to his investment philosophy?

Answer:Fisher embraces the principles that promoting individuals who have made mistakes is essential for growth and exploring unique, pioneering ventures is critical for long-term success in a competitive market.

Chapter 33 | 4 Is the Market Efficient?| Q&A

1.Question

What is the main argument against the efficient market hypothesis as presented by Philip A. Fisher?

Answer:Fisher argues that the market is not perfectly efficient in reflecting all available information, which allows for genuine investment opportunities. He asserts that extreme price variations among stocks during market fluctuations

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demonstrate that the market does not accurately reflect a company's potential, presenting opportunities for knowledgeable investors to capitalize on mispriced stocks.

2.Question

According to Fisher, how did historical events shape his investment philosophy?

Answer:Fisher notes that throughout the decades, including periods of economic hardship like the Great Depression and high inflation, there were misjudgments from the financial community that resulted in undervalued stocks. Each decade presented unique challenges and opportunities, informing Fisher's belief that determined and knowledgeable investors could find significant opportunities despite prevailing pessimism.

3.Question

What lesson does Fisher derive from his teaching experience at Stanford?

Answer:Fisher designed an exercise for his students to

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illustrate that while the market as a whole may rise (like the Dow Jones increasing 41% in the studied period), individual stock performance can vary dramatically, with some stocks yielding substantial gains and others suffering significant losses. This disparity emphasizes the importance of sound investment judgment over following market trends.

4.Question

What does Fisher identify as essential qualities for selecting investment stocks?

Answer:He highlights the importance of investing in companies with strong growth potential, solid plans for achieving profits, and inherent competitive advantages that make it difficult for others to enter their market. Fisher emphasizes buying when these companies are undervalued.

5.Question

How does Fisher's example of the Raychem Corporation illustrate his criticisms of the efficient market theory?

Answer:The Raychem case shows that despite the stock's temporary drop due to management changes and a failed

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product, the company's fundamental strengths remained intact. Investors misjudged the situation, leading to a stock price that did not reflect its true worth, thus demonstrating that insider knowledge isn't needed to identify opportunities in a supposedly 'efficient' market.

6.Question

What overall investment philosophy does Fisher advocate at the conclusion of Chapter 33?

Answer:Fisher's investment philosophy emphasizes disciplined planning for long-term growth, taking advantage of price dips, investing based on fundamental strengths, holding onto successful investments, and recognizing that mistakes are part of the investing process. He stresses that success relies on a combination of hard work, intelligence, honesty, and a commitment to continual learning and improvement.

7.Question

What does Fisher mean by saying, "luck tends to even out" in the context of investing?

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Answer:Fisher suggests that while luck may play a role in short-term investment outcomes, long-term success in investing is primarily dependent on consistent skill and sound decision-making principles. Over time, the effects of luck balance out, underscoring the importance of a disciplined and informed approach to investing.

8.Question

How can individual investors create opportunities in a market that exhibits inefficiencies according to Fisher?

Answer:Individual investors can capitalize on market inefficiencies by conducting thorough research to uncover mispriced stocks, investing based on detailed analysis rather than crowd sentiment, and maintaining a long-term perspective focused on companies with strong growth fundamentals.

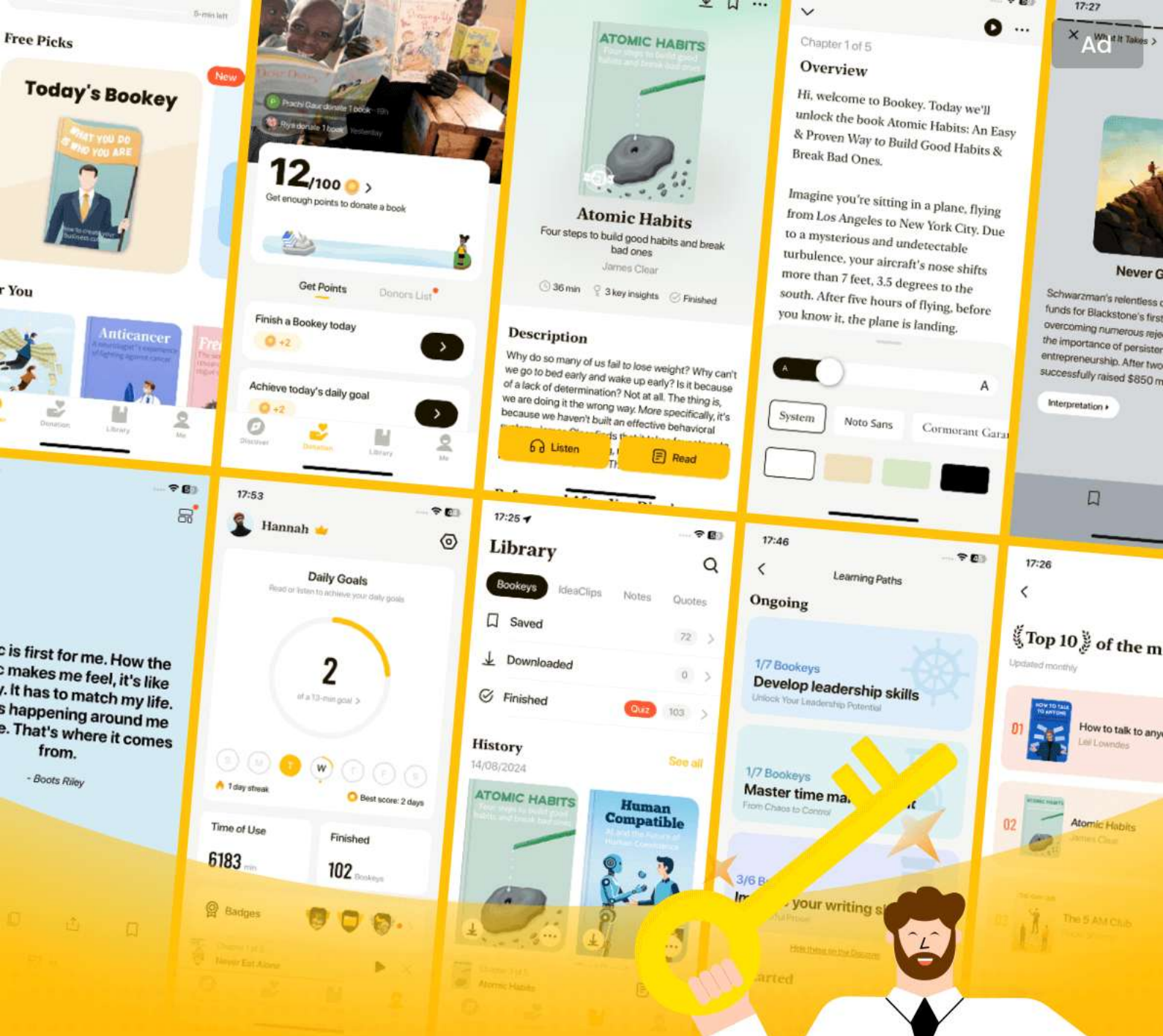
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Chapter 34 | FUNCTIONAL FACTORS| Q&A

1.Question

What is the importance of being a low-cost producer for a firm?

Answer:Being one of the lowest-cost producers allows a firm to survive during tough market conditions and enhances its pricing power as weaker competitors exit the market. This not only secures the firm's position but enables it to capitalize on growth opportunities when the market rebounds.

2.Question

How can a firm's profit margin impact its growth?

Answer:A higher than average profit margin allows a firm to internally generate more funds, reducing reliance on equity sales or debt financing. This financial flexibility supports sustained growth without diluting ownership or overleveraging.

3.Question

Why is customer orientation vital for a firm's success?

Answer:A strong customer orientation ensures that a firm can

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swiftly adapt to changes in customer preferences and needs. This agility facilitates the development of new products that offset the decline of mature or obsolete lines, keeping the firm competitive and relevant.

4.Question

What does effective marketing require beyond understanding customer needs?

Answer:Effective marketing not only involves understanding what customers want but also communicating these messages clearly. This requires close control and continuous evaluation of marketing activities to ensure they are cost-effective and impactful.

5.Question

What role does research play in maintaining a firm's competitiveness?

Answer:Research is crucial for developing new and improved products and for delivering services more efficiently. A directed research approach that focuses on market and profit consciousness, along with pooling talent

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into effective teams, enhances a firm's innovation capabilities.

6.Question

How can a strong financial team benefit a company?

Answer:A strong financial team provides essential advantages by ensuring accurate cost information, identifying inefficiencies across operations, and enabling the firm to conserve capital. Additionally, they create early warning systems to preemptively address potential threats to profitability.

7.Question

What are the implications of a firm's cost control systems?

Answer:Effective cost control systems help management focus on products with the highest profit potential, identify inefficiencies in various operational segments, and ensure prudent investment decisions, thus reinforcing the firm's financial health.

8.Question

What is the significance of an early warning system in

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finance?

Answer: An early warning system is critical because it allows a firm to detect potential issues that could negatively impact profit well before they become significant problems, enabling proactive measures to mitigate adverse impacts.

Chapter 35 | PEOPLE FACTORS| Q&A

1.Question

What key attributes should a chief executive possess to drive a firm's success?

Answer: A chief executive should have a determined entrepreneurial personality that combines drive, original ideas, and the necessary skills to build the fortunes of the firm.

2.Question

How important is teamwork in a successful organization?

Answer: Teamwork is critical; it must be distinct from dysfunctional power struggles. A successful chief executive should surround themselves with a competent team and delegate authority to them.

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3.Question

What does the recruitment of a chief executive from outside indicate?

Answer: Recruiting a chief executive from outside suggests a dangerous sign, indicating a lack of available talent within the organization.

4.Question

How frequently should a firm reexamine its accepted methods?

Answer: Every accepted way of doing things should be reexamined periodically to discover new and better methods.

5.Question

What is the role of employees in a successful firm?

Answer: Employees at every level must believe that their company is a good place to work, and they should be treated with dignity and decency.

6.Question

Why is it essential for management to be aware of changes in the business environment?

Answer: Management must recognize that the world is

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changing at an increasing rate, which requires continual adaptation and innovation in managerial approaches.

7.Question

What does effective communication of grievances among employees contribute to?

Answer:Employees should feel safe expressing grievances with the expectation of appropriate attention and action, fostering a supportive work environment.

8.Question

What sacrifices may be necessary for growth within a company?

Answer:Management may need to sacrifice current profits to lay the foundation for future improvements and sustainable growth.

9.Question

How can participatory programs benefit an organization?

Answer:Participatory programs are important for generating good ideas and fostering a sense of ownership and involvement among employees.

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Chapter 36 | BUSINESS CHARACTERISTICS| Q&A

1.Question

What should investors consider when evaluating a company's performance in the face of inflation?

Answer:Investors should focus on favorable profit to sales ratios rather than just historical return on assets, as traditional accounting measures can distort comparisons due to historic cost valuations.

2.Question

How can firms maintain high profit margins in a competitive market?

Answer:Businesses can mute competition by operating efficiently and achieving economies of scale, which reduces the incentive for new competitors to enter the market.

3.Question

What is the significance of being first in a new product market?

Answer:Getting there first gives a firm a considerable advantage in building market share and establishing itself as

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a leader, although the ability to maintain this position depends on defending against existing competitors.

4.Question

Why is it difficult to launch new, superior products in established markets?

Answer:Established competitors can quickly respond to potential threats by leveraging their existing advantages in market presence, customer loyalty, and resources, often making it challenging for new entrants to capture market share.

5.Question

What alternatives do companies have to achieve industry leadership besides technological advancement?

Answer:Companies can achieve a strong position through developing a consumer franchise or excelling in service quality, which can defend against competition and help sustain profitability.

6.Question

Why is it essential for an investment to have a strong ability to defend established markets?

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Answer: A company's capability to protect its market share from new competitors is crucial for long-term profitability and the security of an investment.

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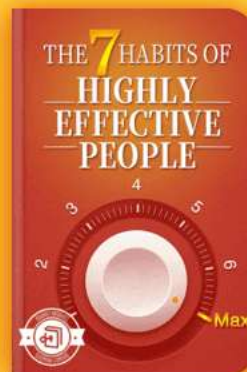
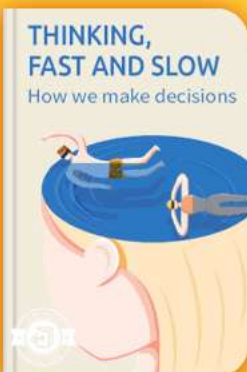


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Chapter 37 | NOTE| Q&A

1.Question

What is the key quality Fisher emphasizes for successful investing?

Answer:Fisher emphasizes the importance of a thorough understanding of a company's business and its management. Investors should conduct detailed research to grasp how a company operates, its growth potential, and its long-term strategies, fostering confidence in their investment decisions.

2.Question

How does Fisher suggest investors approach market conditions?

Answer:Fisher advises that investors should focus on the underlying business rather than the market's short-term fluctuations. This means remaining steadfast during market downturns and recognizing that the real value lies in the company's performance and growth prospects.

3.Question

Why is patience considered a virtue in investment

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according to Fisher?

Answer:Patience is crucial because successful investing often requires a long-term perspective. Fisher asserts that good investments may take time to realize their full potential, and investors should be prepared to wait for the company to grow and for their investment to appreciate.

4.Question

What role does management play in a company's success based on Fisher's insights?

Answer:Management plays a pivotal role in a company's success as they are responsible for strategic decision-making and guiding the company's direction. Fisher believes that investing in companies with capable and visionary management can significantly increase the chances of achieving substantial returns.

5.Question

How does Fisher recommend evaluating a company's competitive position?

Answer:Fisher recommends assessing a company's

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competitive position by analyzing its market share, product differentiation, and customer loyalty. A strong competitive edge often correlates with higher profitability and sustainability in the long run.

6.Question

What significance does Fisher attribute to innovation in a company's growth?

Answer:Fisher highlights innovation as a critical driver of growth. Companies that continually innovate tend to stay ahead of competitors and meet evolving consumer demands, thus ensuring long-term success and profitability.

7.Question

Can you summarize Fisher's philosophy on risk in investing?

Answer:Fisher's philosophy on risk suggests that true risk arises from a lack of knowledge. Investors should educate themselves about the companies they invest in to mitigate risks effectively. Understanding the business landscape, industry trends, and financial health is vital to making

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informed decisions.

8.Question

What advice does Fisher give regarding diversification of investments?

Answer:Fisher advises that while diversification can reduce risk, it should not come at the expense of in-depth understanding. Investors should prefer a focused approach by investing in a few well-researched companies rather than spreading their capital too thinly across many, which can lead to mediocre returns.

9.Question

How should investors handle emotions while investing according to Fisher?

Answer:Fisher suggests that investors should strive to remain rational and unemotional when making investment decisions. Emotional reactions to market volatility can cloud judgment and lead to poor decision-making, so maintaining a disciplined approach is essential.

10.Question

What long-term perspective does Fisher encourage in

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evaluating investments?

Answer: Fisher encourages investors to look beyond short-term performance and focus on the long-term growth trajectory of companies. A sustainable, growing business is more likely to provide substantial rewards over time, making it essential to maintain this perspective.

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Chapter 1 | THE FIFTEEN POINTS| Quiz and Test

1. Philip A. Fisher emphasizes that the key to successful investing is primarily knowing which stocks to sell rather than which stocks to buy.
2. Scuttlebutt involves gathering information from grassroots sources such as competitors and customers to better assess a company's position.
3. Investors who had applied Fisher's fifteen points could have avoided investing in scandal-ridden companies like Enron and WorldCom during the 2000-2002 bear market.

Chapter 2 | GOALS VERSUS SCUTTLEBUTT| Quiz and Test

1. Philip Fisher focused primarily on growth stocks, while his father concentrated on value stocks.
2. The fifteen points of investment principles are applicable to all investment styles, including growth, value, large cap, or

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small cap.

3. Fisher believes that creativity has no significant role in investment questioning and analysis.

Chapter 3 | MUCH MORE AVAILABLE| Quiz and Test

1. Kenneth L. Fisher believes that the investment principles outlined in his father's book are only applicable to the 1990s market.
2. Philip A. Fisher emphasized the importance of focusing on fundamentally strong companies over market fears.
3. Kenneth L. Fisher thinks that investors should try to time the market and diversify excessively for better results.

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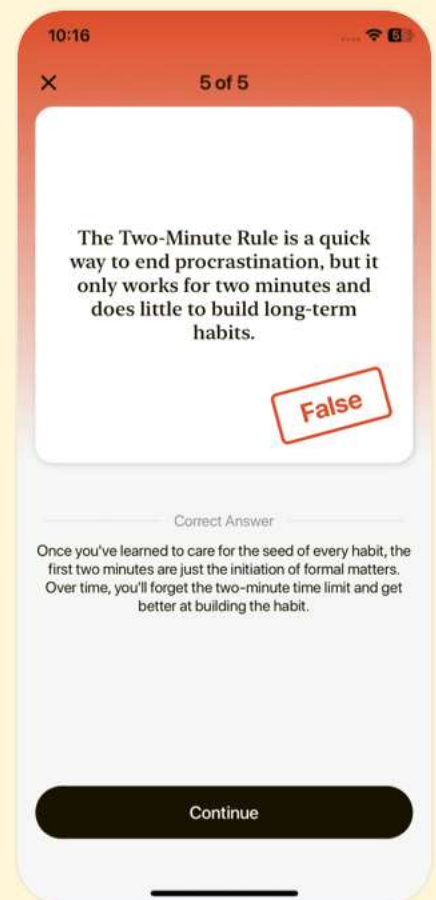
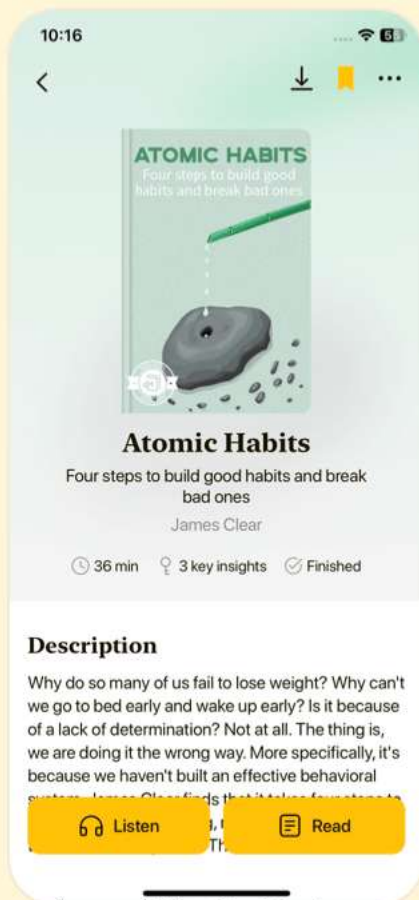


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Chapter 4 | BEGINNINGS| Quiz and Test

1. Philip A. Fisher's great-grandfather worked as an accountant for Levi Strauss.
2. Aunt Cary's financial support had no influence on Philip A. Fisher's education.
3. Philip A. Fisher transferred to Stanford University after graduating from UC-Berkeley.

Chapter 5 | MIDDLE LIFE| Quiz and Test

1. The author's father enlisted for military service during World War II and primarily served in combat duties.
2. Philip A. Fisher's book 'Common Stocks and Uncommon Profits' was published in the late 1950s, significantly boosting his standing in the investment community.
3. The father welcomed his sons' involvement in his business without any challenges.

Chapter 6 | WHAT KIND OF MAN?| Quiz and Test

1. Philip A. Fisher describes his father's personality as warm and nurturing.

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2.Fisher was proud of his father's methodical approach to stock investment and the times he adopted Fisher's investment ideas.

3.Fisher's father was open to new technology and embraced change in his work environment.

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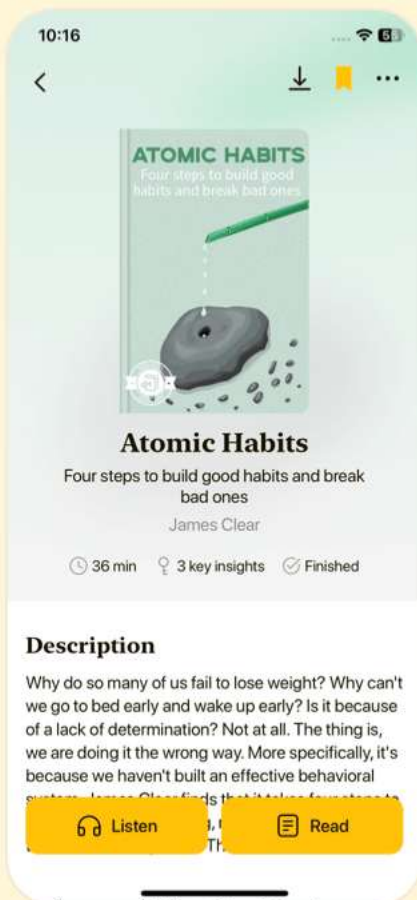


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Chapter 7 | THE THREE W's| Quiz and Test

- 1.The author's father was known for his ability to take risks successfully.
- 2.Walking was a form of expression and release for the author's father.
- 3.The father's writings have lost their impact over time.

Chapter 8 | SIGNIFICANCE—THE MIRROR IMAGE| Quiz and Test

- 1.My father had a significant impact on many individuals, encouraging them to think critically.
- 2.My father's influence was limited to his direct conversations and did not extend to his writings.
- 3.Re-reading my father's writings can lead to new insights over time.

Chapter 9 | Preface| Quiz and Test

- 1.Philip A. Fisher established Fisher & Co. in 1931 to provide an alternative to conventional stockbroking.
- 2.Fisher's investment philosophy focuses solely on following

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market trends and avoiding patience.

3. Fisher's motivation for writing is to share his investment philosophy specifically with experienced investors only.

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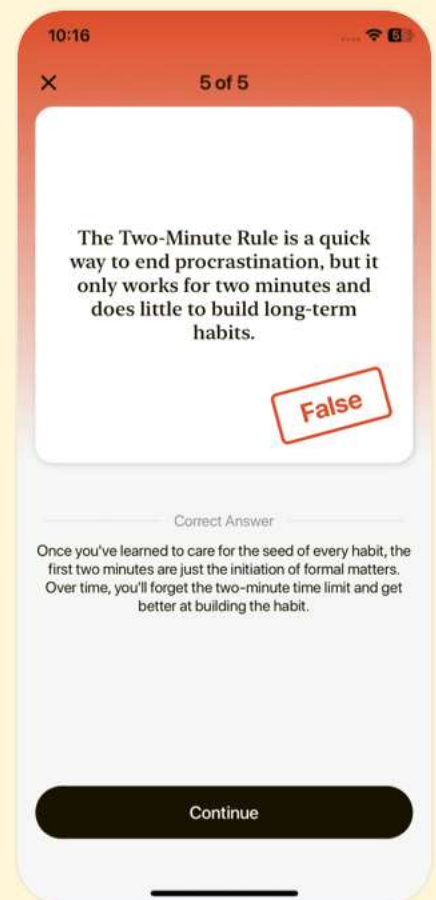
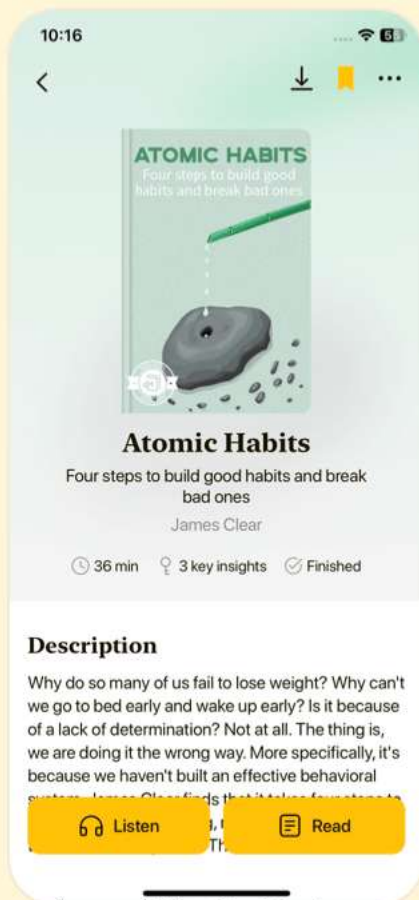


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Chapter 10 | 1 Clues from the Past| Quiz and Test

1. Investing in stocks is primarily motivated by the desire to make money.
2. The primary method for making money in stocks historically has been through short-term speculation in unstable markets.
3. Modern corporations prioritize the interests of outside stockholders over personal interests in management.

Chapter 11 | 2 What “Scuttlebutt” Can Do| Quiz and Test

1. A skilled manager's detailed examination of a company's operations is usually available to the average investor.
2. The scuttlebutt method is an informal approach to gathering information about companies.
3. Engaging with five companies in a sector will provide no insights into the industry dynamic.

Chapter 12 | 3 What to Buy| Quiz and Test

1. The effectiveness of a company's research and

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development efforts should be evaluated in relation to its size, emphasizing the need for skilled coordination among researchers and other departments.

2. A company must prioritize immediate gains over long-term profitability to be successful in investments.
3. Good labor relations can lead to higher turnover and decreased productivity.

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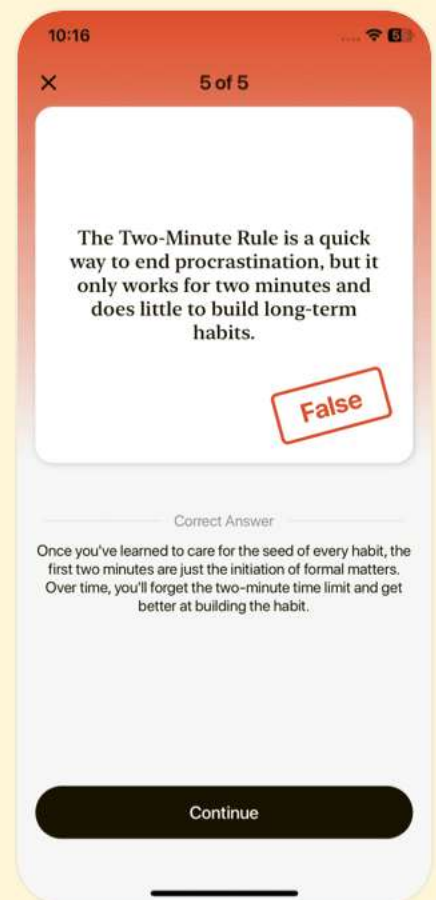
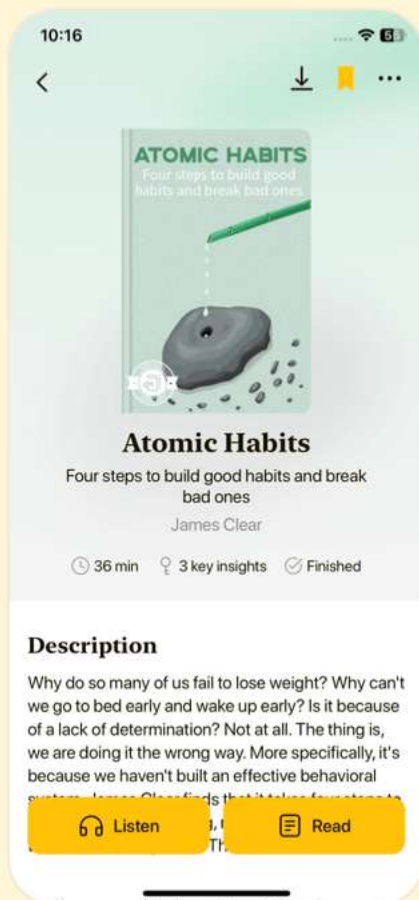


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Chapter 13 | 4 What to Buy| Quiz and Test

- 1.The average investor should rely solely on statistical analysis for successful investing.
- 2.Investors should differentiate between large, stable growth companies and smaller, higher-risk growth companies.
- 3.Studies show that yield-focused investments outperform growth stocks over the long term.

Chapter 14 | 5 When to Buy| Quiz and Test

- 1.Buying at the right time can significantly enhance profits, even when the selected stocks are destined for long-term success.
- 2.Investors should rely heavily on economic data to accurately predict market trends and determine their purchasing decisions.
- 3.Investors must watch for pivotal moments when company challenges lead to temporary price increases to make profitable investments.

Chapter 15 | 6 When to Sell| Quiz and Test

- 1.Investors should sell stocks when they recognize a

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mistake in their initial purchase.

2.It is advisable to sell stocks solely based on fears of market declines or perceived overvaluation.

3.The best time to sell a common stock is when any stock has appreciated significantly.

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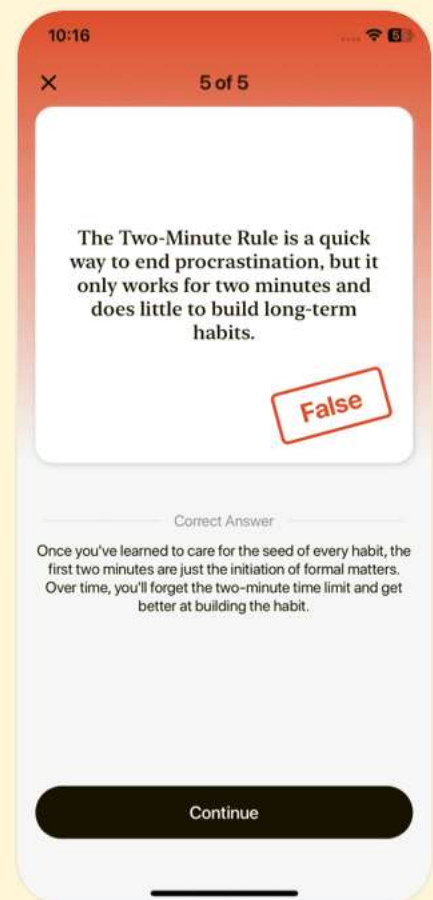
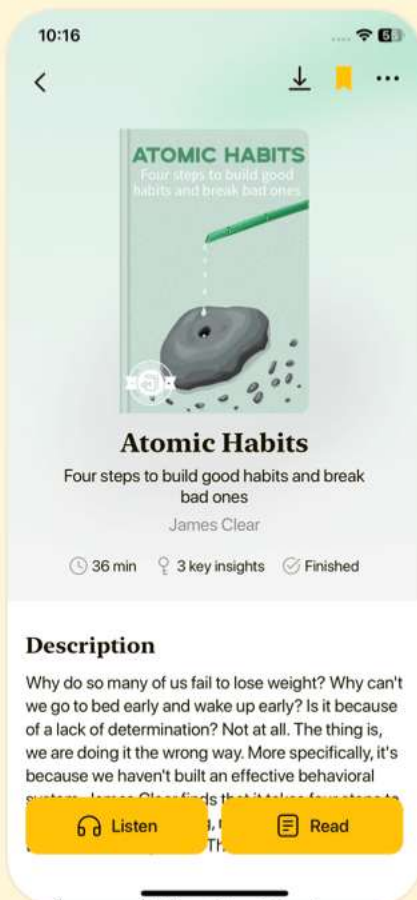


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Chapter 16 | 7 The Hullabaloo about Dividends| Quiz and Test

- 1.The general public has a clear understanding of the significance of dividends in common stock investments.
- 2.Reinvesting profits into growth opportunities can be more beneficial to shareholders than paying high dividends.
- 3.Investors prefer high dividend amounts over consistent dividend payments.

Chapter 17 | 8 Five Don'ts for Investors| Quiz and Test

- 1.Investors should avoid promotional companies that are newly formed and without a track record of profitability.
- 2.Investors should only focus on over-the-counter stocks if they are listed on major exchanges.
- 3.A high price-earnings (P/E) ratio always indicates that a stock is overvalued.

Chapter 18 | 9 Five More Don'ts for Investors| Quiz and Test

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1. Investors should prioritize having a large number of stocks to ensure diversification.
2. Buying stocks during war scares can present lucrative opportunities for investors.
3. Investors should base their decisions solely on past stock prices and earnings to predict future performance.

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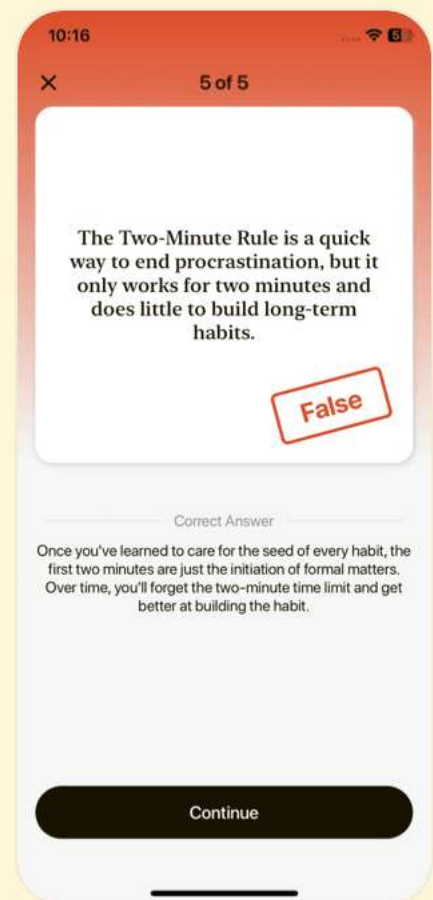
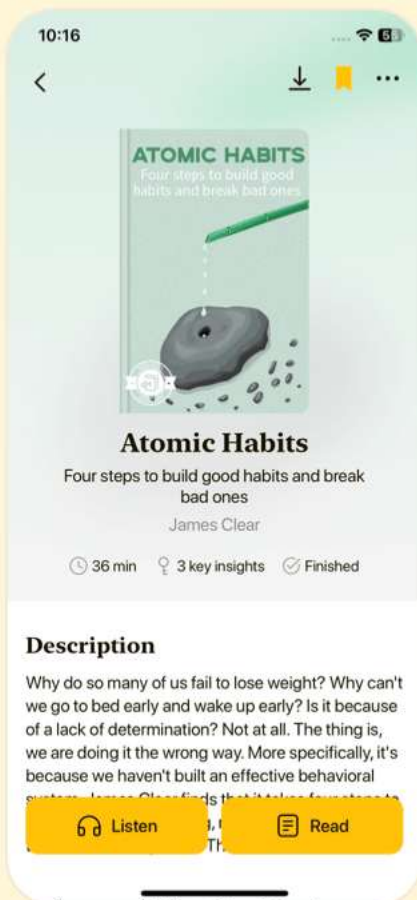


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Chapter 19 | 10 How I Go about Finding a Growth Stock| Quiz and Test

1. Investors should engage management of a potential company immediately after selecting it.
2. The scuttlebutt method involves gathering information from various stakeholders in the business environment.
3. Networking with skilled investors was found to be less effective than insights from business executives and scientists.

Chapter 20 | 11 Summary and Conclusion| Quiz and Test

1. The potential for unprecedented advancements in global living standards is projected for the second decade of the next fifty years.
2. An investor's emotional state is less critical than their intellect when navigating the stock market according to an experienced investor quoted in the chapter.
3. Understanding common mistakes made by investors does not require patience and self-discipline, according to the chapter.

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Chapter 21 | Epigraph| Quiz and Test

1. Philip Fisher emphasizes the importance of integrity, ingenuity, and hard work in achieving business success.
2. Fisher believes that the Dow Jones Industrial Average accurately represents the extent of losses in the stock market since 1968.
3. Fisher argues for a lack of clarity in how investments should be approached for conservative investing.

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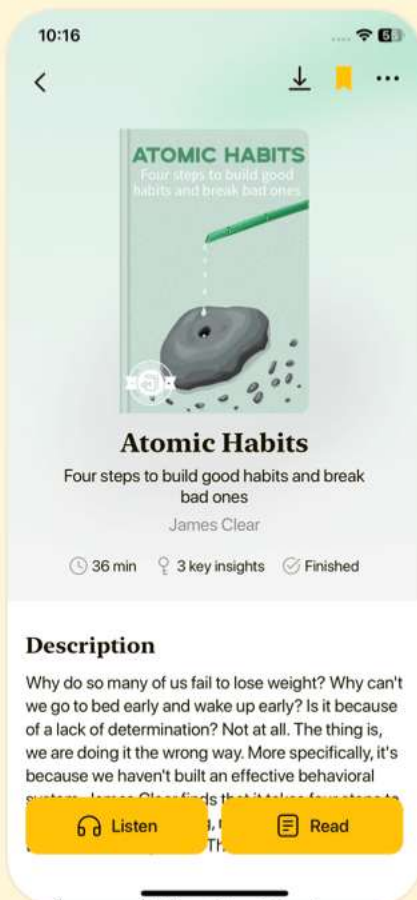


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Chapter 22 | Introduction| Quiz and Test

- 1.The morale of American investors is currently at a high point, reflecting confidence in the stock market.
- 2.A conservative investment is one that is likely to maintain purchasing power with minimal risk.
- 3.The book primarily aims to encourage investors to abandon common stocks for safer investment options.

Chapter 23 | 1 The First Dimension of a Conservative Investment| Quiz and Test

- 1.A conservative investment must include specific characteristics such as being the lowest-cost producer across most product lines.
- 2.A strong marketing organization is unimportant as long as a company maintains low production costs.
- 3.Companies that master the coordination among research, marketing, and production enhance their chances of sustainable innovation and profitability.

Chapter 24 | 2 The Second Dimension| Quiz and Test

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1. The second dimension of conservative investment emphasizes the people who produce results and sustain them over time.
2. Frequent external recruitment for top positions indicates a strong and effective management team.
3. A commitment to growth includes focusing solely on immediate profits without consideration for future investments.

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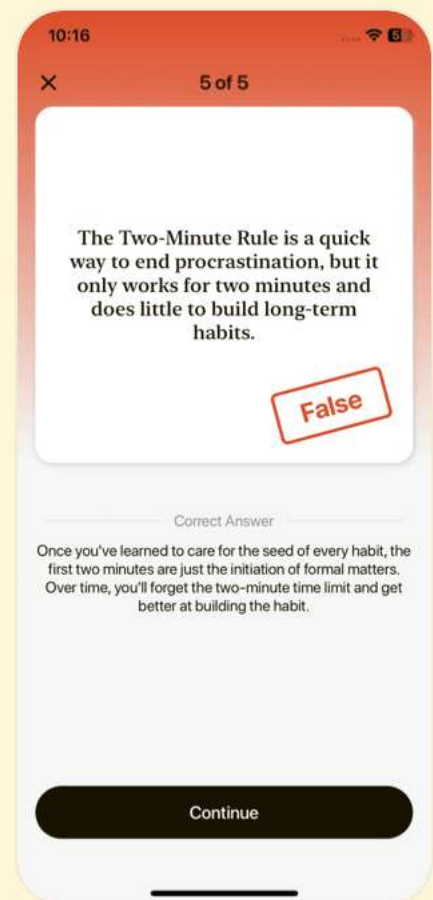
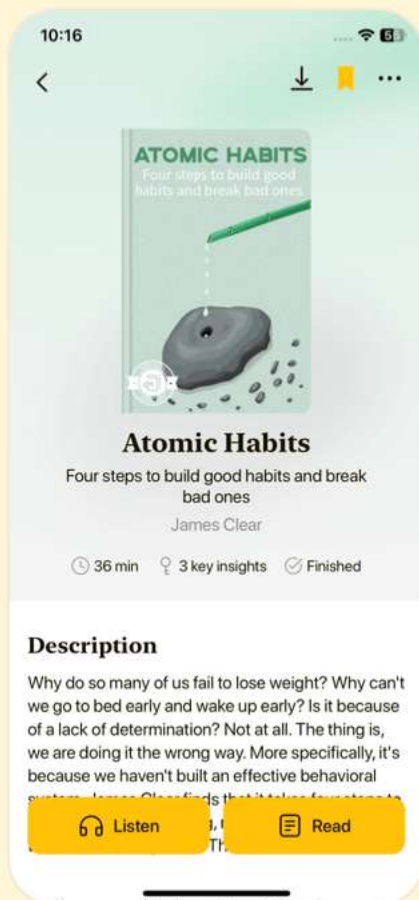


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Chapter 25 | 3 The Third Dimension Investment Characteristics of Some Businesses| Quiz and Test

- 1.The conservative stock investment approach includes evaluating the excellence of company activities related to profitability.
- 2.A company's ability to maintain above-average profitability is irrelevant during inflationary periods.
- 3.Established companies benefit from creating habitual reorder practices within their customer bases.

Chapter 26 | 4 The Fourth Dimension Price of a Conservative Investment| Quiz and Test

- 1.The price-earnings (P/E) ratio is calculated by dividing the current stock price by the company's total earnings.
- 2.Investors should understand that price movements in stocks are often a reflection of the financial community's perceptions rather than the company's actual performance.
- 3.High valuations of companies with strong fundamentals present low investment risks for conservative investors.

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Chapter 27 | 5 More about the Fourth Dimension| Quiz and Test

- 1.The appraisal of a stock relies solely on the performance of the individual company.
- 2.Industry price-earnings ratios remain constant regardless of technological advancements.
- 3.Investors should focus on the financial community's appraisal when evaluating industries.

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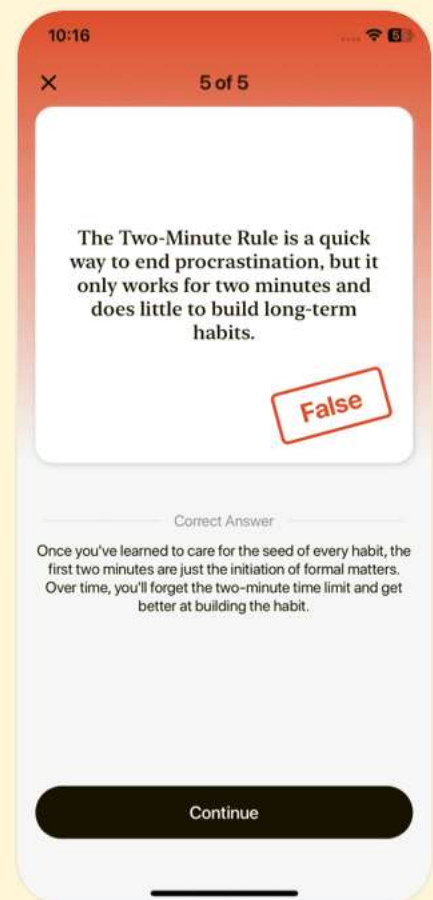
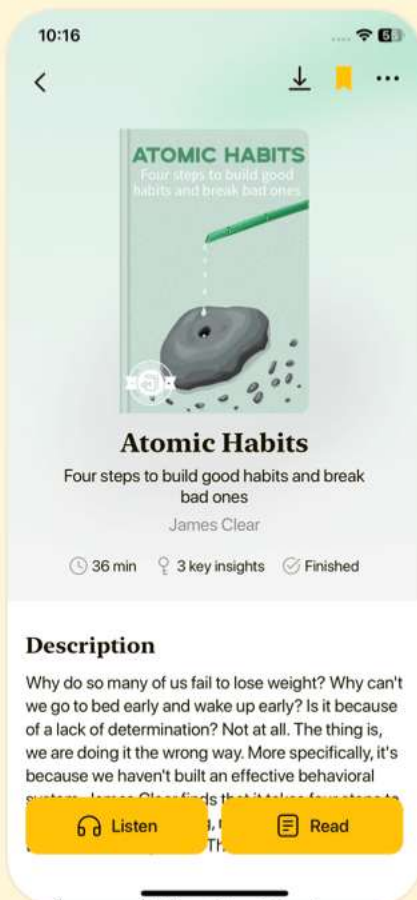


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Chapter 28 | 6 Still More about the Fourth Dimension| Quiz and Test

- 1.The financial community's evaluation of a company's attributes has little influence on its price-earnings (P/E) ratio.
- 2.A lower price-earnings (P/E) ratio always indicates a better investment option.
- 3.The longer a company's profits are expected to grow, the higher the price-earnings (P/E) ratio an investor can reasonably pay for the stock.

Chapter 29 | Dedication to Frank E. Block| Quiz and Test

- 1.The book 'Common Stocks and Uncommon Profits and Other Writings' is dedicated to Frank E. Block.
- 2.Frank E. Block received the C. Stewart Shepard Award for his contributions to the field of financial analysis.
- 3.Frank E. Block was not involved in promoting the education of financial analysts.

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Chapter 30 | 1 Origins of a Philosophy| Quiz and Test

1. Fisher & Co. aims to invest in a small number of companies with significant growth potential while maintaining a low risk profile.
2. Fisher's initial experiences in investing were highly educational and provided him with extensive investment policy lessons.
3. Fisher learned that true investment wisdom comes solely from financial publications and market trends.

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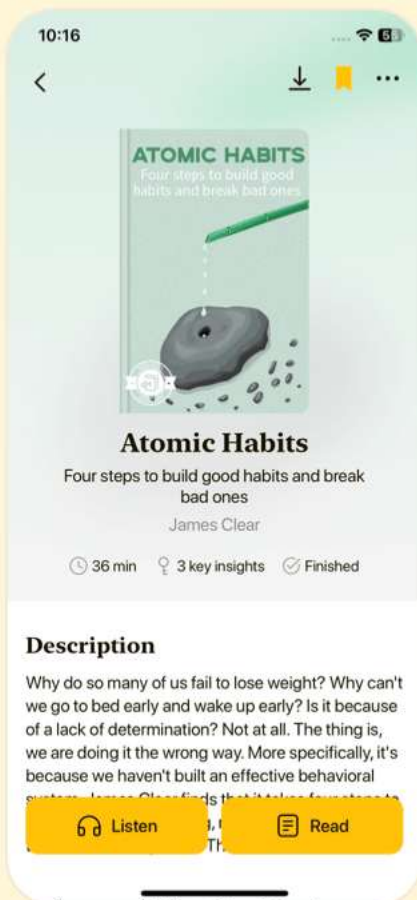


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Chapter 31 | 2 Learning from Experience| Quiz and Test

1. Fisher's philosophy emphasized the importance of short-term trading over long-term investments.

Chapter 32 | 3 The Philosophy Matures| Quiz and Test

1. Philip A. Fisher focused on short-term trading strategies during his military service in World War II.
2. Fisher believed that holding onto promising stocks during market downturns could lead to substantial long-term gains.
3. Fisher's views on dividends remained unchanged; he always believed dividends were beneficial.

Chapter 33 | 4 Is the Market Efficient?| Quiz and Test

1. Philip A. Fisher argues that the efficient market theory is entirely accurate in explaining stock prices.
2. Fisher believes that investors should focus on companies

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with exceptional growth prospects rather than on short-term market fluctuations.

3. Fisher considers the rise and fall of Raychem Corporation as a demonstration of market efficiency.

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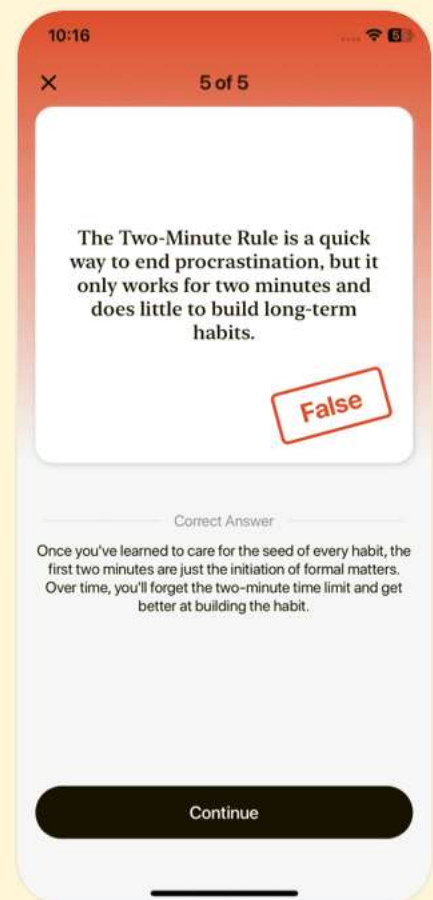
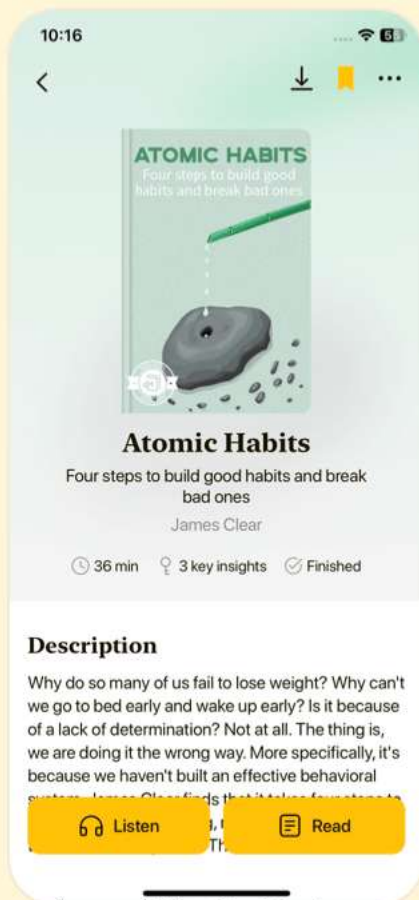


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Chapter 34 | FUNCTIONAL FACTORS| Quiz and Test

1. A firm should be among the highest-cost producers to ensure survival during market downturns.
2. Higher profit margins are beneficial as they allow a firm to generate internal funds for growth without extensive reliance on debt.
3. Non-technical firms do not need robust research capabilities as they focus on service efficiency.

Chapter 35 | PEOPLE FACTORS| Quiz and Test

1. A successful firm requires a leader with an entrepreneurial spirit and the ability to build the company's fortunes.
2. Succession in a successful firm should always come from external candidates to ensure fresh perspectives.
3. Implementing participatory programs is discouraged, as they do not contribute to employee investment in the company.

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Chapter 36 | BUSINESS CHARACTERISTICS| Quiz and Test

1. Investors should prioritize return on assets for a clear evaluation of profitable investments.
2. High profit margins can lead to increased competition, which reduces profit potential.
3. First-mover advantage guarantees success for any firm that enters a new product market.

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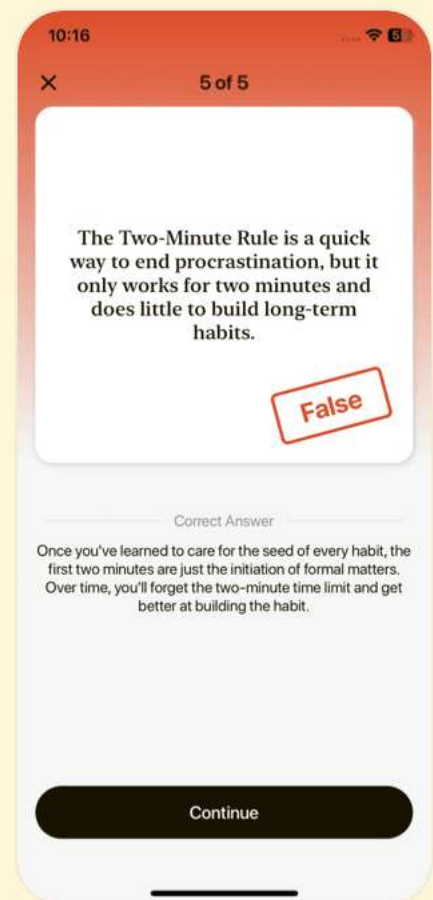
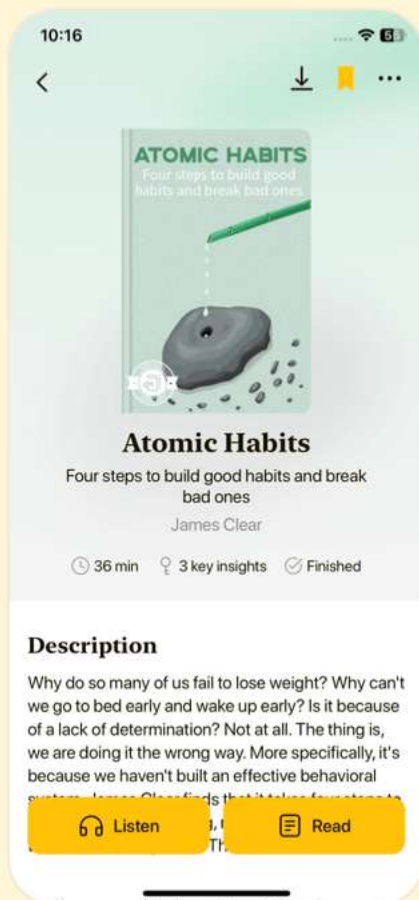


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Chapter 37 | NOTE| Quiz and Test

1. Investors should gather extensive information about companies, their management, and their competitive position in the market.
2. According to Fisher, a well-diversified portfolio is not necessary for mitigating risks in investment.
3. Fisher emphasizes that focusing on short-term market fluctuations is more important than having a long-term perspective on investments.

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